INTESA SANPAOLO BANK
Albania

2024 Annual Report

Bank of INTESA SANPAOLO

Antonio Joli, View of the Gulf of Naples from the slopes of Vesuvius

This large painting by eighteenth-century painter and scenographer Antonio Joli forms part of the Intesa Sanpaolo art collections, and is permanently exhibited in the Gallerie d'Italia in Naples as part of the exhibition "From Caravaggio to Gemito", which also includes two other views of Naples by his predecessor Gaspar van Wittel.

Cover:

Antonio Joli
(Modena, 1700 around - Naples 1777)
View of the Gulf of Naples from the slopes of Vesuvius, 1765-1770 ca
oil on canvas, 157 x 235.5 cm
Intesa Sanpaolo Collection
Gallerie d'Italia - Naples

The evocative depiction of the Gulf of Naples seen from the slopes of Vesuvius (one of the most significant examples of Joli's celebratory Vedutism) belongs to the artist's mature period post-1762. At that time, after frequent stays in Rome and Venice, he settled and worked in Naples, as a brilliant scenographer and view painter in the manner of Canaletto and Bellotto. From this later period of production, the painting in question reveals his most typical characteristics, including the choice to represent particular moments of court life, within wide and scenic views of the city of Naples. In this case, to animate the landscape, the result of Joli's careful and lucid observation of reality, there is a procession of dignitaries strolling in the garden of the Royal Villa of Portici, together with Viceroy Ferdinand IV of Bourbon as a Capuchin friar kneels in homage. In other paintings, Ferdinando's horseback ride in the Capodimonte park, the ball game at the Aragonese fortifications, or the return by carriage of Ferdinando and Maria Carolina along the Via di Foria in Naples, all offer the painter suitable subjects to orchestrate evocative views of Naples. This view of the city, also including the Campi Flegrei and Ischia, follows the drawing made by Joli himself for the decorative apparatus of the "Topographic Map" of Naples, proposed by Duke Giovanni Carafa from Noja in 1750 but not actually published until 1775. As frequently occurs with the artist, the perspectives of this view multiply, skillfully combining into a global, authentic, and complex image. The author's eye captures Naples in its entirety, encircling the city, with a visual layout that constitutes the true modernity of Joli's vedutism, as an artist supported by remarkable technical expertise and a highly suggestive pictorialism. The sequence of trees that punctuates the sky, in fact, opens up to an image not only described in detail, but also vibrant with light and colours, measured out in light tones and on the delicate chiaroscuro differences, created between the shaded foregrounds and illuminated background.

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Senior Management Profiles

Board of Directors

Božo Prka
Chairman of the Board of Directors

Beata Kissne Foldi
Deputy Chairman of the Board of Directors

Gabriele Gherardi
Member of Board of Directors

Alessandro D'Oria
CEO and Member of the Board

Amina Carnabuci
Member of the Board

Konrad Kozik
Member of the Board

Mauro Rossi
Member of the Board

Audit Committee

Konrad Kozik
Chairman of the Board

Beata Kissne Foldi
Member of the Audit Committee

Andrea Bazzana
Member of the Audit Committee

Senior Management

Alessandro D'Oria
Chief Executive Officer

Mr. Alessandro D'Oria has been appointed as Chief Executive Officer (CEO) and Member of the Board of Directors of Intesa Sanpaolo Bank Albania in September 2021. Prior to his appointment as Chief Executive Officer of Intesa Sanpaolo Bank Albania, Mr. D'Oria held the position of Head of Retail and Wealth Management Department of International Subsidiary Banks Division at Intesa Sanpaolo directly reporting to the Chief of Division of ISBD. Based in Milan he was responsible for all retail segments (mass, upper mass, affluent, private, and small business) in 11 banks belonging to the Intesa Sanpaolo Group in CEE/SEE region and Egypt. The retail ISBD network is composed by 1,000 branches and 22,000 employees. Mr. D'Oria was Head of Retail sub department of ISBD, responsible for mass and small business segments, pricing, cards and payments, customers' satisfaction. The main goal achieved during this experience is the business transformation project named "Adopting Group business model", with the aim to introduce more modern technologies and a new organization in the network, revising roles, skills, and commercial methodology (segmentation, portfolios for RMs, campaign management and proactive approach) to increase service level and revenues generation. More than 500 branches involved in the transformation in five main subsidiaries in two years; created 800 new roles with portfolio assignment. Earlier in his 38-year long and extensive banking career Mr. D' Oria held the position of Head of Regional Director of Milan and province of Intesa Sanpaolo - Banca dei Territori, reporting directly to the Head of Division of Banca dei Territori, where he managed approximately 400 branches and 5,000 employees to serve 1.2 million customers. Other positions held by Mr. D'Oria were Head of Area Puglia of Banca dei Territori Division, Intesa Sanpaolo managing 200 branches coordinated and 2,000 employees, Area/Segment manager in several Italian regions – Banca Intesa Group: Puglia, Calabria, Campania, Friuli Venezia Giulia, Lombardy. During his career, Mr. D'Oria has held the position of Deputy Chairman of ABI Lombardia (ABI – Italian banking association) and Chairman of ABI Puglia – the Italian banking association - and Member of local Chamber of Commerce, representing banking and insurance sectors. Mr. D'Oria hold the position as non-executive board member of AlexBank where he also held the positions of Chairman of Risk Committee, Member of Audit Committee and Member of Remuneration Committee. He is Board member in Confindustria and Camera di Commercio Italiana in Albania. Mr. D'Oria received his Economics and Corporate Organization Degree from University LUM - Libera Università Mediterranea.

Antonio Braghò

Deputy CEO, Intesa Sanpaolo Bank Albania

Mr. Braghò is currently holding the position of Deputy CEO in charge of top managerial supervising of the regulatory framework of Risk Management, IT, Operations and CFO. In addition, he holds the role and responsibility of ESG Management and the overall supervision of all Bank Projects.

Prior to this position, Mr. Braghò had a long and successful career in Intesa Sanpaolo Group which he joined in early 90's in the Financial Risk Sector. Mr. Braghò has held important positions in Intesa Sanpaolo Group; Head of Commercial Coordination in Retail and Wealth Management, ISBD, Head of Direct Channels in Intesa Sanpaolo and Head of Contact Center.

During his experience with the Group, Mr. Braghò managed successfully important strategic and innovative projects such as "Launching multichannel offer", "Client financial planning", "Designing new service models for retail customers" and "Remote advisor". Mr. Braghò graduated from LUISS University - Libera Università Internazionale Degli Studi Sociali with a Degree in Economics. Along with his Banking Career, Mr. Braghò has been a lecturer in LUISS - Libera Università Internazionale degli Studi Sociali for 8 years in the areas of Corporate Finance and Financial Derivative Products.

Julian Çela

Chief Financial Officer

Mr. Çela holds the position of Chief Financial Officer. Mr. Çela is responsible for coordinating the preparation and monitoring of Strategic Plan and annual budgets, presenting and reporting accurate and timely financial information, asset liability management and treasury as well as accounting and procurement activities. He joined the Bank (former American Bank of Albania) in 2004. His prior work experience was at Procredit Bank in Internal Audit Department.

Mr. Çela has graduated in Finance and Banking at University of Tirana, Economic Faculty. In 2003-2004 he completed an accelerated finance and banking curriculum, a Georgetown University Program, at University of Wisconsin.

Alessandro Grillo

Head of Corporate & SME Division

Mr. Grillo is currently holding the position of Head of Corporate & SME Division in charge for the Domestic Corporate & Institutional Clients, Multinational, SME, Corporate Banking Products and CRM & Network Support's Departments.

Prior to this position Mr. Grillo covered several managerial positions in Intesa Sanpaolo Group both in the International Subsidiary Bank Division and in the Corporate and Investment Banking Division in Romania, in Italy and in the United States developing international skills. During his experience in Intesa Sanpaolo Bank Romania he also covered the position of Board Member in Confindustria Romania.

Mr. Grillo graduated in Trading and Economics at the University of Torino (Italy) with specialization in Business Administration.

Patrick Bianco

Head of Retail Division

Mr. Bianco joined Intesa Sanpaolo Bank in March 2024 and holds the position of Head of Retail Division which covers the branches' network of the Bank, the Segments of Individuals, Private Banking, and Small Business clients, Product Pricing, Planning and Monitoring, CRM and Multichannel structures.

Before joining Intesa Sanpaolo Group, Mr. Bianco had many experiences in other Italian and international banks specifically in Banca Generali and Bank of China, holding managerial positions with a strong focus on Wealth Management.

He joined Intesa Sanpaolo Group in 2016 as Private Wealth Executive in Fideuram and in 2020 he led the project of China Wealth Management.
Mr. Bianco graduated in International Relations from the University of Turin in conjunction with Zhejiang University in China and he received his Master's Degree in Banking & Finance (24 Ore Business School) and Risk Management (MIP - Politecnico di Milano).

During these years Mr. Bianco has obtained additional certified qualifications in the banking sector

Orjola Baku
Head of Risk Management Division

Mrs. Pasko holds the position of Head of Risk Management Division, covering the areas of Underwriting, Non-Performing Loans, Credit, Market, Operational, ESG, and Outsourcing Risks.

Following her experience in Business in other Banks such as Raiffeisen and First Investment, she joined the Bank (former American Bank of Albania) in 2008, initially Underwriting and later managing Credit, Market, and Operational Risk.
She has been part of Intesa Sanpaolo Bank Albania Committees, including Credit, Financial, Operational Risk, Internal Control, and Change Management.

Mrs. Pasko graduated in Business Administration at the University of Tirana, Economic Faculty. In 2007-2008 she completed her Master's Degree in Banking Risk Management (UNSBC, Tirana).

Alketa Lamçe
Chief Operating Officer

Mrs. Lamçe holds the position of Chief Operating Officer (COO), where her responsibilities include coherent definition with group goals of the strategies and initiatives regarding ICT, Back Office and Payments, Cyber Security & Business Continuity including Physical Security, Real estate and Logistic Activities. In addition, her responsibilities are to ensure the implementation of the defined strategies and the effectiveness and efficiency of the service level of the coordinated activities. Mrs. Lamçe joined the Bank (former American Bank of Albania) in 1999, and she has worked in different leading positions, such as Head of Information System Department and Deputy Head of IT and Head of ICT Division. Before joining the Bank, Mrs. Lamçe worked as a Developer at INIMA and IT specialist at Savings Bank of Albania.

Mrs. Lamçe has a degree in Applied Mathematics, the Faculty of Natural Sciences, University of Tirana, and completed the master's degree in business administration, University of Tirana (Nebraska University Program). Throughout her outstanding career, in addition to successfully leading complex projects continuously appointed as project leader for various group and local projects, she has held the chair of ICT committee in AAB, and attended numerous advanced trainings on Banking, Project management, ICT and Leadership.

Ledia Plaku

Head of Legal Department

Mrs. Plaku holds the position of Head of the Legal Department. Mrs. Plaku has a long and remarkable career in the Bank, which started back in the year 2000 at "The American Bank of Albania" Sh. A and includes managerial positions such as Head of Legal, Compliance, Human Resources, General Secretariat, and Physical Security Department(s). Before that, she worked for PMU/Immovable Properties Registration System as Head of the Legal Department. She has held the position of Assistant Professor (part-time) and is a doctoral candidate at the Faculty of Law, University of Tirana at present.

Mrs. Plaku graduated in Law at the University of Tirana and completed the Master of Laws at Queens' University, Canada (full time). She has attended advanced courses on Leadership such as the Executive Program, Emerging Leaders at London Business School, UK, and the Leadership Development Program organized by Intesa Sanpaolo Group. Ms. Ledia Plaku has been a member of Tirana Bar Association since May 2003 and throughout time has served as a Member of various Boards/Committees.

Ediola Biçaku

Head of Internal Audit Department

Mrs. Biçaku holds the position of Head of Internal Audit, since April 2017, when she joined Intesa Sanpaolo Bank Albania. She brings a wide range of experiences from 15+ years of career in audit. Prior to joining Intesa Sanpaolo Bank Albania, she worked in National Commercial Bank (BKT). She began her professional banking career in 2006 at BKT Internal Audit Group achieving all hierarchical audit rankings within the Group. She has been Responsible Person for the design and maintenance of audit methodologies, as well as Manager of Internal Control Department, where she established the new function and methodologies of continuous audit for the company.

Throughout her career, Mrs. Biçaku has designed and delivered numerous training programs on key topics such as global internal audit standards, continuous auditing, fraud prevention and detection.

She also serves as Chair of the Internal Audit Committee at the Albanian Association of Banks and is a Board Member of the Albanian Institute of Internal Auditors.

Mrs. Biçaku graduated from the Political Sciences Faculty, Ankara University in Turkey, with a bachelor's degree in international relations.

Markeljan Rriska
Head of Compliance and AML Department

Mr. Rriska holds the position of the Head of Compliance and AML Department. Mr. Rriska joined the Bank (former American Bank of Albania) in April, 2004 and has held different positions such as Head of Legal Affairs Unit and Deputy Head of Legal Department. In September 2002, he was admitted at Tirana Bar Association where he still is a member.

Following a successful experience as Attorney at Law, he was appointed Head of Legal Department and Public Relationship at Albanian Shares Register, a position held until 2004. His vast experience in Legal Departments enabled him to accrue a depth of professional expertise and proficiency. Mr. Rriska has taught several Law Courses during his career.

Mr. Rriska graduated in Law at the University of Bucharest, Romania. He has attended the Leadership Development Program and Compliance Function Training organized by Intesa Sanpaolo Group.

Suela Totokoçi
Head of Human Resources and Organization Department

Mrs. Totokoçi holds the position of Head of the Human Resources & Organization Department since April 27, 2023.
Mrs. Totokoci has had a long and successful career in the Banking system which started in 1996, at the Commercial Agriculture Bank, and continued at the Bank of Albania, before joining the Bank (formerly American Bank of Albania) in April 1998.

During her professional journey within the Bank, she built her career covering different roles in almost all structures of the Bank; Retail Division, Corporate Division, and Operations Division before being appointed as Head of Treasury and AML Department in January 2009; a position she has held for 14 consecutive years. Ms. Totokoçi holds a University Degree from the Faculty of Economics, University of Tirana.

The speech of the Chairman of the Board of Directors

The global economy in 2024 moved forward with cautious resilience. Growth persisted, albeit with subdued momentum, and while inflation gradually receded, it remained above historical norms in many regions. Despite clear upside potential, a complex mix of geopolitical tensions, financial volatility, and environmental challenges continued to shape an environment of heightened uncertainty.

Against this global backdrop, Albania's economy demonstrated commendable stability and resilience. Robust private consumption, dynamic tourism, continued construction activity, and disciplined fiscal policy all played pivotal roles in supporting growth. Inflation remained under control, and the financial sector preserved its soundness. Nevertheless, sustainable long-term development calls for deeper structural reforms—particularly in governance, labor markets, productivity, and alignment with EU standards.

The Bank exceeded its 2024 targets, delivering an income before tax profit of ALL 4.6 billion—14% above target. This achievement reflects not only the impact of interest rates on our well-structured balance sheet, but more importantly, the dedication and professionalism of our people.

We continued to maintain a low-risk profile, underpinned by a conservative risk appetite, robust risk management, and well-diversified, stable credit exposures. The cost of risk remained comfortably below target, and the quality of our loan portfolio was preserved, with non-performing loans at a low 3.2%.

Looking ahead, we recognize that the financial sector, like many others, is undergoing profound transformation. We have successfully managed change in the past, and we are confident in our ability to adapt and lead in the future.

Our strategy is clear and focused: to stay close to our customers, place their needs at the heart of our decisions, and deliver a banking experience that is personal, efficient, and fair. We are committed to building a bank that blends cutting-edge digital innovation with meaningful human connection. Through this approach, we aim to create smarter, simpler, and more personalized services that foster lasting relationships and deliver enduring value.

I would like to extend my sincere gratitude to all the employees of Intesa Sanpaolo Bank Albania for their dedication, passion, and professionalism. I also thank our clients for their continued trust and partnership.

We will continue to invest in our talented team, serve our clients with care and commitment, and lead in technological innovation and ESG practices. With the right people and structure in place, we are well positioned to drive accelerated growth in 2025 and beyond.

Speech of CEO, Intesa Sanpaolo Bank Albania

In 2024, Intesa Sanpaolo Bank Albania operated in a dynamic and evolving financial landscape, marked by growing demand for credit, expanding investment opportunities, and a clear drive toward European integration.

Albania's banking sector remained strong, well-capitalized, and profitable, while adapting to new macro-prudential regulations designed to manage systemic risks and ensure long-term stability.

Amid this environment, our Bank achieved remarkable milestones. We delivered a net profit of ALL 3.1 billion, marking a 2.4% year-over-year increase, with consistent growth across all revenue streams: trading income up 21%, net interest income up 7%, and fee-based income up 6%. Our performance was not only about financial figures, but it was also a reflection of our strategic discipline, customer focus, and commitment to innovation.

Our capital adequacy remains the highest in the market (24.55%), and our asset quality among the strongest, with the lowest non-performing loan ratio in the country (3.2%). This demonstrates the effectiveness of our prudent risk management approach, even as we expanded lending to support Albania's real economy.

We have made significant progress in several strategic areas:

- **SME Support and Growth:** 2024 marked the successful launch of our SME Centers dedicated hubs providing specialized financial solutions and advisory services for small and medium enterprises. These centers are helping to diversify the economy and support Albania's entrepreneurial momentum.

- **Investment Solutions:** Through the expansion of Eurizon Funds, we provided Albanian clients with access to high quality international investment opportunities, positioning the Bank as a gateway to global markets.

- **Digital Innovation and Security:** We advanced our digital agenda, bringing Intesa Sanpaolo Group's cutting-edge capabilities to the local market. This included enhancing cybersecurity, data protection, and customer-centric digital tools—key enablers for the next phase of growth.
- **ESG Commitment:** Sustainability became central to our banking strategy. From green financing initiatives to climate-conscious lending, we integrated ESG principles into our operations. We are proud to have been named

"Best ESG Bank Albania 2025" - a testament to our forward-looking approach and shared values.

- **Private Wealth Leadership:** As Albania's financial sector matures, our focus on private banking has grown. Being awarded **"Best Private Wealth Management Albania 2025"** affirms our commitment to serving affluent clients with tailored, expert-driven financial services.

Looking ahead to 2025, we are preparing for transformative shifts in the banking industry. The adoption of SEPA (Single Euro Payments Area) will further integrate Albania into the European financial ecosystem enhancing efficiency, cost-effectiveness, and international competitiveness. We are fully ready for this transition and will ensure our clients experience a seamless shift.

The year ahead will also demand strategic agility in several areas:

- **Regulatory convergence** with EU standards will require continued investment in governance, compliance, and transparency.

- **Technological innovation** will reshape the customer journey, with cybersecurity and digital experience becoming fundamental.

- **Sustainable finance** will move to the forefront of lending and investment decisions.

- **Macroeconomic volatility**, including inflation and interest rate movements, will require disciplined risk and liquidity management.

At the core of all this stands our people. Their dedication, talent, and shared vision are the driving force behind our success. We are committed to fostering a culture of transparency, participation, and motivation that empowers every individual to grow and contribute.

In 2024, together, we delivered strong results and built momentum for the future. As we enter a new chapter of transformation, we remain focused **on leading change with purpose**, with innovation, with transparency and with integrity.

Alessandro D'Oria

Chief Executive Officer
Intesa Sanpaolo Bank Albania

Macroeconomic Environment and Banking Sector

General Overview

During 2024, the Albanian economy demonstrated a positive trend, recording an increase in salaries and employment, while there was a downward trend in inflation, improvement of fiscal indicators, a drop in public debt, an increase in loans and deposits, a decrease in non-performing loans, an increase in foreign direct investment, an improvement of the current account deficit and strengthening of the exchange rate.

The improvement of such indicators led to an acceleration of economic growth rates during the same year, following the slow-down of the previous two years, mainly as result of sectors such as tourism, construction and public administration. For the first time, in 2024, international rating agencies revised Albania's perspective upwards, highlighting the improvement in the performance of the fiscal indicators and the drop in public debt.

However, the country continues to face the challenge of population decline, which is affecting the labor market and productivity. In June 2024, INSTAT published the results of the 2023 General Population and Housing Census. Albania's population according to the population count is 2,402,113 inhabitants, marking a decrease of approximately 17% compared to 2011, when the number of registered inhabitants was 2,821,977. The drop in birth rates and high emigration rates are the main reasons that have influenced the population decline. The new population measurement led to a revision of several key economic indicators.

Tourism continued to be the promoter of the economy, neutralizing the decline in consumption as a result of the population contraction trend.

According to INSTAT, during 2023, Gross Domestic Product (GDP) increased by 3.44%, following its expansion by 4.86% the previous year.

"Construction" and "Real estate activities" were the sectors leading the economic growth in 2024, for the second consecutive year. During the second half of 2024, "Public administration and defense, compulsory social security, education, health and social work activities" increased their contribution, impacted by the increase in public administration salaries and the concentration of capital expenditures at the end of the year. "Arts, entertainment and recreation, production activities of households goods for own use and other services" also witnessed a significant expansion. Despite an improvement in tourism figures, "Wholesale and retail trade, repair of motor vehicles and motorcycles, transport and storage, accommodation and food service activities" recorded a minimal growth, which was affected by the shrinkage in consumption by the local population. Figures for "Processing industry" and "Agriculture" remained negative throughout 2024, as a result of rising costs, unfavorable international conditions, and the strengthening of the local currency, which all had a negative impact on exporters.

Consumption growth rates improved slightly during 2024, driven by the significant acceleration in public consumption, while household consumption recording its lowest growth rates since 2020, when the country was faced with the Pandemic consequences.

For 2025, both international institutions and the Albanian government foresee a sustainable economic growth, driven by domestic demand and continued expansion of the tourism sector. The International Monetary Fund (IMF) expects the Albanian economy to grow by around 3.35% in 2025. Investments in tourism infrastructure and Albania's price competitiveness are expected to be the main factors driving this trend, although the growth in tourism flows may be stabilized, compared to the post-pandemic.

The Bank of Albania's (BoA) projections for 2025, also, remain positive. BoA expects further growth in the Albanian economy, not just for 2025, but also in the mid-term. In macroeconomic terms, this growth will be fueled by healthy balance sheets of businesses and households, increased lending in response to the financial environment, improved confidence for the future, and further expansion of foreign demand for Albanian services.

After the Consumer Price Index (CPI) reached its peak in 2002, since 1998, as a result of the global market repercussions of Russia's attacks on Ukraine, inflationary pressures witnessed a decline in 2023 and dropped further in 2024, falling below the 3% target of the Bank of Albania.

The average annual inflation for 2024 was 2.20%, compared to 4.80% the previous year. Inflationary pressures decreased throughout 2024, particularly during the second half of the year, driven by lower imported inflation, as a result of the depreciation of the common currency. The highest inflation rate was recorded in January, at 3.40%, whereas the lowest rate in September and October, at 1.90%.

In 2024, the Bank of Albania changed its monetary policy direction, for the first time since March 2022, when it initiated a tightening policy in response to the rapid inflation increase. In July 2024, BoA reduced its base rate by 0.25 percentage points, to 3%. In November 2024, the base rate was reduced by another 0.25 percentage points, to 2.75%. The Supervisory Board of the Bank of Albania came to the conclusion that the overall balance of medium-term pressures was gradually approaching the inflation target. In this context, future monetary policy decisions will continue to be conditioned by new information, and in particular by analyses and assessments

of the domestic inflationary pressures performance.

Foreign direct investments (FDIs) in Albania increased by 5.60% in 2024, reaching 1.58 billion euro, the highest level ever recorded. For the third consecutive year, Real estate operations represented the main group of foreign investments, due to the fact that Albania was becoming a tourist destination, which in turn, encouraged purchases by foreigners, mainly along the coastline areas. In 2024, investments in Real Estate accounted for 23.94% of the total, compared to 11.40% which was the figure in 2018. The second contributor was Finance and insurance operations, by 18.30% of the total, mainly influenced by the expansion of the banking sector capital, as a result of the regulatory requirements of the Bank of Albania. The Extraction industry came third in terms of investments, at 13.51% of the total, as a result of investments in the oil extraction industry.

The rating by Moody's, international credit rating agency, was revisited on October 18, 2024, increasing the perspective for Albania from "B1 – with positive perspective" to "Ba3 – sustainable". Such revision reflected the significant improvements in the country's credit profile, thanks to the improvement in the economic and fiscal indicators. The agency predicts a sustainable medium-term economic growth, driven by financing of the European Union and the implementation of relevant reforms, foreign direct investments in tourism and energy sectors, sector changes that increase productivity and a continuous increase of the labor force participation. Additionally, public debt to GDP ratio increased significantly since its peak in 2021, and a further gradual reduction is expected in the medium-term, supported by the implementation of fiscal reforms.

As of March 23, 2024, S&P upgraded Albania's long-term sovereign credit rating to 'BB- 'from 'B+' for the first time, highlighting the country's improving fiscal and external positions. In addition to its ability to withstand shocks, including the 2019 earthquake, COVID-19 pandemic, and the indirect macroeconomic effects of the Russia-Ukraine conflict, the Agency attributes this economic resilience partly to the significant increase of tourism. In September 2024, S&P maintained its long-term and short-term foreign and local currency sovereign credit ratings for Albania at 'B+', meanwhile revising its perspective from sustainable to positive. The positive perspective reflected the Agency's stand that fiscal indicators will improve beyond expectations over the next 12 months, as a result of the government's efforts to consolidate public finances. In March 2025, S&P upgraded Albania's long-term foreign and local currency sovereign credit rating to 'BB' from 'BB-', with a stable perspective, reflecting the country's strong economic and fiscal performance over the recent years.

As a former recipient of International Monetary Fund (IMF) funding, Albania is subject to the so-called "Post-Program Monitoring", which requires bi-annual reviews of the macro-economic developments, risks and policies. In its last review, in January 2025, the IMF' assessed the economy's good performance over recent years, supported by prudent macro-economic policies, prudent fiscal policies, reduced public debt and pro-active monetary policy. Current production is significantly above its pre-pandemic trend, thanks to a booming tourism sector. However, the IMF warned that despite its positive macro-economic performance, Albania still faces significant structural challenges. Albania's GDP per capita remains approximately one forth that of the US and EU-15 levels, affected by a rapidly aging population and high emigration rates. The IMF recommended that implementing in-depth reforms, including improving governance, strengthening public finance management, and increasing human capital and productivity remains essential to fostering long-term growth and achieving economic alignment with European standards.

The unemployment rates for the population aged 15 and above dropped by 0.8 percentage points, reaching 8.80% at the end of 2024, the lowest historical level ever recorded. The positive performance in the services sector, as a result of the good performance of tourism, but also the lack of available labor force, influenced by emigration, together with the revision of the active labor force are the main reasons that led unemployment to record low levels. The official unemployment rate for young people aged 15-29 is 19.1% at the end of 2024, dropping by 2.1 percentage points compared to the last quarter of 2023. INSTAT has conducted a re-assessment of the results of the Labor Force Survey from the first quarter of 2023 to the fourth quarter of 2024, using the resident population according to the results of the 2023 Population and Housing Census. After the revision, the unemployment rate at the end of 2024 resulted in 9.5%. from 10.70%, which was the initial figure.

During 2024, Albania continued to experience a real tourism growth. The number of foreign citizens arrivals reached 1.7 million, recording an increase of 15.2% on yearly basis, following the 35% expansion of the previous year. Tourists from Kosovo continued to have a greater weight in the total of foreign citizens arrivals, although marking a decrease compared to the previous year. Tourists from Kosovo accounted for 38% of total arrivals in 2024, compared to 43% in 2023. Italian citizens ranked second, by 10.7% of arrivals compared to 9.4% the previous year. The third largest group were citizens from North Macedonia, accounting for 7.7% of the total. 2024 also marked a significant increase in tourist arrivals from Germany, England, Poland, France, the United States, Spain, and the Netherlands, although their weight is below 3% of the total.

Macroeconomic environment in 2024

Economic growth experienced a slow-down in 2024 for the second consecutive year. Economic activity was

lukewarm during the first and second quarters, only to gain momentum during the second half of the year, thanks to the good performance of the tourism sector.

In the first quarter of 2024, growth rates accelerated significantly, to 3.97%, compared to 2.47% for the same period of the previous year. "Construction" rendered the main contribution to such increase, followed by "Public administration" and "Trade, transport, accommodation and food services". Construction activities marked an increase of 14.04%. Public administration activity expanded by 7.71% and "Trade, transport, accommodation and food services" by 4.63%. Industry, energy and water sectors did not get a good start of the year, recording a decline of 1.05%. Agriculture, forestry and fishing activities also dropped by 1.73%.

In the second quarter, the gross domestic product (GDP) grew by 4.02%, slightly slower compared to 4.34% which was the figure for the same period the previous year. Construction and Trade, Transport, Accommodation activities, alongside Food Services rendered the main contribution to this growth, reflecting respectively the wave of construction in the country and the positive performance of tourism sector, which in addition to consumption also encouraged the purchase of real estate along the coastline.

Construction Activities expanded by 10.10%. Trade, Transport, Accommodation and Food Services activity group marked an increase of 6.48%. Agriculture, Forestry and Fishing activities recorded a minimum increase of 0.56%, while Industry, Energy and Water sectors displayed a strong drop by 8.91%.

During the third quarter, the economy grew by 4.09%, compared to 4.52% during the same quarter of the previous year, led by Wholesale and retail trade; transport and storage; accommodation and food services, which grew by 6.19%, impacted by the good performance of tourism sector, "Construction" with an increase of 5.3% and "Public administration, education, health", which expanded by 8.36%, influenced by the increase in public administration wages. Agriculture, Forestry and Fishing activities dropped by 2.54%. Industry also followed a negative trend, shrinking by 4.04%.

During the fourth quarter, the economy grew by 3.80%. Such improvement was led by "Construction" (a 10.80% annual expansion), "Real estate" by 10.78% and "Public administration and defense; compulsory social security; education; health and social work activities" by 8.82%. "Industry" activity continued its negative performance, shrinking by 2.03%. "Agriculture" also accelerated its decline, with a reduction of 3.07%, the highest in the last decade.

For the entire 2024, out of 10 main sectors of the economy, two of them recorded a double-digit growth, compared to two sectors a year ago and four in 2021.
"Arts, entertainment and recreation, household goods production activities for own use and other services" recorded a strong growth of 18.68% in 2024, following the negative performance of the previous year, although the impact of this activity on the economy remains low.
The sector of "Real estate" was the second-best performing during 2024, with a growth of 11.30, recording the highest expansion rates, at least over the last 6 years.

Construction accounted for the third sector with the highest annual growth of 9.69%, influenced by public investments, increase of residential construction pace, especially in the capital, and tourism development, which has led to investments in hotels and tourist villages.
Information and communications sector ended 2024 with an increase of 7.85%. The telecommunications sector marked important developments in ownership and structure, with the market once again concentrated in the hands of two companies.

"Public administration and defense, compulsory social insurance, education, health and social work" operations recorded an increase of 6.37% in 2024, following a shrinkage of 0.16% the previous year. The increase in salaries and concentration of capital investments during the last months of the year were the main factors behind this trend.

"Financial and insurance" operations ended the year with an increase of 4.34%. The increasing interest rate cycle slightly slowed down the banking sector performance.

"Scientific, professional and technical sector operations, alongside administrative and support service activities saw an increase of 3.54%.

"Wholesale and retail trade, transportation and storage, accommodation and food service activities" slowed down significantly, by 1.73%, after having expanded by 9.89% in 2023. The shrinkage of the local population and the impact of high prices are considered as the main factors contributing to the slow growth of this activity.

"Extraction industry and energy" recorded a decrease of 0.69%, after a growth by 5.44% in 2023. The main impact on this trend was provided by "Manufacturing industry", which contracted by 6.12%, as a result of increasing costs, reducing the competitive advantage of the free labor force from the continuous increase of salaries and the depreciation of Euro. Last year, the Manufacturing industry grew by 7.09%.

For the first time since 1997, Agriculture witnessed a drop by 0.68%, after recording the minimal growth since 2019. The main effect on this trend was the shrinkage of livestock. Agriculture is one of the activities most severely hit by population emigration.

In 2023, the final consumption of the population slowed down significantly, following its increase by 2.96%, compared to 7.37% the previous year. Neither the continuous growth of salaries, nor the high flow of tourists were able to neutralize the consumption shrinkage due to the population contraction, especially the emigration of youth.

In contrast, Final Consumption of Public Administration increased significantly by 9.25%, whereas a year ago it dropped by 4.73%.

In total, consumption in the economy grew by 3.77%, compared to 5.55% in 2023, affected by the slowdown in population purchases.

The Consumer Price Index (CPI) fluctuated between 1.90% and 3.40% throughout 2024. Apart from January, which recorded a level of 3.40%, inflation was below 3% for the other 11 months, reaching its lowest level in September and October, at 1.90%.

Average annual inflation in 2024 was 2.20%, compared to 4.80% a year ago. Its decline was relatively broad-based, but most pronounced in food prices, which followed a downward trend for most of the year in line with similar developments in international markets. Food price growth slowed down, with the "Food and non-alcoholic beverages" group recording an average annual increase of 2.60%, compared to 9.50% last year. "Transport" group, one of the main contributors to inflation in 2022, as a result of the increase in oil prices following the consequences of Russia's attacks on Ukraine, after recording a contraction of 7.00% in 2023, dropped further by 2.00% in 2024. Fluctuations of the food and oil prices in the international market have directly affected the inflation performance in the country.

The Bank of Albania (BOA)estimates indicate that the drop of inflation during 2024 reflected the decline of inflation in the foreign environment, strengthening of Albanian currency (Lek) and the reduction of inflationary pressures in the domestic economy. BOA projections for the economic activity show a growing trend, in line with its potential over the next two years, while inflation is expected to return to its 3% target during 2025.

After two years of following a tight monetary policy, in 2024, the Bank of Albania changed course again, returning to an easing monetary policy, as a result of the rapid decline of inflationary pressures and preliminary positive indicators related to the economy.

In July 2024, the Bank of Albania decreased the base rate for the first time since March 2020. The next intervention was recorded in November 2024, with a decrease of 0.25 percentage points, resulting 2.75%. From March 2022, the Bank of Albania launched a tight monetary policy, increasing the rate from 0.50% to 3.25%.

The Bank of Albania acknowledges that the monetary easing procedures undertaken during 2024 were accompanied by a drop in the interest rates in all market segments. In particular, credit interest rates have also benefited from low-risk premiums and a positive approach by banks to crediting households and businesses. BOA considers that the current monetary policy position is appropriate for meeting the price stability objective in the future. Future monetary policy decisions will continue to be conditioned by new information, and particularly by the analysis and assessments of the domestic inflationary pressures performance.

Even during 2024, exports deepened the downward trend that began in 2023, unlike the period 2021-2022, when exports recovered from the pandemic, recording a strong double-digit growth. This negative performance was influenced by the decline of Euro, unfavorable international conjuncture, and the increase in business costs as a result of higher salaries, due to which the country is gradually losing the competitive advantage of the cheap labor force.

In 2024, foreign sales dropped by 15.38%, following a shrinkage of 9.55% in 2023. All groups demonstrated a negative performance.

Textiles and footwear exports dropped by 16.81% in 2024, compared to the shrinkage of 6.58% in 2023. The sector's negative performance was affected by the depreciation of Euro and incremental costs, especially as regards the minimum salary, which caused many foreign partners to shift their production to other countries, with lower labor costs. Many exporters have warned that under these conditions they will be forced to declare bankruptcy. "Textiles and footwear" continue to account for the largest group of Albania's exports, representing 28.20% of the total exports for 2024, slightly decreasing from 28.69% a year ago.

The sector of Minerals, Fuels, and Energy recorded a shrinkage of 24.69% in 2024, compared to 12.52% the previous year. The decline in fuel prices on international stock exchanges was the main reason impacting this trend. Minerals, fuels and energy remained the second largest group in the country, representing 19.01% of the total compared to 21.36% which was the figure for 2023.

Construction material and metals represented the third largest group in the country, with 17.50% of the total compared to 18.91% which was the figure for 2023. This group witnessed a sharp decline by 21.66% in 2024, following a shrinkage of 20.99% the previous year. This trend was affected by the weakening demand for metals and construction materials, which forced the closure of the country's largest company in this sector in August 2023.

Exports of Food, Beverages, and Tobacco recorded a

slight decline of 4.27% in 2024, compared to 7.64% expansion a year ago. The decline in value was driven by lower prices and a weaker Euro, whereas the sector experienced a 20.81% expansion in terms of volume. The group benefited from the increased demand in European markets, but was affected by lower prices and the depreciation of the common currency. It represents the fourth largest group in the country, accounting for 14.30% of the total, a significant increase compared to the previous year, when it accounted for 10.64% of the total.

Exports of Machineries, equipment and spare parts dropped by 3.81% in 2024, following a shrinkage by 1.56% in 2023. The sector had experienced growth over the recent years, driven by increased investments in the assembly of electrical systems for vehicles, which works mainly on the active processing regime. In 2024, the negative impact was mainly due to the depreciation of Euro, which affected the exporters' income in local currency, but also as a result of the weak demand following the crisis that this industry is going through in Europe. Its weight on total exports reached 10.09% in 2024, compared to 8.87 in 2023.

Italy remains the country's main export partner, accounting for 43.69% of the total exports, demonstrating a slight increase compared to 42.92% the previous year. Exports to Italy dropped by 13.86% in 2024, following a 10.19% shrinkage in 2023. The main impact on this trend was the 19.49% decline in exports of Textiles and footwear group, which accounts for the main share of sales to this country, and for 48.29% of the exports' total.

Kosovo continued to be the country's second largest trading partner, by 9.90% of the total, compared to 9.29% the previous year. Exports to the neighboring country dropped by 9.80% on an annual basis, following an 8.33% increase in 2023. The main products exported to Kosovo are Construction materials and metals (32.53% of the total), Minerals, fuels, electricity (26.31%), "Food, beverages and tobacco" (17.49% of the total).

Greece remained the country's third partner, with 6.29% of the exports' total, compared to 6.51% a year ago. Exports to this country dropped by 18.18% on an annual basis, after increasing by 13.15% last year. The main products sold in Greece include Textiles and footwear (34.44%), Food, beverages and tobacco (19.38%), Construction materials and metals (17.85% of the total).

Germany again represents the country's fourth largest trading partner, with 5.91% of the exports' total, compared to 5.25% in 2023. Exports to Germany dropped by 4.67% in 2024, after shrinking by 27.72% in 2023. Textiles and footwear account for the main group exported to Germany, by 41.58% of the total, followed by Minerals, fuels, electricity by 26.77% and Machineries, equipment and spare parts, by 15.25%.

Spain remained the country's fifth partner, with 3.49% of the exports total, compared to 4.28% last year. Exports to Spain dropped by 31.21% on an annual basis in 2024. Minerals, fuels and energy (oil) account for the main group of exports to this country (76.22% of the total) and the performance of exports to Spain is directly linked to this product, which in 2024 fell by 40.87%.

Imports increased by 2.48% in 2024, after a decline of 8.17% in 2023. The main group of imports are "Machineries, equipment and spare parts", by 26.65%, "Food, beverages and tobacco", by 17.45% and "Construction materials and metals", by 13.41%.

Italy is also the main trading partner in terms of imports, by 21.17% of the total, followed by China, which continued to be the second partner, by 10.92%. Turkey was again the third partner, by 10.80%, with Greece ranked as the fourth partner, by 7.61%, replacing Germany, which was positioned fifth by 6.12%. Due to the slight increase in imports and sharp decline in exports, the trading balance sheet deteriorated at a faster rate than exports, respectively by 20.67% in 2024. Due to the deterioration of the trading balance sheet, the import-export coverage ratio decreased to 41.66%, compared to 50.45% a year ago.

In 2024, the average exchange rate of euro against the local currency was ALL 100.69 per 1 euro, depreciating by 7.41% compared to the previous year. This is the lowest level ever recorded since the introduction of Euro as a physical currency in 2002. The decline of Euro has reflected the high supply of foreign currency in the market, increase in foreign direct investments in real estate, significant improvements in the current account deficit, mainly due to the increase in emigrant inflows and tourist revenues. The common currency fluctuated during the second half of the year ranging from ALL 98 - 100, ending 2024 at the level of ALL 98.14. The historical lowest level was recorded as of November 14, at ALL 98.11.

Also, the US dollar demonstrated a downward trend, depreciating by 7.53%, to ALL 93.04, recording the lowest level since 2009, as a result of developments in the domestic market where the local currency strengthened significantly against major foreign currencies.

The Bank of Albania has continuously intervened in the foreign exchange market aiming at increasing its foreign exchange reserves, according to a calendar set at the beginning of the year, but also to curb the decline of the common currency. During the first 9 months of 2024, the Bank of Albania purchased a record amount of EUR 542 million in the foreign exchange market, of which EUR 228.6 million through planned purchases at auctions and EUR 313.7 million were direct purchases to curb the decline of the common currency.

For the entire year 2024, the Bank had purchased a total of EUR 249 million in the domestic foreign exchange market, with an increase of 75% compared to the previous year.

During the first quarter of 2024, the bank purchased EUR 32.6 million through three auctions. In the second quarter, EUR 101.6 million were purchased and in the third quarter a total of EUR 94.4 million. In addition to auction purchases, as of May 2, 2024, the Bank of Albania also began its interventions in the foreign exchange market in order to meet monetary policy or financial stability objectives, through the purchase of EUR 137.60 million during the second quarter and EUR 176.1 million in the third quarter.

Emigrant inflows for 2024 totaled EUR 1.04 billion, recording an increase of 12.48% compared to the same period a year ago. This is the highest level of remittances that emigrants bring to the country, at least since 2008, according to the last data reported by the Bank of Albania, and mainly reflects the revival of the emigration cycle in the country, since 2016. The continuous increase of emigrant inflows is linked to the new cycle of emigration that is occurring in the country over the recent years.

Following the population data review of the 2023 Census, the unemployment rates dropped to a historic low of 8.80% at the end of the fourth quarter of year 2024, a decrease of 0.80 percentage points compared to the same period last year, according to updated data from the Labor Force Survey. The unemployment rates for men in the fourth quarter of 2024 were 8.0%, while for women 9.6%. Compared to the same quarter of 2023, the unemployment rates increased by 0.1 percentage points for women, meanwhile it decreased by 1.5 percentage points for men.

The average monthly salary for an employee at the end of 2024 amounted at ALL 83,401. Compared to the end of 2023, the average monthly gross salary per employee was increased by 7.38%, compared to 13.70%, which was the increase in the same period of the previous year. Indexed to the average annual inflation, the real increase of salaries was 5.20%, compared to 8.90% last year.

The minimum gross monthly salary remained unchanged at ALL 40,000, unlike in 2023, when the government decided to increase it twofold. For the second consecutive year, the salary increase was led by the state sector, whereas the private sector grew more slowly, despite the issue of labor shortages due to emigration. The unchanged minimum salary reduced the pressure on the salary increase in the private market.

The average monthly salary for a state sector employee at the end of 2024 totaled ALL 100,437, an increase of 14.31% compared to the end of 2023 increase of 18.02%. The average monthly salary for a private sector employee totaled ALL 76,000 at the end of 2024, recording an annual increase of 9.50%, compared to 11.58% a year ago.

According to the Bank of Albania estimates the labor market conditions are still tight, and businesses are continuing to face difficulties in filling in vacancies. Salaries in the private sector continued to increase, however at lower rates, easing pressure on labor costs per unit.

Total budget revenues increased by 10.40% in 2024, following the positive trend of the economy, improving consumption and continuous increase of the average salary in the economy, which significantly improved revenues from personal income tax and social and health insurance contributions.

VAT remains the item with the most significant contribution on budget revenues, accounting for 30.12% of the total. Revenues from this item increased by 11.30% on an annual basis in 2024, rendering the main impact on total revenues. Health and social insurance contributions were 11.90% higher, influenced by the increase in wages. Unlike 2023, when revenues from income tax increased by 35.40%, in 2024 they dropped by 11.70%, affected by the expiry of the extraordinary energy tax.

Public expenses grew by 8.00% in 2024, with the strongest impact rendered by the increase in personnel costs, by 12.20%, as a result of the salary policy and special funds expenses by 11%, which are government subsidies to close the deficit pension scheme. Capital expenses shrank by 2.90% on an annual basis, characterized by their concentration on the last months of the year.

The budget deficit dropped by 42%.

The increase in revenues, and the expenses control have contributed to the reduction of public debt, which dropped to 54.73% of GDP, a decrease of 2.77 percentage points compared to the previous year. This is the lowest level of public debt since 2008.

Banking sector

During 2024, the banking system demonstrated an acceleration of its operations. Non-performing loans (NPLs) continued to drop further, with a growth in loans and deposits. The increase in profits led to an improvement of the profitability and profitability indicators.

According to data of the Bank of Albania, the total assets of the system by the end of 2024 reached ALL 2.09 trillion, recording an increase of 6.43% compared to the end of 2023, from 4.68% growth the previous year. As in previous years, the banking system invested available money in lending to the economy and operations with government securities. "Loans to the private sector and individuals" increased by 13.11% on an annual basis in

2024, accounting for 38.75% of total assets, compared to 36.45% at the end of 2023, indicating a more focused orientation of the banking system towards lending to the economy.

The Bank of Albania estimates that the favorable financial environment and high demand have supported the rapid credit growth during 2024. Credit expansion continues to be broad-based, covering the needs of businesses and households, both for investments and consumption as well as for working capital purposes. At the same time, the credit portfolio quality continues to remain positive – as evidenced by the low levels of NPL indicator – and a currency structure oriented towards the Albanian Lek.

The credit stock reached ALL 834 billion, marking an expansion of 12.17% on an annual basis, accelerating significantly compared to the 4.22% growth rate last year. Lending in local currency increased by 14.21% on an annual basis, meanwhile in foreign currency (expressed in ALL) it increased by 8.41% in 2024, compared to the previous year. Credit increase to the private non-financial sector was driven by the "Wholesale and retail trade", "Accommodation and food services", "Real estate activities", and "Construction" operations. Credits to this segment accounted for 56.29% of the total, whereas credits to individuals accounted for 38.77% of the total (the remaining shares mainly pertains to credit to public non-financial corporations). The credit stock in ALL, by the end of 2024 accounted for 58% of the total, recording an increase of 1 percentage point compared to the previous year.

Total deposits reached ALL 1.36 trillion by the end of 2024, recording an annual growth of 4.33%, compared to 2.57% the previous year, mainly driven by an increase of savings in the local currency. Savings in the local currency expanded by 8.62% on an annual basis, compared to 4.91% a year ago. Deposits in foreign currency, expressed in Lek, experienced a minimal growth of 0.91%. However, other data from the Bank of Albania on deposits in the common currency, reported in euro indicate that savings in euro in December 2024 reached EUR 8 billion, with an annual growth of 10.19%. The growth a year ago was 15.56%.

The system's profit for 2024, as reported according to local standards, totaled ALL 37.36 billion, marking an increase of 15.03% compared to the previous year, reaching the highest levels ever recorded. The faster growth of interest income, compared to interest expenses was the main reason that contributed to the improvement of banking system performance.
The high profit growth led to improved profitability indicators. Return on Assets (RoA) averaged 2.21% in 2024, compared to 1.85% in 2023. Return on Equity (RoE) increased to 18.90% in 2024, compared to 15.92% in 2023.

Non-performing loans by the end of 2024 were at 4.17%, compared to 4.74% in December 2023. This is the lowest level since 2007. The Bank of Albania deems that the credit portfolio continues to have good quality – as evidenced by the low levels of the non-performing loans indicator – and a currency structure oriented towards the Albanian lek.

Following the completion of the banking system consolidation process in 2019, which continued for about four years and which led to a reduced number of banks from 17 to 11, in 2023 there were no new developments in the banking system. The system continued to be well diversified, as per the origin of capital. At the end of 2024, 24.50% of the system's assets originated from Turkey, 14.40% from Austria, 9.90% from Italy. The share of banks with Albanian capital is continuously increasing, reaching 37.20% at the end of 2023, as compared to 35.80% in 2023. The share of Hungarian capital reached 8.80% of the total. Bulgarian capital accounts for 2.90%; German capital 2.30%.

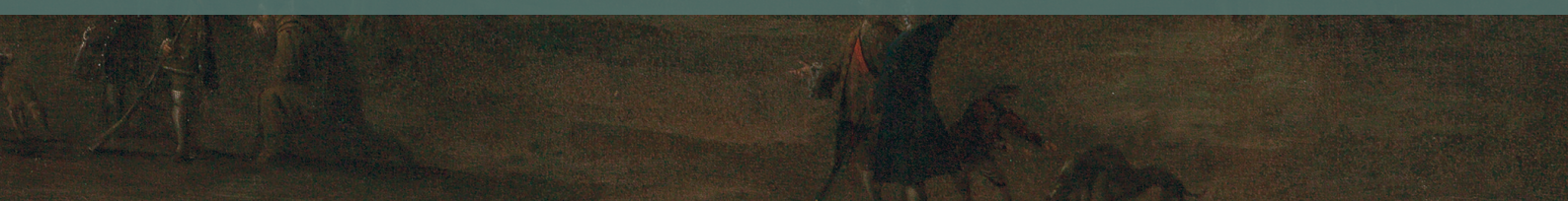
At the end of 2024, the banking system counted 405 branches, 20 more than the same period a year ago. That led to an increase in the number of staff, reaching 7,154, or 130 more employees compared to the end of 2023. This is the highest number of employees ever recorded in the banking system.

Key macroeconomic indicators 2020-2024	2020	2021	2022	2023	2024
Annual inflation (%) as of end of y/y	1.1	3.70	7.40	4.00	2.10
Unemployment rate (%)	11.8	11.50	10.90	9.50	8.80
Real GDP growth rate (%)	-3.3	8.91*	4.86**	3.44**	-
GDP at current prices (ALL billion)	1,644.10	1,866.70	2,149.70	2,369.90	2,494.20
GDP per capital (USD)	5,317.00	7,253.60	7,781.10	9,802.70	11,192.00
Public debt (% of GDP)	74.5	74.07	64.12	57.50	54.73
Budget deficit (% of GDP)	-6.7	(4.60)	(3.60)	(1.30)	(1.50)
Average exchange rate (ALL per 1 Euro)	123.8	122.44	118.92	108.75	100.69
Average exchange rate (ALL per 1 USD)	108.5	103.5	113.15	100.62	93.04

Data on Banking System	2020	2021	2022	2023	2024
Total assets (million lek)	1,581,466.00	1,773,793.00	1,877,308.00	1,965,276	2,091,593.00
Total assets to GDP (%)	100.58	100.25	91.21	85.01	83.96
Total credit to GDP (%)	38.72	37.65	34.67	32.17	33.47
Total deposits to GDP	70.75	68.73	62.07	56.42	54.57
Economy lending to total assets (%)	38.67	37.55	38.01	37.84	38.91
Total credit (in million Lek)	08,780	666,178.00	713,552	743,715	834,768.00
ALL Credit weight	0.52	0.52	0.52	0.57	0.58
FCY Credit weight	0.48	0.48	0.48	0.43	0.42
Total deposits in million Lek	1,112,433	1,216,059.00	1,271,642.00	1,304,310.00	1,361,206.00
Weight of ALL deposits	0.46	0.45	0.43	0.44	0.46
Weight of FCY deposits	0.54	0.55	0.57	0.56	0.54
Net result (in billion Lek)	16.87	21.63	21.68	32.48	37.36
Return on Assets (%)	1.02	1.33	0.94	1.85	2.21
Return on Equity (%)	8.65	12.17	8.48	15.92	18.90
Capital Adequ acy Ratio (%)	18.32	18.08	18.58	19.24	19.60
NPL ratio (% versus total)	8.11	5.65	5	4.74	4.17
Money outside deposit corporate (billion lek)	344.56	366.25	387.65	393.55	423.56
Money supply - money liability (billion lek)	1,456.99	1,582.31	1,659.29	1,697.87	1,784.76
MOB/Money supply (%)	23.65	23.15	23.36	23.18	23.73

(Data source: quarterly GDP publications, INSTAT; Labor Force and Labor Market Survey, Q4 2024, INSTAT; Banking system data, Bank of Albania and Association of Banks; Payments Balance sheet, Bank of Albania; Fiscal Statistics 2024, Ministry of Finance; Fiscal Macroeconomic Framework 2026-2028; Quarterly Public Debt Report; Monetary Policy Report of the Bank of Albania, Q4 2024.)

Financials at a Glance



FINANCIALS AT A GLANCE

INTESA SANPAOLO BANK / KEY FIGURES

Income Statement	2021	2022	2023	2024
Net Interest Income	3,486	3,688	5,948	6,373
Net Fees and Commissions	873	955	968	1,024
Pre-tax Income	647	1,518	3,652	3,804
Taxes	-127	-228	-598	-679
Profit	520	1,290	3,054	3,126
Balance Sheet	**2021**	**2022**	**2023**	**2024**
Total Assets	195,671	192,797	195,310	202,127
Loans	52,968	54,267	53,002	56,422
Securities	74,135	73,197	79,116	80,731
Due from Banks	33,853	34,425	43,503	49,447
Deposits	169,461	167,115	166,184	172,406
Capital	21,751	21,632	24,729	23,970
Total Liabilities	195,671	192,797	195,310	202,127
Indicators	**2021**	**2022**	**2023**	**2024**
Profit / Assets	0.26%	0.65%	1.56%	1.55%
Profit / Total Capital	2.39%	5.96%	12.35%	13.04%
Income from interest / Assets	2.09%	2.24%	3.45%	3.78%
Interest expense / Liability	0.40%	0.42%	0.50%	0.74%
Capital Adequacy	23.39%	26.46%	27.81%	24.55%
Net Assets / Employee	263	243	234	241
Number of employees	659	700	729	740

Values in ALL '000

	2023	2024	Change	Change in %
Net Interest Margin	5,967	6,373	406	6.8%
Non Interest Income	1,655	1,856	201	12.1%
Total Revenue	**7,623**	**8,229**	**607**	**8.0%**
Operating Expenses	(3,294)	(3,700)	405	12.3%
Loan Provisions	160	(202)	363	-226.1%
Net Income	3,054	3,126	72	2.4%
Return on Equity	13.2%	12.2%	-0.9%	
Cost/Income Ratio	43.2%	45.0%	1.7%	
Total Assets	201,330	208,236	6,906	3.4%
Total Loans (gross)	54,674	58,287	3,613	6.6%
Customer Deposits	166,184	172,406	6,222	3.7%
Total Shareholders' Equity	24,072	23,592	(481)	-2.0%

Values in ALL Million

Management Discussion

Management Discussion

Intesa Sanpaolo Bank Albania- Main Challenges and Achievements during 2024

In the face of the geo-political situation and consequently a diverse macro-economic environment, Intesa Sanpaolo found itself in a situation loaded with challenges and uncertainties. Intesa Sanpaolo managed to successfully act in agility and redefined quickly its priorities, while at the same time looking forward to its main strategic pillars. ISP Albania grew in terms of number of customers and profitable transactions in all business units, and increased its fee-based income supported by the increase of core customers.

During 2023, ISB Albania made significant progress in the following areas:

Solid capital position: the capital adequacy ratio in 2024 stood at the level of 24.55%, keeping ISP Albania in a comfortable position to take advantage of organic growth opportunities.

Credit quality: The NPL ratio increased marginally in 2024 to 3.186% vs 3.1% in December 2023. ISP applied a cautious approach with regard to NPL portfolio as the above increase is mainly caused by two subjectively classified customers.

Commercial activity: optimistic growth and a well-positioned commercial model focus on higher growth, especially under the Individuals component. Large Corporate lending was concentrated on financing industries like energy, transports etc., while lending on Retail was focused on mortgage loans and consumer loans.

Manage risk well

CREDIT RISK

Credit Origination quality was at healthy levels, with just 1.88% new lending for the last three years recording 90+ days average vintage.

New lending is acquired based on know-how and awareness of sectors' specificities, pre-defined solutions, policies & products, with main reference to "Sustainable Lending" as components of volumes increase. Such results also involved partnerships and risk- sharing agreements with experienced partners such as EBRD. ISP also was focused on capacity building regarding sustainable lending, as renewable energy production plants evaluation, in cooperation with IFC.

Intesa Sanpaolo has set guidelines and rules regarding the Environmental Social Governance, important for the lending process. Hence, ISBA does not lend in the coal sector, and will gradually and eventually, within 2030, exit from all sectors involved in exploration and production of Tar sands, Shale/tight oil&gas and other similar operations. In this context, ISP has continued during 2024 designing specific loan products focusing on sustainable lending, supporting its customers with the best sustainable financing.
ISBA, being conservative has set Risk Appetite limits, which are defined by ISBA's Board of Directors, and which are revised annually and are closely monitored. This has led to ISBA's maintaining a good quality portfolio, and risk mitigation. For 2023, ISBA adhered to all Risk appetite limits.

ISBA, in compliance with Group rules, has put in place a Risk Appetite Framework (RAF) with regards to the control of main risks such as: Credit Concentration risk, Real Estate risk, Sovereign risk, Foreign Exchange credit risk, etc.
The function of Proactive Credit Exposures Management (PCEM) has been in place since 2016, providing for more pro-active credit quality monitoring and addressing credit deterioration from the outset.
The framework on Credit Control activities, setting up 1st and 2nd level controls on credit area aims at a prompt and better identification of any inadequate credit practices and mechanisms, as well as ensuring effective corrective actions.

The Bank has been applying the IFRS 9 standard since January 1, 2018, by re-classifying the financial assets in stages as per risk classification applying respective credit losses calculation (1 year or Lifetime expected credit losses). While in 2019, the bank adopted the New Definition of the Default, in compliance with ISP Group rules.

NPL MANAGEMENT

2024 maintained the positive trend in the loan portfolio quality. The Bank continues to out-perform the Banking sector average regarding the NPLs maintaining the same low NPL ratio as 2023. These results were mainly due to:

- Early intervention on positions potentially subject to restructuring / rescheduling, avoiding portfolio deterioration, combined with support / involvement by Under-writing team and the new PCEM role, in defining solutions from early revision stages to later deteriorated ones.
- NPL stock reduction, and bringing it to healthy levels, enabled by good outcomes in collections, coupled with the moving off balance sheet of staled positions, in line with the regulations of the Bank of Albania.
- Re-possessed assets structure and activity, a separated unit under Operational Division that went on generating positive results with regards to assets marketing and sale.

RETAIL BANKING

During 2024, the bank managed to grow in its core indicators. An outstanding result has been marked in Loan Volumes, with 9% increase. This result was backed by continuous increase in consumer loans and stable increase in mortgage loan products. Dedicated service model combined with selected products kept bank's competitive position in deposits. If it was not for the negative impact on FX rate, an increase of 5% would have resulted on the deposits side.

Positive results were also available for commercial figures, keeping positive growth on all indicators, with improved "activity ratio" and an impressive increase of 5% on "core customers".

In the past year, our retail banking division has successfully launched several innovative products aimed at enhancing customer access to financing and promoting financial inclusion. The Bank's Mortgage Loan for Young People targeting individuals aged 20-35 years of age provides flexible credit terms such as: a maximum tenure of up to 30 years and options for grace periods and eased amortization schedules. This initiative not only enriches our ESG product catalogue, but also aims to increase our mortgage loan portfolio and market share, while supporting our corporate social responsibility goals.
Additionally, we revised our Personal Loan maximum limit to ALL 3,000,000 for customers with declared salaries, which already places us in a better position to meet market demand, while increasing consumer loan market share.

In December 2023, ISBA achieved a significant milestone by winning the government tender for the provision of Subsidized Student Loans, in partnership with AKFAL (National Agency for Financing Higher Education Studies) and the Ministry of Sports and Education. This innovative product, featuring an unsecured consumer loan with a fixed interest rate of 6% throughout the loan term will provide substantial financial support to students pursuing higher education. Under the agreement signed in May 30, 2024, AKFAL will subsidize 5 percentage points of the interest rate for students during their studies, making this loan highly competitive and accessible. With tailored terms for various study cycles, including up to six years for General Medicine, the Subsidized Student Loan demonstrates ISBA's commitment to supporting education and fostering economic growth in our community.

Our commitment to sustainability is demonstrated through the launch of Green Loan products in cooperation with the EBRD/GEFF. These products are designed to support customers in investments towards a green economy. In line also with regulatory requirements, we introduced the Payment Account with Basic Services, ensuring accessibility for all individuals, irrespective of income level. Lastly, the introduction of the 3-Year Step Down Interest Rates Term Deposit campaign reflects our strategic focus on delivering competitive and attractive savings options to our customers. Collectively, these initiatives highlight our commitment to enhancing customer service and driving growth within the retail banking sector.

October 2024 marked the official launch of our **Commercial Intranet**, "ec!". This innovative platform is designed to enhance the work experience of our sales staff, and to support our Head Office colleagues by providing tailored resources. "ec!" will serve as a comprehensive hub, offering streamlined access to essential information such as: product features, procedures, and terms, ultimately facilitating the daily job of our colleagues, as well as being able to provide timely service to our customers.

Asset Under Management - Eurizon Investment Funds

During 2023, ISBA was licensed as sales agent of recognized investment funds/sub-funds managed by Eurizon Capital S.A, a leading asset management company within the Intesa Sanpaolo Group. This milestone marked a strategic expansion of the Bank's investment offering, while re-inforcing its commitment to delivering high-quality wealth management solutions.

In 2024, the Bank took further steps to strengthen its Asset Under Management (AUM) activity. The product portfolio was enriched, expanding the products in shelf from one to six Eurizon funds/sub-funds, providing clients with broader opportunities for portfolio diversification and access to across global markets. To ensure high standards of service quality, the Bank conducted extensive and on-going training programs for its sales staff for enhancing the product knowledge and skills, as well as expanded the sales agents recognized by AFSA.

The AUM growth portfolio reflects strong client engagement and an increasing demand for diversified, internationally-oriented investment strategies. This positive moment highlights the success of the Bank's approach in aligning investment offerings, with clients' evolving financial goals.

BANCASSURANCE

In 2024, the Bank continued to strengthen its position, building on the solid foundation established the previous year. It remained committed to delivering innovative insurance solutions that enhance customer protection and diversify revenue streams.

To elevate service quality, the Bank conducted extensive training programs, equipping sales staff with advanced product knowledge and advisory skills. By year-end, over 65% of branch sales employees were certified as insurance agents, ensuring expert guidance and a seamless customer experience.

Bancassurance continued its strong growth, contributing significantly to the Bank's financial performance through increased commission income and a more diversified revenue base.

CUSTOMERS RELATIONS

2024 marked an important year in our revision of our commercial approach and segmentation, with the ultimate aim of serving better our customers. Acknowledging that the tools we use are instrumental in supporting customer service levels, we successfully managed the upgrade the Customer Relationship Management platform (CRISP), while introducing new features which improve our interaction, while ensuring more precise targeting, analyses, and interaction with our customers.

Despite the challenging landscape, we managed to increase by 1.3% the total Retail Customer base, while maintaining a consistent level of active customers. The focus throughout 2024 was more in improving the quality of our portfolio, by revising our strategies, campaigns and execution, brining them closer to the needs of the existing customers.

Through consistent communication and engagement, our goal has been to establish trust and loyalty, ensuring that our customers feel appreciated and assisted throughout their banking journey. The increase by 14% in contacted customers compared with December 2023 clearly indicates our unwavering commitment to providing exceptional service, nurturing enduring relationships and it is also a reflection of our dedication to serving as a reliable financial partner for our customers.

BRANCH NETWORK AND INFRASTRUCTURE

In 2024, Intesa Sanpaolo Bank Albania continued to invest in the modernization and optimization of its physical presence to better serve evolving customer needs. As part of these efforts, the **Durres Branch** located in Vollga area was fully refurbished in line with the Group standards, offering a more modern, spacious, and customer-oriented environment.

To enhance customer autonomy and improve self-service opportunites, the Bank expanded its Cash Deposit Service machine network by installing **two new units** in **Vlora Transballkanike** and **Rruga e Durresit Branch**, bringing the total number of these ATMs across the Branches network to **12**. These enhancements support our broader strategy of blending physical and digital touchpoints, improving accessibility and customer convenience.

DIGITAL BRANCH

Throughout 2024, the Digital Branch further solidified its role as a core channel for customer service and sales. The team handled over **129,000 inbound calls** and proactively conducted more than **114,000 outbound calls**, playing a vital role in responding to customer inquiries, supporting commercial campaigns, and strengthening remote client relationships.

To support the growing demand and improve user interaction, the **Digital Branch platform was upgraded with new features**, enhancing functionality, operational efficiency, and the overall customer experience. These developments re-affirm the Bank's commitment to digitalization and innovation, aligned with its 2022–2025 Business Plan.

EXTERNAL SALES ACTIVITY

Intesa Sanpaolo Bank Albania continued to diversify its outreach through external partnerships and cross-segment collaboration. The Mortgage Center, dedicated to clients from our partners' ecosystem disbursed ALL 178 million during 2024. Meanwhile, the partnership on the consumer loan referrals generated 151 referrals.
The Bank also intensified its engagement with educational institutions, with the view of promoting financial literacy and youth empowerment:

- Held **Visa Inspire Card and Youth/Student Package promotions** at **UNIZKM, Agricultural University of Tirana**, and **Epoka University**.

- Partnered with the **Agricultural University of Tirana** for the launch of an **International Master on "Open Innovation and Youth Entrepreneurship in the Mediterranean Green Sector**," where the Bank served as the exclusive private partner, contributed financially, and engaged two of its managers as faculty members.

- Hosted **a presentation of the Master's Program** at the Pyramid Branch, engaging clients and stakeholders in agro-tourism and sustainable development.

- Signed **a scholarship agreement** with the **College of Europe in Tirana**, granting **€27,000** to support two students in the "Master of Arts in European Transformation and Integration."

- Celebrated **World Earth Day** through an awareness event co-organized with the Agricultural University of Tirana, offering environmental education to pupils of the "Emin Duraku" school.

These initiatives highlight the Bank's ongoing commitment to responsible growth, education, innovation, and financial inclusion across its operating landscape.

CHANNELS

In 2024, the adoption of digital banking experienced steady growth. The number of individual customers using digital banking increased by 16 %. The total penetration of customers with online channels has reached 40%.
Despite a challenging year in terms of developments, there was a notable 13% increase in digital transactions compared to the previous year indicating the preference for digital banking usage among customers. We maintained a steady pace of overall digital transaction therefore 87% of all individual transactions are now conducted through ATMs and digital channels.

In line with the strategic focus of Intesa Sanpaolo Bank Albania and attention to customer needs, in April 2024, the Bank launched its latest functionality for **Mortgage Loan Applications** (leads) through our website. This initiative aims to provide a simple and streamlined process through which clients can express their interest in a mortgage loan product, thereby improving the Bank's ability to serve them across various channels. As clients increasingly turn to digital channels to meet their banking needs, it is essential for us as a Bank to adapt and introduce innovations that fulfill those needs. By activating the online application process (leads) on our website, we not only embrace digital transformation but also leverage the opportunity to interact better with our clients.

For our online channels, we additionally enhanced the experience with **Web Queuing** launched in December in selected branches. This service is designed to enhance our customer experience and streamline our queuing service simply from the mobile device.

In 2024, in line also with regulatory requirements, the Bank started its Journey towards an Open and Integrated Ecosystem. The new **Open Banking** Paradigm enables licensed Third Parties Providers to operate (Perform payment and check account data) by using the new Bank's ecosystem. After months of intensive work and alignments, the bank was operationally ready for its commercial launch in December 2024. In the Open Banking ecosystem the Bank's **digital channels will become more central** for the clients that will be able to access a wider set of financial data at their convenience.

Corporate Banking & SMEs

The Corporate & SME Division remains committed to integrating an ESG-oriented approach into its business activities, in line with Intesa Sanpaolo Group's Business Plan (2022-2025), which establishes ESG as a fundamental strategic pillar. In pursuit of these objectives, the Corporate & SME Division has placed significant emphasis on promoting financing products that support ESG investments, by impacting simultaneously the sustainable economic development in Albania.

In 2024, The Division's lending activities have been particularly focused on financing investments in the green and circular economy. This includes funding for green buildings, the installation of photovoltaic plants, investments in hydropower structures, and the purchase of electric vehicle fleets, through financial leasing solutions. Within this framework, 21 new credit lines have been granted to Corporate & SME clients to finance ESG-related investments, amounting to a total of approximately €47.5 million, representing an increase of about €39 million compared to the previous year.

Corporate & SME Division continues with dedication its efforts to offer an extended range of products and services including, but not limited to the standard loans, overdraft facilities, project financing & syndication loans, as well as trade finance facilities (bank guarantees and letters of credit), time deposits and other treasury products (spot and forward FX transactions), payments (domestic and international), POS -terminals, business cards, etc.

The focus of Corporate & SME lending activity during last year has been supporting businesses affected by the disruption in global markets coming from the international geopolitical situation, with short term and working capital financing, while continuing financing the investments in main industries of the country, with highest consideration given to the quality of lending portfolio. By the end of 2024, Corporate & SME loan portfolio resulted with an increase of 4% versus beginning of the year, which if normalized with FX impact results in 9% increase.
Project financing and syndication loans continue to represent a key area of lending activity for Intesa Sanpaolo Bank Albania. In 2024, approximately €50 million was disbursed to Corporate & SME clients investing in this area.

Strengthening its position as a key financial partner, the bank continues to offer more attractive lending solutions through collaboration with International Financial Institutions and the Albanian Government. A standout initiative within this framework is the Albanian Agribusiness and Tourism Support Facility (AATSF), which not only provides risk- sharing support to companies investing in agribusiness and tourism, but also grants customers an additional 10% incentive under this program. In 2024, several Corporate & SME clients benefited from this facility, for a total amount of €4 million in financing. Given the significant success of this initiative, the Bank is exploring further opportunities to expand this facility, which would consequently increase the available incentive amount, to drive an even greater impact in these vital sectors.

Last year "Cassa Depositi e Prestiti ("CDP") approved a 10 million EUR loan in favor of Intesa Sanpaolo Bank Albania under the Program "Green Finance for Inclusion" (Program supported by European Union), aiming to support the green transition of local MSME's towards energy efficient and climate resilient investment opportunities in the country.

This strategic agreement, concluded in coordination with the International Bank Division of ISP Milan has opened new opportunities for businesses to access financing at more competitive rates compared to standard Intesa Sanpaolo Bank Albania and local bank offerings. It has also broadened the financial support to a wider range of business segments, enhancing both local and international visibility for Intesa Sanpaolo Bank Albania as the only financial institution in the country offering such benefits under the EU's Economic and Investment Plan for the Western Balkans. Over the past year, several clients have been benefited from this initiative, for a total financing amount of € 3.1 million. All the supported projects are fully aligned with environmental and social criteria. By fostering sustainable investments and facilitating access to green finance, Intesa Sanpaolo Bank Albania continues to play a pivotal role in shaping a more resilient and climate-conscious economy.

Trade finance facilities offered to Corporate & SME customers experienced remarkable growth, with the volume of letters of credit (LC) and bank guarantees (BG) rising by 65%. This growth contributed to a 44% increase in commission incomes generated by trade finance services.

Intesa Sanpaolo Bank Albania remains at the forefront of innovation in international trade finance by actively promoting the "Confirming" facility, an advanced International Supply Chain Digitalized Finance Program. This initiative seamlessly connects buyers and suppliers across multiple European markets, including Serbia, Slovakia, Hungary, Romania, Slovenia and Italy, strengthening cross-regional commercial ties and fostering economic collaboration. At the close of 2024, nine Corporate & SME clients, operating as exporters have leveraged this facility to accelerate their receivables, enhancing liquidity and operational efficiency. Throughout the year, 298 invoices have been successfully processes via the "Confirming" platform, totaling an impressive amount of € 8.8 Mio. Beyond benefiting exporters, this facility provides buyers with a strategic advantage by optimizing their working capital and reinforcing financial stability across the supply chain. Consequently, "Confirming" has proven to be a strong enabler of International Trade driving seamless and efficient cross-border transactions.

Intesa Sanpaolo Bank Albania has successfully expanded its Financing Leasing offerings, particularly for passenger vehicles, light commercial vehicles, transport and electric/ hybrid vehicles, with a strong emphasis on promoting green transportation. In 2024, ISBA financed 46% more vehicle purchases, representing an 18% increase in value compared to the previous year. ISBA is developing new financial leasing products to support customers' needs for equipment and machineries.

Demonstrating its steady commitment to enhancing customer service, in 2024 Intesa Sanpaolo Bank Albania introduced a New Business Model for SME clients. This forward-thinking approach led to the establishment of three dedicated SME Centers, strategically located in Tirana, Durres and Vlora and direct presence in Shkodra, Korca, Elbasan and Fier. Designed with an advanced organizational structure, these centers empower SME Relationship Managers to foster stronger connections with businesses, extending their support beyond city limits to the surrounding areas. Launched at the end of last year, this initiative aims to deliver an elevated level of service, providing SME clients with a more convenient environment, efficient and tailored banking experience.

Digitalization has long been and remains a cornerstone of Corporate & SME business development. Over the past year, ISBA has significantly enhanced its Internet Banking Platform, delivering a more secure functional and intuitive user experience. The implementation of this advanced platform was aimed at accelerating customer adoption of e-channels, reducing reliance on cash transactions while offering the added advantage of time savings and lower cost for customers derived from preferential pricing applied for online transactions compared to those conducted in branches. With a strong emphasis on dynamic digital transformation, our Cash Management team has intensified efforts to optimize payment processes, ultimately improving customers cash-flow efficiency, while driving revenue growth for the Bank. As a result, the volume of transactions conducted through e-channels has risen substantially, now accounting for around 75% of total transactions, compared to just 25% in branches.

Throughout 2024, the Corporate & SME Division persisted in its commitment not only towards acquiring new customers, but also to strengthening relationships with existing ones. Recognizing that customer retention is just as fundamental as acquisition, the bank places great emphasis on analyzing data form every interaction with The Corporate & SME clients. This approach empowers Relationship Mangers to anticipate customer needs and deliver personalized service, fostering long-term loyalty. Leveraging to our advanced CRM platform, ISBA continuously monitors the overall health of our clients' businesses which makes possible the generation of precise forecasts, proactive tracking of developments and efficient allocation of resources, for enhancing service quality. By identifying key market trends, we drive greater adoption and utilization of Corporate & SME banking products, increasing consequently, client engagement, and contributing to the bank's overall positive results.

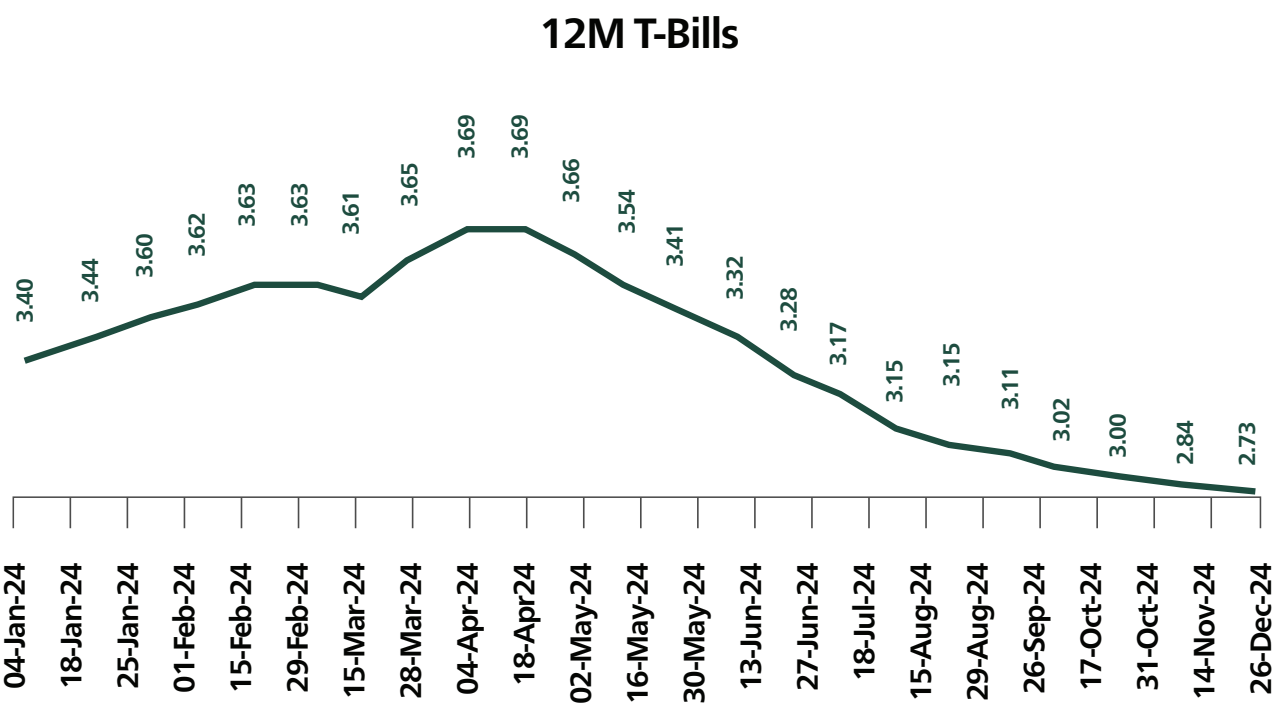
Finance and Capital Market

During 2024, Treasury and ALM delivered an increased contribution in NII related to the investments in both Albanian Government and Foreign Currency Securities, which was driven mostly by the structural management in the Local Currency and volume increase in the Foreign Currency.

The domestic market was under the influence of two major factors: the first was the base rate which after reaching the peek value of 3.25% in November 8, 2023, in reflection of the drop in inflation, started the deflation reaching level 2.75% in November 13, 2024. On the other hand, there was a growing demand from the Ministry of Finance reflected in an increased Net Domestic Borrowing in 2024 compared with 2023. As result, the yields of the 12M T-Bill in the local currency, the most sensitive domestic instrument to the market condition developments, preserved a slower decreasing trend in 2024 varying from 3.69% to 2.73% with average 3.36% versus the range 5.34% to 3.09% with average 3.68% in 2024.

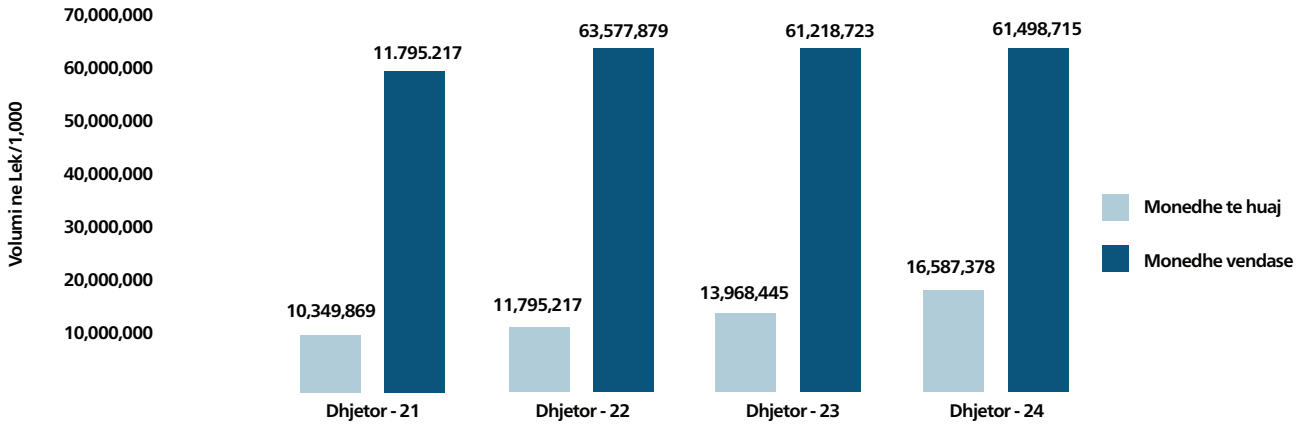
As for the international market, ECB and FED both decreased their base rate. Starting in June, the EUR deposit facility rate was cut from 4.50% to 3.25% by December, while during September – December the federal funds rate reached the target range 4.25%–4.50% from 5.25% to 5.50% at the end of 2023.

In the Foreign Currency investments, the decrease of yields was mostly offset by the increased volume in the high-quality T-bonds, mostly short term, offering higher returns and liquidity flexibility.



At the same time, there was a careful management of the excess of liquidity available on the Nostro accounts through Money Market financial instruments supported by the increased number of financial institution counterparties for an effective allocation and best tenor distribution in respect of all risk and liquidity indicators.

Other important activities of this Department, closely related to the activity of Corporate & SME and Retail customers have focused on competitiveness in trading the financial instruments like Spot Foreign Exchange transactions and Albanian Government securities in the retail market, both increased compared to previous year.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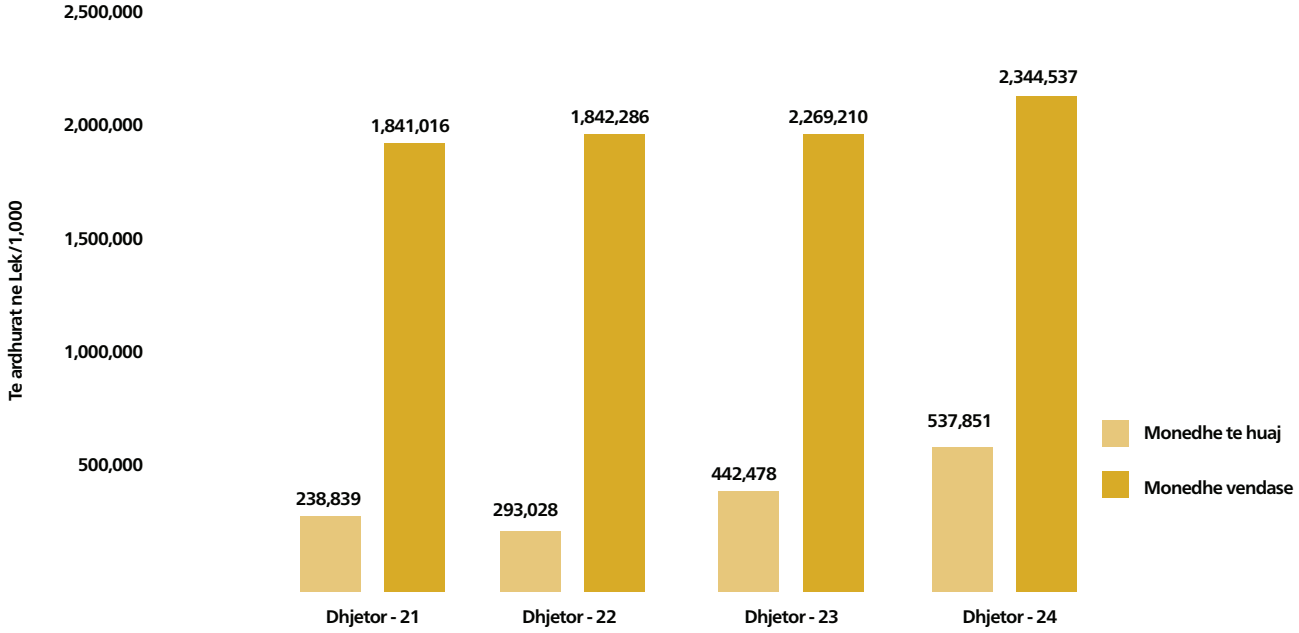
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Monedhe vendase

Operations

Through 2024, changes were introduced in the organizational Structure, creating a consolidated Division of Chief Operating Officer (COO) area, marking a strategic transformation in the organization's operating model, aimed at enhancing efficiency, security, and service integration. The newly established COO role will be to oversee key operational domains, including ICT, Security & BCM, Back Office, and Logistics, ensuring a more streamlined and cohesive approach to operational management.

This change is designed to optimize resource allocation, drive digital transformation, ultimately strengthening the organization's agility and responsiveness. By centralizing these critical functions under a dedicated leadership structure, the organization is better positioned to enhance operational resilience and support sustainable growth.

This annual report provides a comprehensive overview of COO division's performance, achievements, and challenges, showcasing the initiatives that have strengthened our infrastructure, operational resilience, enhanced customer experiences, and bolstered our security measures. Through dedicated teamwork and a focus on continuous improvement, the COO division has contributed to the bank's success and positioned us well for future growth.

ICT Department

Among the **ISP Group Initiatives**, the main projects that were finalized during 2024, for the implementation of solutions in compliance with ISP Group standards and important regulatory institutions such as ECB and Bank of Italy include:

- **Flexcube Core Banking System upgrade program** – 2024 marked the successful completion of a 2-years Transformational project in ISPBA for the first implementation of Multi-entity core banking platform, based on Oracle Flexcube Core Banking and the Darwin Common Integration Platform, with successful Go-Live in 2024, February 19.

Several other projects that were carried out in paralel, include:

- OBDx implementation
- Digical sprint
- ACUMEN upgrade

Through these endeavors, ISPBA and ISP structures have demonstrated the strengthening of competences and capabilities over migration projects and the multi-entity technologies, in a precious cooperation with all external partners and providers.

- **Upgrade of Internet Banking Platform for Legal Entities (OBDx)** -Along with the Flexcube Core Banking System upgrade, the project for the upgrade of the internet banking solution for Legal Entities to the new version of OBDx was successfully completed in February 2024.

- **Acumen Upgrade** – Upgrade of the obsolete version Front End Treasury system (ACUMEN) to the latest release 9.24 was also completed during 2024. Upgrade scope also included migration of Acumen to Acumen. plus, and implementation of Acumen.plus Reporting 360 view modules. The upgrade was mandatory for enabling the integration of the Front-End Treasury system with the new version of Flexcube 14.7.

- **Digital Branch** - The Digital Branch project aimed to transform the contact center from a traditional assistance model, into a Digital Branch that performs both service and sales operations. This shift, driven by the accelerating digitalization and adoption of remote interaction channels, successfully achieved the project's objectives and deliverables in the course of 2024 and continuing the automatization and additional features within 2025. The Digital Branch omnichannel platform is based on the market leader Genesys PureCloud SaaS platform, and it is one of the first full cloud applications of the bank.

- **CRISP Upgrade** – Upgrade of CRM to the new version CR-SP 16 was also completed during 2024. The goal of the project included an improved application and all changes implemented in the technical aspects.

- **ECB Loan Tape** – Activities for the Data Harmonization and Enhancement of BFD Data Feeding process have been completed according to the agreed plan during 2024. The aim of the project was to fulfill ECB requests to financial institutions to produce Credit Risk Loan Tapes to support On-Site Inspections (OSI), by suppling a standard informational set. Implementation of the new fields are aligned with the full scope of the project targeting the Go-Live date on December 2025.

New services and products with special focus on alternative channels were also finalized, resulting in an increased range of self-service features for the customers, namely:

- **Open Banking** – Following the local regulatory requirements, with regards to PSD2 implementation, ISP Albania Initiated the Open Banking project in 2024 which was successfully completed within regulatory timelines. ISP Albania was the first bank in Albania market to implement in production the Open Banking standard. The new Open Banking Paradigm has enabled Third Parties Providers to operate (Perform payment and check account data) by using the new Bank's ecosystem.

- **Commercial Intranet** – Serving as a unique platform where to publish and find all relevant news related to products and services, Procedures, Terms & Conditions, institutional Internal/external information. Activities related to designing, developing and implementing the platform have been successfully completed during 2024.

• **Mutual Funds Distribution (AUM)** – The main objective of this project was the launch of the Distribution of Investment funds instrument established by Eurizon in Albania, in order to promote the Bank's image in the market, while concomitantly expanding the range of fee-based services along with innovative products. Front End solution developed by local ICT, automating most of the steps of the internal ISBA application processes has been successfully completed.

Infrastructural and IT Security related initiatives

- **Upgrade of old operating systems** - Actions for upgrade of machines and applications to latest versions have been continuously executed.

- **Local Centralized Storage Migration -** Local centralized Storage in Primary site is migrated from legacy physical Hard-Drives to modern Flash Non Volatile Memory Express technology. The new technology is quite faster and much more prone to hardware failure.

- **Upgrade of Network Equipment in Local DR Site -** The old End-Of-Life Core network equipment of local DR Site have been upgraded with new equipment in which we can implement the latest security technologies like TrustSEC.

- **Migration of IBM AIX machines to new hardware -** The Logical Partitions of Oracle Business Intelligence and CR-ISP applications have been migrated from the old End-Of-Life IBM Power8 hardware to the new Power10 hardware, in Cooperation Primary and DR sites.

- **Upgrade of VDI Operating Systems -** End User Operating Systems have been upgraded to the latest version of Microsoft Windows10, aiming towards uniformity in all OS-es for End User computing.

Security & BCM Department

In Line with ISP Group industrial plan, ISP Bank Albania has followed the ISP Group Strategy by adopting and aligning the local context with parent company technological target solutions and processes.

The 2024 Cybersecurity Posture assessment highlighted an increase for "**Protect**", "**Detect**", and "**Recover**" functions mainly thanks to the completion of technological initiatives of Cyber Group Resilience Program as:

- Adoption of the target Identity and Access Governance solution
- Enabling of anti-DDOS solution
- The integration of logs collection into Group SIEM solution
- Migration of the ISPB Albania Core Banking on Parent Company environments.

The strategic goals to be pursued by ISP Bank Albania, in cooperation and under the guidance of Intesa Sanpaolo Group aim at raising awareness regarding cyber risks and cyber posture by implementing the Group Extended Integrated Model on Information Security through this customized security program (Integration Plan) organized in three mainstreams of intervention/enhancement:

A. Governance - adoption of the Information Security Model including various macro areas of intervention, such as:

- Adaptation of Parent Company security rules into local regulatory framework
- Enhancement of the Security and Business Continuity Awareness & training
- Definition and local approval of the Information Security Plan dhe BCM Information Flows
- Third Party Clasification and Monitoring
- End Of Life systems management
- Execution of Risk Target Process operative model

B. Measures/projects - implementation of the Target Security Measures and finalization of ongoing projects:

- Endpoint Protection - ATM Protection Solution - [Target Solution]
- User and Profiles Lifecycle Management – Implementation of Group target Identify Governance
- Replacement of the PAM solution with Group Target solution
- Adoption of Two Factor Authentication for online transactions
- Enhancement of Asset Inventory
- Activation of Encryption Solutions
- Feasibility study on the implementation of a solution for data at-rest encryption
- Cloud Security – Extension of further cloud protection and monitoring solutions
- Fraud detection and prevention – Review and adoption of effective monitoring rules

C. Integrated Control Model: Completed the Control Plan for 2024 in line with the defined plan in coordination with the Parent Company.

The Bank remains committed to maintaining a safe and secure environment across all branches and offices. In 2024, we enhanced our physical security framework through the implementation of advanced monitoring systems and rigorous security protocols. Regular audits, staff training, and emergency preparedness drills were conducted to ensure continuous alignment with industry best practices and regulatory requirements. These measures are integral to safeguarding our employees, customers, and assets, while supporting uninterrupted banking operations.

Back Office

In the course of 2024, the Back Office strengthened its internal control, enhanced automation, and optimized workflows, with the goal of improving efficiency and reducing processing time.

Key activities included:

- Enhancement in transactions strait through processing
- Piloting of Robotic Process Automation
- Further automation of reconciliation procedures

By leveraging technology and through process enhancements, ISBA has successfully minimized operational risks and improved service delivery. Our commitment to operational excellence continues to support the Bank's overall strategic objectives, ensuring accuracy, security, and compliance in all financial operations.

Logistics

In compliance with group politics and guidelines, the Department of Logistics continued its focus on enhancing efficiency, ensuring environmentally-friendly policies, cost and surface optimization, cost reduction, while improving client satisfaction and the bank's image.
The Logistics Department provided substantial support to all business segments, by adaption of the spaces for three SME centralization centers to Lapraka , Vlora Sadik Zotaj and Durres Main branch.

The refurbishment of the last one, the Durres Main branch near Vollga, property of the bank, that includes the SME space center too, helps in cost saving and optimization, customer's facilities and ensuring friendly environment for better working conditions for the staff of our Bank as well, with more natural light, fresh air and more spacious working place. in consequence we realized Occupational Health & Safety principles for the well-being of the staff and the institution are in full compliance with Intesa Group guidelines and the national legislation.

In line with the Green Banking Procurement, ISBA undertook the total replacement of the part of diesel vehicle fleet with electrical cars.

In the context of the Governance rules, ISBA completed the Procedure Workflow on Corporate Insurance, in line with ISP Group Rules on Corporate Insurance.

Financial Review

Financial Review

In 2024 ISP Albania declared a net profit of ALL 3,126 million.
Compared to 2023, net revenues increased in all components.

Transaction-based revenues continued to present core stable income compared to the previous year, motivated in particular by cards business. Credit quality continues its positive trend, by keeping NPL ratio stable at minimal levels.

Net profit in 2024 was strongly affected by the good performance on revenues and loans provisions. The Bank managed to deliver a good performance, while concomitantly maintaining a healthy Balance Sheet structure.

The analysis is performed based on 2024 and 2023 results, according to IFRS reporting standard. If otherwise stated, all figures are presented in millions of ALL.

2024 Results Highlights

		Change	
		amount	%
NET INCOME (LOSS)	3,426 / 3,054	72	2%
Minority interests			
Levies and other changes concerning the banking industry (net of tax)	-400 / -351	(8)	2%
Charges (net of tax) for integration and exit incentives	-294 / -258	(36)	14%
Taxes on income	-801 / 713	(88)	12%
Income (loss) before tax	4,621 / 4,416	205	5%
Other income (expenses)	4 / 5	(1)	-19%
- Net impairment losses on other assets	306 / -40	346	-862%
- Net privisions for risks and charges	-16 / -17	(21)	-56%
Net adjustments to loans	-202 / 160	363	-226%
Operating margin	4,930 / 4,328	202	5%
Operating costs	-3,700 / -3,294	(405)	12%
Adjustments to poperty, equipment and intangible assets	-461 / -417	(44)	10%
Other administrative expenses	-1,418 / -1,209	(209)	17%
Personnel Expenses	-1,820 / -1,668	(152)	9%
Operating income	8,229 / 7,673	607	8%
Other Operating Income (Expenses)	-9 / -10	(0)	-5%
Net result of fin. assets and liab. valued at FV through PL and on Oth.	841 / 697	145	21%
Net fee and commission income	-1,024 / -968	56	6%
Net Interest Income	6,373 / 5,967	406	7%

Lending Results – entirely generated in domestic market

• Total performing loans, as of December 2024 stood at ALL 58,287 million, up by 6.6% from Dec 2023, driven by Corporate Segments. However, it is important to mention that Retail segments delivered an excellent performance. Overall y-o-y performance on lending and funding is strongly impacted by the exchange rate effect, considering that our Bank has a concentration in fcy of 54% of its portfolio.

Credit quality – stable level

• The NPL ratio increased marginally in 2024 to 3.2% vs. 3.1% in December 2023. Total Non-performing loans in Dec-2024 stood at ALL 1,857 million, up by 10.8%% compared to December 2023.

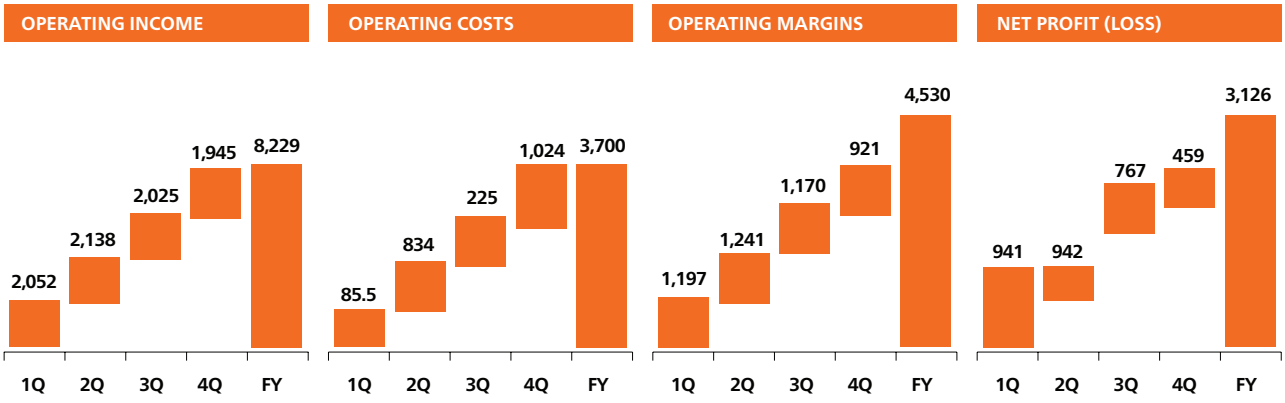
Strong capital position

- Regulatory Capital in December 2024 stood at ALL 23,592 million, down by 2.0% from December 2023, impacted by the dividend distribution during the year.
- Capital Adequacy Ratio at 24.55%, down by 3.27% (December 2023: 27.81%)

Cost discipline and efficiency

Cost income ratio at 45.0%, up by 1.7% (December 2023: 43.2%)

Quarterly development of main consolidated income statement figures (ALL in mln)

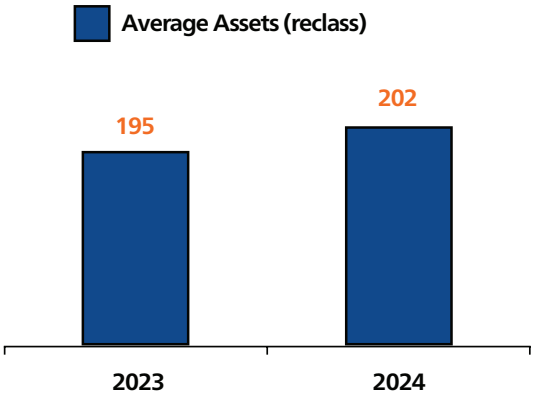


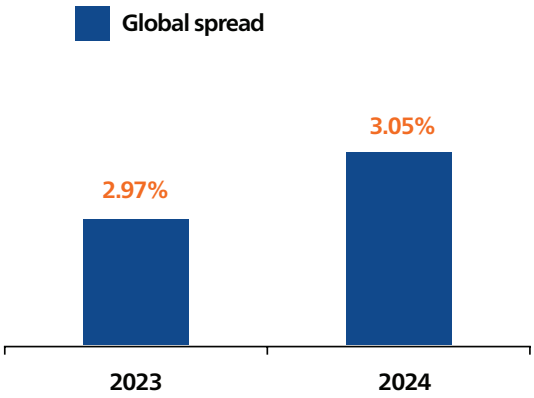
Operating Income

In 2024, Operating Income increased by 8%, primarily driven by the positive effects on Interest Income, higher by ALL 406 million:

• Interest income

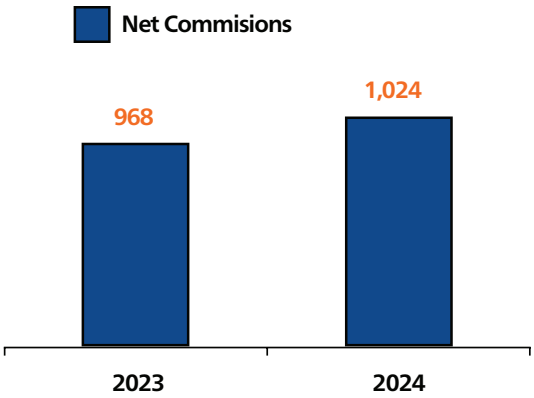
Net Interest Income increased, primarly supported by the high interest rates in market and the good performance of the performing loans.

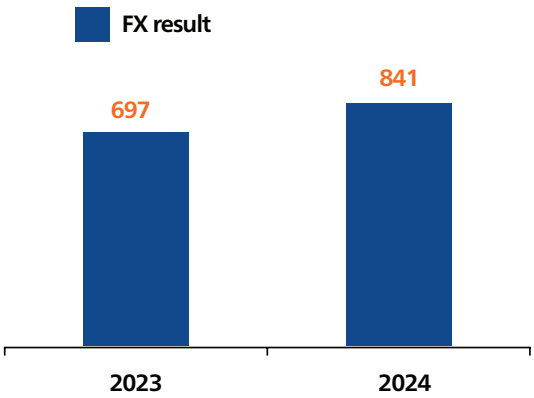




- **Higher commission income in almost all categories**

Net Commission resulted 5.8% higher in 2024, driven mainly by loan-related transactions and mostly impacted by several one-off transaction events. Higher income on trading transactions by 20.8% in 2024 compared to 2023, mainly driven by high fluctuations of exchange rate.

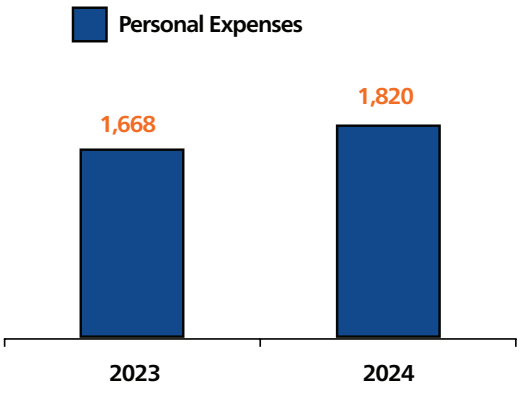


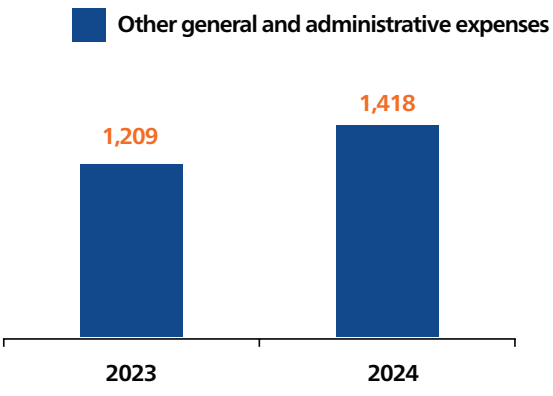


Total Operating Costs

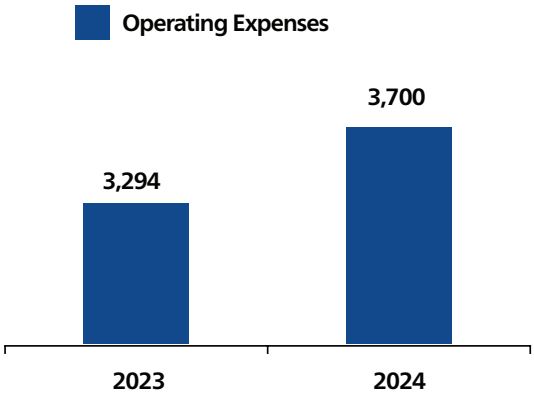
Operating cost resulted 12.3% higher than in 2023, driven by:

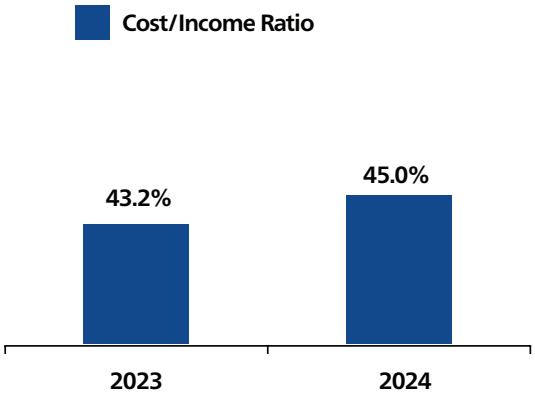
- "Personnel Expenses" higher than 2023 by +9.1%, driven by higher costs for salaries and wages.
- "Other Administrative Expenses" higher by 17.3% compared to 2023, primarily due to higher intra-group expenses.





In full alignment with the Bank's strategy, the Bank keeps under particular focus the lowering of "Run the Bank" costs, by leveraging on the development of economies of scale through ISG Central Procurement.





Stable credit risk

NPL portfolio grew by ALL 180.3 million, which was followed by an increase of the provision funds by ALL 259.7 million, translated into a non-performing loans coverage ratio 65.6%, increased by 8.4%, compared to December 2023.

	Dec 2020	Dec 2021	Dec 2022	Dec 2023	Dec 2024
NPL ratio	4.5%	3.9%	3.0%	3.1%	3.2%
NPL coverage ratio	54.5%	52.9%	52.3%	57.2%	65.6%
Cost of risk	0.37%	0.91%	0.43%	-0.30%	0.36%

Legal Disputes

The internal Policy regarding Operating Rules for Accounting for Provisions on Contingent Liability and Contingent Assets adopted by the Board of Directors in July 2014 outlines the rules for the establishment of provisions on litigations, as well as the actors involved in the process.

Based on the above mentioned policy, provisions have been duly recognized when present obligations have been evidenced or when a probable outflow of resources has been estimated to settle the probable obligation.

Corporate Social Responsibility

CORPORATE SOCIAL RESPONSIBILITY

The Strategic Approach:

Intesa Sanpaolo Bank Albania promotes and applies Corporate Social Responsibility principles across its relationships with employees, customers, suppliers, shareholders, and the environment. These efforts are guided by the Bank's Code of Ethics, which are considered as our "constitutional charter," that shapes our vision of becoming not only a stronger financial institution, but also a contributor to a more inclusive society and a healthier environment.

As part of the Intesa Sanpaolo Group, the Bank integrates social responsibility into its strategic decisions and daily operations, staying close to the needs of its customers and communities. With a continued focus on sustainability, transparency, and impact, Intesa Sanpaolo Bank Albania remains committed to strengthening its role as a positive example for responsible banking in Albania.

EMPLOYEE RELATIONS

At the core of our organization's success is the strength of the relationships we build with our employees. We believe that by fostering an environment of collaboration, engagement, and continuous development, we are able to collectively achieve our shared goals and drive innovation. Our people are the foundation of everything we do, and investing in their growth is not just a priority—it's who we are.

This year we are excited to highlight several key initiatives and programs designed to further strengthen the relationship between the organization and its employees, while also promoting both professional and personal growth. These efforts are focused on providing opportunities for skill development, enhancing employee well-being, and ensuring that every individual feel supported, empowered, and valued.

We are committed to creating a work environment where everyone has the resources and opportunities to reach their full potential. As the organization continues to grow, we understand that the success of our employees directly translates in the success of the business, and we will always strive to provide the tools, training, and support necessary for them to thrive both within and outside the workplace.

As part of our 2022-2025 Business Plan, we have placed a strong focus on **HR digitalization**, ensuring that our employees have seamless access to all HR-related services, resources, and updates. A major step in this transformation was the launch of the **#People HR Portal** in September 2024, a cutting-edge platform designed to enhance efficiency, accessibility, and employee empowerment.

The #People platform consolidates all HR services into a single, user-friendly digital hub, providing employees across the Group with easy access to important tools, documents, and information. This initiative reflects our commitment to streamlining processes, reducing administrative burdens, and fostering a more connected and agile work environment.

Through the **digitalization of HR** services, we are not only improving operational efficiency, but we are also creating a more engaging and responsive employee experience. From accessing HR policies and company news to managing personal development plans, the #People portal ensures that every employee can stay informed, supported, and actively involved in their professional growth.

By embracing the benefits of modern technology, we are redefining HR management, making it more accessible, transparent, and aligned with the evolving needs of our workforce. The #People HR Portal is not just a system upgrade—it is a strategic move towards a more digital and people-focused future.

We continuously invest in employee development through various training programs tailored to market needs. In 2024, our main focus has been on **Bancassurance and AUM training**, ensuring employees are well-equipped to offer comprehensive financial solutions. Training sessions were organized for new hires to familiarize them with the Bank's policies, procedures, and work culture. Additionally, employees received specialized training on the enhanced Internet Banking Platform (OBDX) as part of the Flexcube Upgrade project.

SUSTAINABILITY & ESG STRATEGY

The current Business Plan of Intesa Sanpaolo Group 2022 – 2025 outlines as one of the four pillars: **significant Environmental Social Governance commitment**, with a world-class position in social impact and strong focus on climate. Intesa Sanpaolo Bank Albania is financing and boosting the Albanian economy, aiming to **create sustainable values focusing on ESG** principles while maintaining a solid capital position. Therefore, continuous support is given to Corporate, SME and Retail customers in the climate transition, while supporting social initiatives through the strengthening of sustainable credit and dedicated advisory services. Meanwhile, strong emphasis is given to our corporate social responsibility as part of our daily operations and dedicated activities for the completion of Sustainable Development Goals. Last but not least, the Bank is highly committed to be "best in class" with regard to its governance practices in applying high leadership standards, sound internal control system and employee protection.

ENVIRONMENTAL SUSTAINABILITY

OUR PRODUCT PORTFOLIO IMPACTING THE ENVIRONMENT

The Bank is fully committed to continue its already initiated transition to a sustainable, green and circular economy by constantly investing in the staff capacity building, maintaining a strong and stable cooperation with international entities operating in Albania, focusing on ESG matters, offering a wide range of ESG- related products and supporting the financing in sustainable credit and circular economies.

In this regard, our **ESG product's portfolio** includes products offered to all customer segments and it is composed of:

- Green Investment Photovoltaic - **Investment loans** with the purpose of funding **photovoltaic systems** for electricity generation aiming at the **reduction of the energy costs** for the customer.
- Renewable Corporate Finance & Renewable Project Finance - **Renewable finance** loans with the purpose of investing in the **construction of renewable energy plants**, **including Solar, Hydro & Eolic plants**, aiming to increase the production capacity of plants that **use renewable source of energy**.
- **Green personal loan (secured and unsecured)** - The product is offered together with the European Bank for Reconstruction and Development (EBRD) to individual customers to invest in energy efficiency and renewable energy products and services to make their real estate, energy efficient.

To materialize such strategy, the Bank has already introduced **a Circular Economy transformation financing** concept, by accelerating the achievement of ESG objectives. With the support of Intesa Sanpaolo Group, a dedicated platform is established called "Circular & Green Economy Plafond" aiming to finance customer projects that contribute into Circular / Green economy of Albania, by using economic **loan favorable terms**.

Apart from the already set products, the Bank is financing specific deals aiming to invest in "green buildings" and "clean transportation" to drive growth for our customers, while preserving the environment.

NET ZERO ALIANCE & OWN EMISSION PLAN

ISBA tries to lead by example the ESG, Sustainable behavior and Social Responsibility and this mostly is due to the advantage of being part of a big group such as Intesa Sanpaolo. ISP Group is committed to **a target of net zero emissions by 2050**, both for its own emissions and those of its loan and investment portfolios, having joined the **Net-Zero Banking Alliance** to boost the shared effort to combat climate change. Several guidelines and rules issued by ISP Group in this regard have been already implemented in ISBA, while there are other initiatives underway on encouraging energy transition and environmental sustainability through **dedicated financing for such purposes or reducing financing for some other economic sectors defined as ESG sensitive**. In addition, the Bank has a master plan with concrete projects divided in 3 phases: 2021-2025, 2025-2030, 2030-2050, aiming to **reduce the own emission generated by Bank activity at ZERO**.

The Bank has implemented its own emission plan which is a Group-driven action to reach Net-Zero objectives with scope: (i) direct emissions by replacement of its cars fleet with fuel with electric ones; (ii) indirect emissions from energy consumption such as: the installation of photovoltaic plants for own consumption in premises where it is possible and replacement of old equipment with high efficiency ones and (iii) Business Travel and Paper by replacing traditional paper with recycled one and at the same time reducing paper consumption.

The Bank, as part of the ISP group is committed to use responsible sourcing and use of goods and services that must meet the sustainability requirements. In this context, the Bank is committed to pursue **a Green Procurement Policy**, by identifying the best design solution, product or service from an environmental point of view throughout its life cycle, taking into account market availability.

SOCIAL ASPECTS

Down Syndrome Albania Foundation Campaigns

In the framework of the World Down Syndrome Day, Intesa Sanpaolo Bank Albania supported **Lots of Socks campaign**. In March 2024, representatives of the DSA Foundation were welcomed at the Head Office premises, where all colleagues were invited to buy colorful socks for adults and children.

Meanwhile, during the end-of-year holidays, ISBA supported the **postcards campaign**, prepared by the little children of DSA Foundation with the help of their therapists. The funds collected went to provide therapeutic services for the children mostly in need who attend the "PRO PAK" service center.

Rozalba Panettone prepared by the little girls of Rozalba House

On occasion of the end-of-year, the little girls of the Rozalba House prepared with great love the homemade **Rozalba Panettone** with the help of a pastry chef. Intesa Sanpaolo Bank Albania invited all colleagues to offer their heartfelt contribution by purchasing these Panettones to help and support the little girls.

Voluntary Blood Donation 2024

Intesa Sanpaolo Bank Albania invited all colleagues to participate in the first and second initiative of 2024 regarding Voluntary Blood Donation, which took place during May and November 2024, for fourteen years now.

During these days, 73 employees of Intesa Sanpaolo Bank Albania donated blood at the Bank's premises.

Pink October - Breast Cancer Awareness Campaign

Again this year, Intesa Sanpaolo Bank Albania called on all colleagues to regularly perform the periodic breast checks, emphasizing the message that "The Best Protection is Early Detection"!

The Bank provided all colleagues with informational material developed by Wellness Albania Clinic on aspects of breast cancer. The Bank also placed a banner with a pink ribbon in its premises, just outside the Main Branch, where colleagues and customers could take photos to share on their social medias to raise awareness among a wider audience.

UNiTE Campaign — a initiative of 16-day activism against Gender-Based Violence

November 25th marks the International Day to End Violence against Women and Girls, and the start of the UNiTE campaign, which takes place annually and ends on December 10th, i.e. the Human Rights Day.

The campaign's theme for 2024 was "Every 10 minutes, a woman is killed. #NoJustification. UNITE to end violence against women."

Activities with children on the occasion of World Environment Day 2024

On the occasion of World Environment Day (June 5th), Intesa Sanpaolo Bank Albania organized an activity with the 5th grade students of Edith Durham school, and children of the staff. The activity, which was focused on informing and educating children was held outdoors, in the premises of the Bank's Smart Branch at the Pyramid area.

The children were informed about environmental topics through a module developed by the Turin Museum of Savings. Afterwards, the children had fun and played games desgined especially for them and successfully completed a "puzzle" painted by them, conveying the message "Every step matters".

Activity with students of Emin Duraku school on the occasion of World Soil Day!

In the framework of World Soil Day (December 5th), Intesa Sanpaolo Bank Albania in collaboration with the Agricultural University of Tirana (UBT) organized an open lecture for students of Emin Duraku school.

During the activity, representatives from the Bank and UBT shared with the students valuable information on best practices for environment protection, focusing on topics such as: reducing pollution, recycling, and preserving natural resources.

IBD Junior Sports Event 2024

Intesa Sanpaolo Bank Albania, in cooperation with Intesa Sanpaolo Group organized the IBD Junior Sports Event 2024 dedicated to young players, children of colleagues!

The event welcomed children from Albania, Croatia, Serbia, Slovakia, Hungary and Slovenia, and was organized from April 26-28, in Porec, Croatia. The children played football and volleyball matches with each other, while EA

7 Armani Olimpia Milano organized a basketball camp and tournament during the two days of the competition. The children of the staff of Intesa Sanpaolo Bank Albania gave an excellent performance and returned home with cups, certificates and medals for their participation! The Volleyball and Basketball teams came third! This event was a special opportunity for all the participating children, who created wonderful memories and spent beautiful moments with each other.

IBD Running 2024

On April 2024, colleagues of Intesa Sanpaolo Bank Albania participated in the traditional edition of the IBD Running Event, which was organized along the coastline of Umag in Croatia. More than 400 colleagues from Albania, Bosnia and Herzegovina, Croatia, Hungary, Italy, Serbia, Slovakia and Slovenia participated.

Beyond the race itself, this activity was a great opportunity to promote and strengthen relations among different countries and cultures, as well as to spend beautiful moments with each other.

IBD Sports Event 2024

At the end of September 2024, colleagues from Intesa Sanpaolo Bank Albania participated in the IBD Sports Event 2024, which was organized during a two-day event in Porec, Croatia.

More than 600 colleagues from IBD countries participated in this sports event. Intesa Sanpaolo Bank Albania was represented by two teams: the Football Team (male colleagues) and the Volleyball Team (female colleagues).

Also this year, both teams performed very well and achieved excellent results, despite the challenges and strong opponents they faced during the matches. The volleyball team even won the third place in the volleyball competition!

Tirana Marathon 2024

Even this year, colleagues from different departments represented Intesa Sanpaolo Bank Albania at the 8th edition of Tirana Marathon!

The participating colleagues achieved great results and had the opportunity to spend beautiful moments together supporting each other. In the men's category, Lion Mici ranked 149th out of 1546 runners in total and in the women's category, Hilda Fili ranked 142nd out of 977 runners in total.

Second edition of IBD Cooking Challenge 2024

During April 2024, Intesa Sanpaolo Bank Albania organized the second edition of ISBA Cooking Challenge. The winning recipe of the local competition was Gnocchi alla carbonara, prepared by Atea Alinani who represented Albania in the international Cooking Challenge organized by IBD.

The final competition took place at the famous Farm65 Culinary Hub in Milan. The activity brought together 11 colleagues from IBD countries to demonstrate their cooking skills, sharing beautiful moments with each other. This event highlighted once again the strong relationship between IBD people.

La porta d'oro – the winning painting of ART Exhibition

In November 2024, ISBA held the Internal Painting competition. The colleagues who love art had the opportunity to express their emotions through brushes and colors by sharing with everyone their wonderful artistic works.

An internal jury composed of first-line managers evaluated the artistic works in a pleasant atmosphere dedicated to art and beauty. The winning painting, La porta d'oro, created by Eriena Dishani was presented at the IBD Art Exhibition that was organized on December 2024, at Galeria D'Italia, in Milan.

More than 30 artworks created by IBD colleagues were individually presented by them, highlighting the techniques used, as well as describing the full spectrum of emotions experienced during the creative process.

Leader for a Day, 2024

Intesa Sanpaolo Bank Albania joined Leader for a Day, 2024 activity organized by Junior Achievement of Albania (JAA).On March 26, 2024, the Bank welcomed the excellent 17-year-old student Anais Osmënaj. She followed during a working day Mr. Patrick Bianco, Head of Retail Division, and had the opportunity to benefit from the expertise of a first-line manager. In the evening, a Gala ceremony was organized at MAK Albania Hotel by JAA, as a sign of gratitude to the participating businesses.

Activity with students from World Academy of Tirana

On January 31st, 2024, was organized an activity dedicated to the 5th grade students from the "World Academy of Tirana" at the Smart Branch of Intesa Sanpaolo Bank Albania.

Ms. Xhilda Dafa, Head of Multichannel and Digital Marketing Department, presented the Smart Branch and introduced the children with the Pepper Robot. All the children had the opportunity to enjoy and interact with the Pepper Robot (playing different games, solving quizzes, etc.), which has traveled from the Intesa Sanpaolo Group Innovation Center to be part of the Branch. During the activity, a collague from the Cybersecurity department presented to the students the module of "Do The Smart I-Thing! Let's learn how to protect ourselves through cybersecurity!" The students also learned a lot about digital banking services, such as cash withdrawals and deposits at ATMs, demonstrated by the colleagues from the Legal Department, who were also part of the activity.

Second edition of S A V E Ambassadors competition

Intesa Sanpaolo Bank Albania organized the second edition of SAVE Ambassadors competition. In this year edition participated 17 classes from the four best high schools in Tirana: Sami Frasheri, Ismail Qemali, Qemal Stafa and Arben Broci. In January 2024, a local jury composed by representatives of the Bank carefully evaluated the 17 projects based on predefined evaluation criteria. The winning project that collected the most points was GreenThreads Albania, developed by students of class 12.6 of Qemal Stafa high school. This class represented Albania in the international online competition, which was held among the winning classes from IBD countries. At the end of the event were announced the first three projects classified as the best by an international jury during a small ceremony. GreenThreads Albania won the third spot in this competition.

Intesa Sanpaolo Bank Albania organized also a special award ceremony at the Head Office premises, as a sign of gratitude for the work and dedication of the students and teachers.

Cybersecurity Labs – Safer Internet Day

In the framework of the Safer Internet Day, Intesa Sanpaolo Bank Albania organized an activity dedicated to third grade students of Emin Duraku school.
The activity was held on February 6th & 7th for four classes, in collaboration with the Cybersecurity colleagues of Intesa Sanpaolo Bank Albania, who held a presentation during the two days in the school premises. The best experts of the Cybersecurity Department of Intesa Sanpaolo Group in collaboration with the Museum of Savings have prepared special educational modules, which are related to the protection of children while surfing the internet.

Second & third edition of "Money Master Challenge" competition

During 2024, Intesa Sanpaolo Bank Albania in cooperation with Intesa Sanpaolo Group and the Museum of Savings organized the second and third edition of Money Master Challenge.

The initiative consisted in a quiz including curiosities related to money and savings, and was held in two phases: national and international level.

The second edition took place in the first half of 2024, with the participation of 7th grade students of Albanian College of Tirana, while during the second half of the year took place the third edition with the participation of the 7th grade students from Ernest Koliqi school. The winning classes of the national levels represented Albania in the international online competition, with the participation of all the national winners from other IBD countries.

Intesa Sanpaolo Bank Albania welcomed a visit of the winning classes at the Pyramid Branch. All participating students had fun during the time they spent there together with the Pepper Robot, concluding the activity with some sweets.

Activity with UNIZKM students

During July 2024, Intesa Sanpaolo Bank Albania organized an activity at the Smart Branch dedicated to high school graduates, who will be future students of Business Economics at UNIZKM.

The purpose of the activity was to inform the future students about the career opportunities available in the banking and financial sector. Ms. Xhilda Dafa, Head of Multichannel and Digital Marketing Department held a presentation to the students with the topic "Digitalization trends in the banking sector". The students also had the opportunity to get acquainted with the Pepper Robot.

INTEGRITY iN CORPORATE CONDUCT

Integrity in corporate conduct is fundamental to our governance sustainability framework, with a strong emphasis on applying strict Anti-Bribery and Anti-Corruption policies. Our bank maintains a **zero-tolerance approach to bribery, corruption, and any form of unethical conduc**t. Comprehensive policies and procedures are in place to prevent, detect, and address misconduct, supported by regular employee training, internal controls, and strong whistleblowing mechanisms. In parallel, we place a high priority on Privacy and Consumer Protection, ensuring that customer data are handled with the utmost care, confidentiality, and in full compliance with applicable data protection laws. We continually enhance our systems and processes to safeguard personal information and deliver transparent and responsible services.

Youth School for Financial Education

The Youth School for Financial Education, an initiative of the Minister of State for Youth and Children was organized in October 2024, in cooperation with other state institutions in the country, including banks. This activity was organized in the premises of the Bank of Albania with the participation of 51 students from the Tirana, Durrës and Elbasan regions.

During the activity, Intesa Sanpaolo Bank Albania, in cooperation with Intesa Sanpaolo Group and the Museum of Savings in Turin, organized a quiz for the participating students regarding financial education. All students were very enthusiastic and the questions were very interesting, in particular those related to Albania.

Moreover, a short presentation on the latest innovation trends was shared with the participants, who were also introduced to the Pepper Robot.

Relationships with Shareholders

RELATIONSHIP WITH SHAREHOLDERS

Intesa Sanpaolo Bank Albania guarantees timely and transparent communication with shareholders and the financial community in general, with the intent of providing clear, complete and prompt information on the status of the Bank's implementation of strategies and the results it achieves. The Bank has established a specific relationship with its shareholders, based on transparency and full mutual trust. We act in such a way that the value of all shareholders' capital invested in Intesa Sanpaolo Bank Albania is protected and increased in a sustainable manner. We invest in enhancing this trust with information through different communication channels as: the publication of the financial statements after each semester, annual reports and press releases in the Bank's website, keeping the continuous exchange and organizing frequent meetings with the Shareholders Assemblies in writing or in their physical presence. The Bank's capacity to generate constant growth in profitability is also determined by high liquidity, further improvement of the capital base, reduction of operating costs, rigorous and prudent provisioning policy, as well as continuous and careful crediting to support the economy.

RESPONSIBLE MANAGEMENT OF THE SUPPLY CHAIN

We believe that behavior based on listening and sharing ideas with our suppliers fosters the ongoing improvement of those relationships, reinforcing them and generating reciprocal value. Our attitude is based on trust that involves the suppliers in an active role and that leads them to promptly report problems that require the identification of a common solution. We believe that a clear and transparent attitude contributes to maintaining enduring relationships with our suppliers. We are convinced that integrity is a fundamental premise of these relationships. Our choice of suppliers is based on clear and proven criteria through objective and transparent procedures. We guarantee equal opportunity in the selection of suppliers and commercial partners, considering their compatibility with and capacity for the size and needs of our company. Intesa Sanpaolo Bank Albania criteria on supplier and technology selection are part of the process to have a better environment and energy efficiency equipment.

ISPBA, as part of Intesa Group during 2021 has been working for complementing the Group's centralized procurement project with the principles of transparency and fairness declared in the Code of Ethics and aligning it with EU and ECB procurement directives.

Audited Financial Statements

INTESA SANPAOLO BANK ALBANIA SH.A.

Financial Statements
For the year ended 31 December 2024

(with independent auditors' report thereon)

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Intesa Sanpaolo Bank Albania sh.a

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Intesa Sanpaolo Bank Albania sh.a (the "Bank"), which comprise the statement of financial position as at 31 December 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of material accounting policy information.

In our opinion, the accompanying financial statements present fairly, in all material respects the financial position of the Bank as at 31 December 2024 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards ("IFRS").

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing ("ISA"). Our responsibilities under those standards are further described in th*e Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the Bank in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code") and with Institute of Authorizes Chartered Auditors of Albania Code of Ethics ("IEKA Code"), together with the ethical requirements of the Law No. 10091, dated 5 March 2009 "On the statutory audit and the organization of the statutory auditors and chartered accountants professions", amended, that are relevant to our audit of the financial statements in Albania, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information included in Intesa Sanpaolo Bank Albania sh.a 2024 Annual Report

Other information consists of the information included in Bank's 2024 Annual Report, prepared in accordance with articles 17 and 19 of the Law no. 25/2018 "For Accounting and Financial Statements", other than the financial statements and our auditor's report thereon. Management is responsible for the other information. The Bank's 2024 Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance of Intesa Sanpaolo Bank Albania sh.a regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Ernst & Young - Ekspert Kontabël i Autorizuar
Dega në Shqipëri

Mario Vangjel
Auditues Ligjor

26 February 2025
Tirana, Albania

Intesa Sanpaolo Bank Albania sh.a.
Statement of financial position as at 31 December 2024
(in thousands of Lek)

Statement of financial position

	Notes	31 December 2024	31 December 2023
Assets			
Cash and cash equivalents	13	11,046,340	15,020,633
Loans and advances to banks	14	49,446,943	43,503,088
Investment securities	15	80,731,322	79,115,681
Loans and advances to customers	16	56,421,796	53,002,247
Tax assets		154,091	184,027
Other assets	21	724,254	791,652
Investment property	20	501,410	485,256
Repossessed assets	22	162,004	184,578
Property and equipment	17	1,813,257	1,850,146
Right-of-use assets	18	541,748	436,637
Intangible assets	19	583,835	610,726
Deferred tax assets	25	-	125,082
Total Assets		**202,127,000**	**195,309,753**
Liabilities			
Due to banks and financial institutions	23	2,685,057	1,978,853
Current tax liability	36	39,128	-
Due to customers	24	172,405,715	166,183,822
Lease liabilities	18	507,729	402,651
Other liabilities	27	2,033,134	1,539,029
Provisions	26	481,379	476,311
Deferred tax liabilities	25	4,588	-
Total Liabilities		**178,156,730**	**170,580,666**
Equity			
Share capital	28	5,562,518	5,562,518
Share premium	28	1,383,880	1,383,880
Reserves	29	7,141,465	6,682,512
Retained earnings		9,882,407	11,100,177
Total Equity		**23,970,270**	**24,729,087**
Total Liabilities and Equity		**202,127,000**	**195,309,753**

These financial statements have been approved by the Board of Directors of Intesa Sanpaolo Bank Albania sh.a. on 25 February 2025 and signed on its behalf by:

Alessandro D'oria
Chief Executive Officer

Julian Cela
Chief Financial Officer

The Statement of financial position is to be read in conjunction with the accompanying notes on pages 6 to 80 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania sh.a.
Statement of profit or loss and other comprehensive income for the year ended 31 December 2024
(in thousands of Lek)

Statement of profit or loss and other comprehensive income

	Notes	2024	2023
Interest income	30	7,867,911	6,936,577
Interest expense	30	(1,494,765)	(988,637)
Net interest income		**6,373,146**	**5,947,940**
Fee and commission income	31	1,782,044	1,619,951
Fee and commission expense	31	(757,837)	(651,579)
Net fee and commission income		**1,024,207**	**968,372**
Net other income	32	937,765	759,949
Other operating expenses	33	(474,547)	(469,406)
Operating income		**7,860,571**	**7,206,855**
Net impairment loss on financial assets	9 (v)	26,704	177,744
Impairment losses/write-backs to other financial activities	26	16,782	(1,045)
Write down to NRV of repossessed collaterals	22	(35,448)	(58,647)
Personnel expenses	34	(1,871,316)	(1,726,534)
Depreciation and amortization	17,18 19	(535,233)	(493,023)
Amortization of leasehold improvements	21	(27,196)	(23,126)
Impairment of Investment property	20	16,154	(17,242)
Other administration expenses	35	(1,599,599)	(1,375,591)
Provisions for risk and expenses	26	(46,994)	(37,403)
Total expenses		**(4,056,146)**	**(3,554,867)**
Net income before taxes		**3,804,425**	**3,651,988**
Income tax expense	36	(678,709)	(598,265)
Profit for the year		**3,125,716**	**3,053,723**
Other comprehensive income			
Items that are or may be reclassified subsequently to profit or loss			
Change in fair value of investment securities at FVOCI		589,035	1,317,906
Related tax		(130,082)	(193,703)
Items that will not be reclassified to profit or loss			
Change in revaluation of properties		-	865
Related tax		-	(130)
Other comprehensive income for the year, net of tax		**458,953**	**1,124,938**
Total comprehensive income for the year, net of tax		**3,584,669**	**4,178,661**

The Statement of profit or loss and other comprehensive income is to be read in conjunction with the accompanying notes on pages 6 to 80 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania sh.a.
Statement of changes in equity for the year ended 31 December 2024
(in thousands of Lek)

Statement of changes in equity

	Share capital	Share premium	Legal and regulatory reserves	Fair value reserve	Revaluation reserve	Other capital reserve	Merger Reserve	Retained earnings	Total
Balance at 1 January 2024	**5,562,518**	**1,383,880**	**1,825,623**	**794,535**	**534,404**	**714,554**	**2,813,396**	**11,100,177**	**24,729,087**
Profit for the year	-	-	-	-	-	-	-	3,125,716	**3,125,716**
Other comprehensive income	-	-	-	-	-	-	-	-	**-**
Change in fair value of debt investment at FVOCI, net of income tax	-	-	-	458,953	-	-	-	-	**458,953**
Change in the Revaluation reserve	-	-	-	-	-	-	-	-	**-**
Change in the DTA of FTA reserve	-	-	-	-	-	-	-	-	**-**
Total comprehensive income for the year	**-**	**-**	**-**	**458,953**	**-**	**-**	**-**	**-**	**458,953**
Transaction with owners, recorded directly in equity	-	-	-	-	-	-	-	-	**-**
Dividends to equity holders	-	-	-	-	-	-	-	(4,343,486)	**(4,343,486)**
Total contributions by and distribution to owners	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(4,343,486)**	**(4,343,486)**
Balance at 31 December 2024	**5,562,518**	**1,383,880**	**1,825,623**	**1,253,488**	**534,404**	**714,554**	**2,813,396**	**9,882,407**	**23,970,270**

The Statement of changes in equity is to be read in conjunction with the accompanying notes on pages 6 to 80 forming an integral part of these financial statements.

Statement of changes in equity

	Share capital	Share premium	Legal and regulatory reserves	Fair value reserve	Revaluation reserve	Other capital reserve	Merger Reserve	Retained earnings	Total
Balance at 1 January 2023	**5,562,518**	**1,383,880**	**1,825,623**	**(329,668)**	**533,669**	**714,554**	**2,813,396**	**9,860,669**	**22,364,641**
Profit for the year	-	-	-	-	-	-	-	3,053,723	**3,053,723**
Other comprehensive income	-	-	-	-	-	-	-	-	-
Change in fair value of debt investment at FVOCI, net of income tax	-	-	-	1,124,203	-	-	-	-	**1,124,203**
Change in the Revaluation reserve	-	-	-	-	735	-	-	-	**735**
Change in the DTA of FTA reserve	-	-	-	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**-**	**1,124,203**	**735**	**-**	**-**	**-**	**1,124,938**
Transaction with owners, recorded directly in equity	-	-	-	-	-	-	-	-	**-**
Dividends to equity holders	-	-	-	-	-	-	-	(1,814,215)	(1,814,215)
Total contributions by and distribution to owners	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(1,814,215)**	**(1,814,215)**
Balance at 31 December 2023	**5,562,518**	**1,383,880**	**1,825,623**	**794,535**	**534,404**	**714,554**	**2,813,396**	**11,100,178**	**24,729,087**

The Statement of changes in equity is to be read in conjunction with the accompanying notes on pages 6 to 80 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2024
(in thousands of Lek, unless otherwise stated)

Statement of cash flows

	Notes	2024	2023
Net profit for the year		**3,125,717**	**3,053,723**
Adjustments for:			
Depreciation and amortization	17,18,19	562,429	516,149
Impairment of investment property	20	(16,154)	17,242
Net impairment reversal on loans and advances to customers	9 (v)	(43,487)	(176,699)
Write down of repossessed collateral		35,448	58,647
Net Gain/ (loss) from sale of properties		(2,627)	(5,075)
Net interest income	30	(6,373,146)	(5,947,940)
Tax expense	36	678,709	598,265
Changes in			
Loans and advances to banks		(5,943,530)	(9,077,033)
Loans and advances to customers		(3,721,868)	1,462,204
Due to banks		(422,191)	942,009
Due to customers		6,004,607	(1,092,428)
Inventory and other assets		28,400	(237,243)
Other liabilities and provisions		533,447	218,844
Deferred tax asset		(5,000)	57,644
Deferred tax liability		4,588	-
Interest received		7,769,990	6,825,675
Interest paid		(1,261,706)	(826,929)
Income taxes paid		(610,058)	(570,556)
Net cash from/(used) in operating activities		**343,567**	**(4,183,582)**
Cash flows from investing activities			
(Purchase)/sale of property and equipment	17	(143,787)	(164,080)
(Purchase)/sale of intangible assets	19	(180,259)	(167,160)
Acquisitions of investments securities	15	(50,647,304)	(52,881,709)
Sale of investment securities		50,042,995	48,367,295
Net cash used in investing activities		**(928,355)**	**(4,845,654)**
Cash flows from financing activities			
Dividend paid to shareholders	28	(4,343,486)	(1,814,214)
Repayment of lease liability	18	(145,214)	(143,741)
Proceeds from borrowings		1,125,111	103,800
Repayment of borrowings		(12,490)	(85,209)
Net cash used in financing activities		**(3,391,082)**	**(1,939,364)**
Net increase in cash and cash equivalents		**(3,974,292)**	**(10,968,600)**
Cash and cash equivalents at 1 January	13	15,020,633	25,989,708
Cash and cash equivalents at 31 December	**13**	**11,046,340**	**15,020,633**

The Statement of cash flows is to be read in conjunction with the accompanying notes on pages 6 to 80 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2024
(in thousands of Lek, unless otherwise stated)

1. Reporting entity

Intesa Sanpaolo Bank Albania Sh.a, (the "Bank"), is a financial institution domiciled in Albania as joint stock company and involved primarily in corporate and retail banking. The Bank's registered office is at "Ismail Qemali" street, no. 27, and operates through a network of 35 branches and agencies, located in different cities of Albania: Tirana, Durres, Vlora, Elbasan, Fier, Berat, Gjirokastra, Korca, Lushnja, Shkoder, Lezhe, Kavaje (2023: 35 branches and agencies). The Bank had 767 employees as at 31 December 2024 (2023: 735).

2. Basis of accounting

These financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) as issued by the International Accounting Standards Board (IASB). They were authorized for issue by Management 25 February 2025 for approval by the Board of Directors.

3. Basis of measurement

The financial statements are prepared on a historical cost basis except for financial assets at FVOCI, investment properties and own used properties, which are stated at fair value and inventory of repossessed collaterals which is measured at the lower of cost and net realizable.

4. Presentation of financial statements

The Bank presents its statement of financial position in order of liquidity based on the Bank's intention and perceived ability to recover/settle the majority of assets/liabilities of the corresponding financial statement line item. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 12.

5. Functional and presentation currency

The financial statements are presented in Lek, which is the Bank's functional and presentation currency. Except as indicated otherwise, financial information presented in Lek has been rounded to the nearest thousand.

6. Going Concern

The Bank's management has assessed its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt on the Bank's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

7. Use of estimates and judgments

The preparation of the Bank's financial statements requires management to make judgements, estimates and assumptions that affect the reported amount of revenues, expenses, assets and liabilities, and the accompanying disclosures, as well as the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Management has assessed the materiality of various items based on both quantitative thresholds and qualitative considerations. Materiality is determined not only by the magnitude of amounts but also by the nature of the items and their potential impact on users of the financial statements

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates from the review are recognized prospectively.

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2024
(in thousands of Lek, unless otherwise stated)

7. Use of estimates and judgments (continued)

A. Judgements

Information about judgements made in applying material accounting policies that have the most significant effects on the amounts recognized in the financial statements is included in the following notes.

-Note 9.(a): establishing the criteria for determining whether credit risk on the financial asset has increased significantly since initial recognition, determining methodology for incorporating forward-looking information into measurement of ECL and selection and approval of models used to measure ECL.

-Note 9.(f).(ii): classification of financial assets: assessment of the business model within which the assets are held and assessment of whether the contractual terms of the financial asset are SPPI on the principal amount outstanding.

B. Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties is included in the following notes.

-Note 9.(a): impairment of financial instruments: determining inputs into the ECL impairment model, including key assumptions used in estimating recoverable cash flows and incorporation of forward-looking information

-Note 9.(g): determination of the fair value of financial instruments and non-financial assets with significant unobservable inputs

-Note 8.(e).(ii): recognition of deferred tax assets

-Note 8.(r): recognition and measurement of contingencies: key assumption about the likelihood and magnitude of an outflow of resources

-Note 8.(n): net realizable value of inventory: fair value measurement with significant unobservable inputs.

8. Summary of accounting policies

The accounting policies set out below have been consistently applied to all periods presented in these financial statements by the Bank.

(a) Foreign currency

Transactions in foreign currencies are translated into the functional currency at the spot exchange rates at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the functional currency at the spot exchange rate at that date. The foreign currency gain or loss on monetary items is the difference between amortized cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortized cost in foreign currency translated at the spot exchange rate at the end of the year. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the spot exchange rate at the date that the fair value was determined.

Non-monetary items that are measured based on historical cost in a foreign currency are translated using the spot exchange rate at the date of the transaction. Foreign currency differences arising on retranslation are generally recognized in profit or loss. Foreign currency differences arising from retranslation of transactions with owners are recorded directly in equity.

8. Summary of accounting policies (continued)

(b) Effective Interest rate

Interest income and expense are recognized in profit or loss using the effective interest method. The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to

- The gross carrying amount of the financial asset; or
- The amortized cost of the financial liability

When calculating the effective interest rate for financial instruments other than purchased or originated credit-impaired assets, the Bank estimates future cash flows considering all contractual terms of the financial instrument, but not ECL. For purchased or originated credit-impaired financial assets, a credit-adjusted effective interest rate is calculated using estimated future cash flows including ECL. The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

Amortized cost and gross carrying amount

The 'amortized cost' of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance. The 'gross carrying amount of a financial asset' is the amortized cost of a financial asset before adjusting for any expected credit loss allowance.

Calculation of interest income and expense

The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortized cost of the liability. The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating rate instruments to reflect movements in market rates of interest.

However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortized cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted effective interest rate to the amortized cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

For information on when financial assets are credit-impaired, see Note 8.(f)(vi).

Presentation

Interest income calculated using the effective interest method presented in the statement of profit or loss and OCI includes:

- interest on financial assets and financial liabilities measured at amortized cost;
- interest on debt instruments measured at FVOCI;
- Other interest income presented in the statement of profit or loss includes interest income on lease receivables.

Interest expense presented in the statement of profit or loss include interest expense from financial liabilities measured at amortized cost.

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2024
(in thousands of Lek, unless otherwise stated)

8. Summary of accounting policies (continued)

(c) Fees and commissions

Fees, commission income and expense that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate (see Note 8.(c)).

A contract with a customer that results in a recognized financial instrument in the Bank's financial statements may be partially in the scope of IFRS 9 and partially in the scope of IFRS 15. If this is the case, then the Bank first applies IFRS 9 to separate and measure the part of the contract that is in the scope of IFRS 9 and then applies IFRS 15 to the residual.

The Bank earns fee and commission income from a diverse range of services it provides to its customers. Fee and commission income is recognized at an amount that reflects the consideration to which the Bank expects to be entitled in exchange for providing the services. The performance obligations, as well as the timing of their satisfaction, are identified, and determined, at the inception of the contract. The Bank's revenue contracts do not include multiple performance obligations, as explained further in the notes below.

When the Bank provides a service to its customers, consideration is invoiced and generally due immediately upon satisfaction of a service provided at a point in time or at the end of the contract period for a service provided over time.

The Bank has generally concluded that it is the principal in its revenue arrangements because it typically controls the services before transferring them to the customer.

i. Fee income earned from services that are provided over a certain period of time

Fees and commission earned for the provision of services over a period of time are accrued over that period. These fees include collection and payment, account servicing fees, investment management fees, and guarantees fees.

ii. Fee income from providing financial services and earned at a point in time

Fees and commissions arising from negotiating or participating in the negotiation of a transaction with a third party, such as other fees and commission expense relating mainly to transaction and service fees including ATM and POS fees, advance liquidation of credit lines, are recognized on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognized after fulfilling the corresponding criteria.

(d) Leases

At inception of a contract, the Bank assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration

i. Bank acting as a lessee

At commencement or on modification of a contract that contains a lease component, the Bank allocates consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for leases of branches and offices premises the Bank has elected not to separate non-lease components and accounts for the lease and non-lease components as a single lease component.

The Bank recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Bank's incremental borrowing rate. Generally, the Bank uses its incremental borrowing rate as the discount rate.

The Bank determines its incremental borrowing rate by analyzing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased.

8. Summary of accounting policies (continued)

(d) Leases (continued)

i. Bank acting as a lessee (continued)

Lease payment included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index of rate as the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Bank is reasonably certain to exercise, lease payments in an optional renewal period if the Bank is reasonably to exercise an extension option, and penalties for early termination of a lease unless the Bank is reasonably certain not to terminate early.

The lease liability is measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is change in the Bank's estimate of the amount expected to payable under a residual value guarantee, if the Bank changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset is reduced to zero.

The Bank presents right-of-use assets in and lease liabilities in separate lines in the face of statement of financial position. The Bank has elected not to recognize right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Bank recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

ii. Bank acting as a lessor

At inception or on modification of a contract that contains a lease component, the Bank allocates the consideration in the contract to each lease component on the basis of their relative stand-alone selling prices. When the Bank acts as a lessor, it determines at lease inception whether the lease is a financial lease or an operating lease.

To classify each lease, the Bank makes an overall assessment of whether the lease transfers substantially all the risks and rewards incidental to ownership of the underlying lease. As part of this assessment, the Bank considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Bank applies the derecognition and impairment requirements in IFRS 9 to the net investment in the lease. The Bank further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

(e) Income Tax

Income tax expense comprises current and deferred tax. It is recognized in profit or loss except to the extent that it relates to items recognized directly in equity or in OCI. Interest and penalties related to income taxes, including uncertain tax treatments, are accounted for under IAS 37 Provisions, Contingent Liabilities and Contingent Assets.

(i) Current Tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted at the reporting date. Current tax assets and liabilities are offset only if certain criteria are met.

8. Summary of accounting policies (continued)

(e) Income Tax (continued)

(ii) Deferred Tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax assets are recognized for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognize a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plans. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized; such reductions are reversed when the probability of future taxable profits improves.

Unrecognized deferred tax assets are reassessed at each reporting date and recognized to the extent that it has become probable that future taxable profits will be available against which they can be used. Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date. The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Bank expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

(f) Financial assets and financial liabilities

(i) Recognition and initial measurement

Loans and advances to customers are recognized when funds are transferred to the customers' accounts. The Bank recognizes balances due to customers when funds are transferred to the Bank. Nostro transactions are recognized when the transaction is settled and cleared internally. All other financial instruments (including regular-way purchases and sales of financial assets) are initially recognized on the trade date on which the Bank becomes a party to the contractual provisions of the instrument.

A financial asset or financial liability is measured initially at fair value plus, for an item not at fair value through profit and loss, transaction costs that are directly attributable to its acquisition or issue.

(ii) Classification

On initial recognition, the Bank classified a financial asset as measured at amortized cost, FVOCI or FVTPL.

A financial asset is measured at amortized cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows (Hold to collect mode);
- the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

A financial asset is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets (Hold to collect and sell model);
- the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

On initial recognition of an equity investment that is not held for trading, the Bank may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis.

All other financial assets are classified as measured at FVTPL.

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8. Summary of accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(ii) Classification (continued)

In addition, on initial recognition, the Bank may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortized cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model assessment

The Bank assesses the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management.

The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Bank's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;
- how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected);
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank stated objective for managing the financial assets is achieved and how cash flows are realized.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessment of whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Bank considers:

- contingent events that would change the amount and timing of cash flows; - leverage features;
- prepayment and extension terms;
- terms that limit the Bank's claim to cash flows from specified assets (e.g. non-recourse loans);
- and features that modify consideration of the time value of money (e.g. periodical reset of interest rates).

Reclassifications

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Bank changes its business model for managing financial assets.

Financial liabilities

The Bank classifies its financial liabilities as other financial liabilities, subsequently measured at amortized cost. See notes 8.(p), (q).

8. Summary of accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(iii) De-recognition

Financial Assets

The Bank derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Bank neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognized) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Bank is recognized as a separate asset or liability.

The Bank enters into transactions whereby it transfers assets recognized on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such cases, the transferred assets are not derecognized. Examples of such transactions are securities lending and sale and repurchase transactions.

In transactions in which the Bank neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Bank continues to recognize the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

Financial liabilities

The Bank derecognizes a financial liability when its contractual obligations are discharged, cancelled or expire.

(iv) Modification of financial assets and financial liabilities

Financial assets

If the terms of a financial asset are modified, then the Bank evaluates whether the cash flows of the modified asset are substantially different.

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognized (see (iii)) and a new financial asset is recognized at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and
- other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximize recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Bank plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place (see below for write-off policy). This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortized cost or FVOCI does not result in derecognition of the financial asset, then the Bank first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognizes the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification.

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8. Summary of accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(iv) Modification of financial assets and financial liabilities (continued)

Financial assets (continued)

Any costs or fees incurred and fees received as part of the modification adjust the gross carrying amount of the modified financial asset and are amortized over the remaining term of the modified financial asset.

If such a modification is carried out because of financial difficulties of the borrower (see Note 8.f.(vi)), then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income calculated using the effective interest rate method (see Note 8 (b)).

Financial liabilities

The Bank derecognizes a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognized at fair value. The difference between the carrying amount of the financial liability derecognized and consideration paid is recognized in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

If the modification of a financial liability is not accounted for as derecognition, then the amortized cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognized in profit or loss. For floating-rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognized as an adjustment to the carrying amount of the liability and amortized over the remaining term of the modified financial liability by re-computing the effective interest rate on the instrument.

(v) Off-setting

Financial assets and liabilities are offset, and the net amount is presented in the statement of financial position when, and only when, the Bank has a legal right to offset the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from Bank's similar transactions such as in the trading activity.

(vi) Impairment

The Bank recognizes loss allowances for ECL on the following financial instruments that are not measured at FVTPL:

- financial assets that are debt instruments;
- financial guarantee contracts issued; and
- loan commitments issued.

The Bank measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments on which credit risk has not increased significantly since their initial recognition.

The Bank considers a debt investment security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'. The Bank does not apply the low credit risk exemption to any other financial instruments.

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8. Summary of accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(vi) Impairment (continued)

12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12-month ECL is recognized are referred to as 'Stage 1 financial instruments.

Life-time ECL are the ECL that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognized but which are not credit-impaired are referred to as 'Stage 2 financial instruments.

Measurement of ECL

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- *financial assets that are not credit-impaired at the reporting date*: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Bank expects to receive);
- *financial assets that are credit-impaired at the reporting date*: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- *undrawn loan commitments*: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive; and
- *cash and deposits*: are measured as 12-month ECLs which represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Due to the maturity of less than 12 months then the 12-month ECLs are the credit losses expected over the period to maturity.
- *financial guarantee contracts*: the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

See also Note 9(a).

Credit-impaired financial assets

At each reporting date, the Bank assesses whether financial assets carried at amortized cost and debt financial assets carried at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the restructuring of a loan or advance by the Bank on terms that the Bank would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganization; or

A loan that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment.

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8. Summary of accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(vi) Impairment (continued)

In assessing whether an investment in sovereign debt is credit-impaired, the Bank considers the following factors:

- The market's assessment of creditworthiness as reflected in the bond yields.
- The rating agencies' assessments of creditworthiness.
- The country's ability to access the capital markets for new debt issuance.
- The probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness.
- The international support mechanisms in place to provide the necessary support as 'lender of last resort' to that country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms. This includes an assessment of the depth of those mechanisms and, irrespective of the political intent, whether there is the capacity to fulfil the required criteria.
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- *financial assets measured at amortized cost*: as a deduction from the gross carrying amount of the assets;
- *loan commitments and financial guarantee contracts*: generally, as a provision;
- *where a financial instrument includes both a drawn and an undrawn component, and the Bank cannot identify the ECL on the loan commitment component separately from those on the drawn component*: the Bank presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision; *and*
- *debt instruments measured at FVOCI*: no loss allowance is recognized in the statement of financial position because the carrying amount of these assets is their fair value. However, the loss allowance is disclosed and is recognized against the fair value reserve.

Write-off

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Bank determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level. Recoveries of amounts previously written off are included in 'impairment losses on financial instruments' in the statement of profit or loss and OCI.

Financial assets that are written off could still be subject to enforcement activities in order to comply with the Bank's procedures for recovery of amounts due.

The contractual amount outstanding on financial assets that were written off by the Bank as at 31 December 2024 and that were still subject to enforcement activity was LEK 7,228 million (2023: 7,499 million).

(g) Fair value measurement

The bank measures financial instruments such as FVOCI, and non-financial assets such as investment properties and buildings (part of property and equipment), at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

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8. Summary of accounting policies (continued)

(g) Fair value measurement (continued)

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would consider in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration given or received.

If the Bank determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is entirely supported by observable market data or the transaction is closed out.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements at fair value on a recurring basis, the Group determines and recognize whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

External valuers are involved for valuation of investment properties and buildings. Involvement of external valuers is determined by the Parent Bank.

Fair-value related disclosures for financial instruments and non-financial assets that are measured at fair value or where fair values are disclosed, are summarized in the notes 10 and 11.

(h) Cash and cash equivalents

‘Cash and cash equivalents’ include notes and coins on hand, balances with banks, unrestricted balances held with central banks and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value, and are used by the Bank in the management of its short-term commitments. Cash and cash equivalents are carried at amortized cost in the statement of financial position.

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8. Summary of accounting policies (continued)

(g) Fair value measurement (continued)

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

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A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
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- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements at fair value on a recurring basis, the Group determines and recognize whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

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8. Summary of accounting policies (continued)

(g) Fair value measurement (continued)

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would consider in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration given or received.

If the Bank determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is entirely supported by observable market data or the transaction is closed out.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements at fair value on a recurring basis, the Group determines and recognize whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

External valuers are involved for valuation of investment properties and buildings. Involvement of external valuers is determined by the Parent Bank.

Fair-value related disclosures for financial instruments and non-financial assets that are measured at fair value or where fair values are disclosed, are summarized in the notes 10 and 11.

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‘Cash and cash equivalents’ include notes and coins on hand, balances with banks, unrestricted balances held with central banks and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value, and are used by the Bank in the management of its short-term commitments. Cash and cash equivalents are carried at amortized cost in the statement of financial position.

8. Summary of accounting policies (continued)

(g) Fair value measurement (continued)

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would consider in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration given or received.

If the Bank determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is entirely supported by observable market data or the transaction is closed out.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements at fair value on a recurring basis, the Group determines and recognize whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

External valuers are involved for valuation of investment properties and buildings. Involvement of external valuers is determined by the Parent Bank.

Fair-value related disclosures for financial instruments and non-financial assets that are measured at fair value or where fair values are disclosed, are summarized in the notes 10 and 11.

(h) Cash and cash equivalents

‘Cash and cash equivalents’ include notes and coins on hand, balances with banks, unrestricted balances held with central banks and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value, and are used by the Bank in the management of its short-term commitments. Cash and cash equivalents are carried at amortized cost in the statement of financial position.

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8. Summary of accounting policies (continued)

(g) Fair value measurement (continued)

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would consider in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration given or received.

If the Bank determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is entirely supported by observable market data or the transaction is closed out.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements at fair value on a recurring basis, the Group determines and recognize whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

External valuers are involved for valuation of investment properties and buildings. Involvement of external valuers is determined by the Parent Bank.

Fair-value related disclosures for financial instruments and non-financial assets that are measured at fair value or where fair values are disclosed, are summarized in the notes 10 and 11.

(h) Cash and cash equivalents

‘Cash and cash equivalents’ include notes and coins on hand, balances with banks, unrestricted balances held with central banks and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value, and are used by the Bank in the management of its short-term commitments. Cash and cash equivalents are carried at amortized cost in the statement of financial position.

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8. Summary of accounting policies (continued)

(i) Loans and advances

Loans and advances captions in the statement of financial position include loans and advances measured at amortized cost. They are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortized cost using the effective interest method.

When the Bank purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a substantially similar asset) at a fixed price on a future date (reverse repo or stock borrowing), the arrangement is accounted for as a loan or advance, and the underlying asset is not recognized in the Bank's financial statements.

(j) Investment securities

The "investment securities" caption in the statement of financial position includes

- debt investment securities measured at amortized cost (see f (ii)); these are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortized cost using the effective interest method;
- debt securities measured at FVOCI;

For debt securities measured at FVOCI, gains and losses are recognized in OCI, except for the following, which are recognized in profit or loss in the same manner as for financial assets measured at amortized cost:

- Interest revenue using the effective interest method
- ECL and reversals, and
- Foreign exchange gains and losses

When debt security measured at FVOCI is derecognized, the cumulative gain or loss previously recognized in OCI is reclassified from equity to profit or loss.

(k) Property and equipment

(i) Recognition and measurement

Equipment are measured at cost less accumulated depreciation and any accumulated impairment losses. Property are measured at revalued amounts, being the fair value at the date of revaluation less accumulated depreciation and any accumulated impairment losses. If significant parts of an item of property or equipment have different useful lives, then they are accounted for as separate items (major components) of property and equipment. Any gain or loss on disposal of an item of property and equipment is recognized within other income in profit or loss.

(ii) Subsequent costs

Subsequent expenditure is capitalized only when it is probable that the future economic benefits of the expenditure will flow to the Bank. Ongoing repairs and maintenance are expensed as incurred.

(iii) Depreciation

Depreciation is calculated to write off the cost of items of property and equipment less their estimated residual values using the straight-line method over their estimated useful lives, and is generally recognized in profit or loss. Land and art works are not depreciated.

The estimated useful live for the current and comparative periods are as follows:

	2024	2023
• Buildings	20-33 years	20-33 years
• IT and Electrical Equipment	4 to 8 years	4 to 8 years
• Furniture	3 to 10 years	3 to 10 years
• Other non-electrical assets	5 years	5 years

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8. Summary of accounting policies (continued)

(l) Intangible assets

Software, licenses and trademarks compose intangible assets and are stated at cost less accumulated amortization. Subsequent expenditure on intangible assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred. Amortization is charged on a straight-line basis in profit or loss over the estimated useful lives, from the date that it is available for use. The estimated useful lives for the current and comparative periods are as follows:

	2024	2023
• Software	5 years	5 years
• Licenses and trademarks	10 years	10 years

(m) Investment property

Investment property is initially measured at cost and subsequently at fair value, with any change therein recognized in profit or loss within other income. Any gain or loss on disposal of investment property (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognized in profit or loss.

When the use of a property changes such that it is reclassified as property and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

(n) Repossessed collateral

Repossessed collateral comprises assets acquired through enforcement of security over non-performing loans and advances to customers which do not earn rental and are not used by the Bank and are intended for disposal in a reasonably short period of time, without significant restructuring. Repossessed assets are measured at the lower of cost and net realizable value and any write-down is recognized in the profit or loss.

(o) Impairment of non-financial assets

At each reporting date, the Bank reviews the carrying amount of its non-financial assets (other than inventory and deferred tax assets) to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognized if the carrying amount of an asset exceeds its recoverable amount. The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate which reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

(p) Deposits

Deposits are the Bank's sources of debt funding. Deposits are initially measured at fair value plus directly attributable transaction costs, and subsequently measured at their amortized cost using the effective interest method.

When the Bank sells a financial asset and simultaneously enters into an agreement to repurchase the asset (or a similar asset) at a fixed price on a future date ("repo" or "stock lending"), the arrangement is accounted for as a deposit, and the underlying asset continues to be recognized in the Bank's financial statements.

(q) Provisions

A provision is recognized if, as a result of a past event, the Bank has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money, and where appropriate, the risks specific to the liability.

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8. Summary of accounting policies (continued)

(q) Provisions (continued)

A provision for bank levies is recognized when the condition that triggers the payment of the levy is met. If a levy obligation is subject to a minimum activity threshold so that the obligating event is reaching a minimum activity, then a provision is recognized when that minimum activity threshold is reached.

A provision for restructuring is recognized when the Bank has approved a detailed and formal restructuring plan, and the restructuring either has commenced or has been announced publicly. Future operating losses are not provided for.

(r) Financial guarantees and loan commitments

Financial guarantees are contracts that require the Bank to make specified payments to reimburse the holder for a loss that it incurs because a specified debtor fails to make payment when it is due in accordance with the terms of a debt instrument. Loan commitments are firm commitments to provide credit under pre-specified terms and conditions.

Financial guarantees issued or commitments to provide a loan at a below-market interest rate are initially measured at fair value. Subsequently, they are measured as follows:

- at the higher of the loss allowance determined in accordance with IFRS 9 and the amount initially recognized less, when appropriate, the cumulative amount of income recognized in accordance with the principles of IFRS 15.
- the Bank recognizes a loss allowance

Liabilities arising from financial guarantees and loan commitments are included within provisions.

(s) Employee benefits

(i) Defined contribution plans

The Bank makes only compulsory social security contributions that provide pension benefits for employees upon retirement. In Albania, the local authorities are responsible for providing the legally set minimum threshold for pensions under a defined contribution pension plan. The Bank's contributions to the benefit pension plan are expensed in profit or loss as incurred.

(ii) Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A provision is recognized for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Bank has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(t) Changes in accounting policy and disclosures

- **New and amended standards and interpretations.**

The following amendments to existing IFRS accounting standards became effective for annual periods beginning on 1 January 2024:

- IAS 1 Presentation of Financial Statements: Classification of Liabilities as Current or Non-current (Amendments).
- IFRS 16 Leases: Lease Liability in a Sale and Leaseback (Amendments).
- IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments Disclosures - Supplier Finance Arrangements (Amendments).

None of these amendments have an impact on the Bank's financial statements at 31 December 2024.

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8. Summary of accounting policies (continued)

(t) Changes in accounting policy and disclosures (continued)

- **Standards issued but not yet effective**

New and amended standards and interpretations that are issued but not yet effective are being assessed by the Bank to determine the impact on the financial statements. As explained above, this would include standards and amendments that would already be effective based on the new standard or amendment, but the local endorsement is still in progress or has resulted in a later effective date.

- **Amendments to the Classification and Measurement of Financial Instruments—Amendments to IFRS 9 and IFRS 7**

On 30 May 2024, the IASB issued Amendments to IFRS 9 and IFRS 7, Amendments to the Classification and Measurement of Financial Instruments (the Amendments). The Amendments include:

► A clarification that a financial liability is derecognised on the 'settlement date' and introduce an accounting policy choice (if specific conditions are met) to derecognise financial liabilities settled using an electronic payment system before the settlement date

► Additional guidance on how the contractual cash flows for financial assets with environmental, social and corporate governance (ESG) and similar features should be assessed ► Clarifications on what constitute 'non-recourse features' and what are the characteristics of contractually linked instruments

► The introduction of disclosures for financial instruments with contingent features and additional disclosure requirements for equity instruments classified at fair value through other comprehensive income (OCI)

The Amendments are effective for annual periods starting on or after 1 January 2026. Early adoption is permitted, with an option to early adopt the amendments for classification of financial assets and related disclosures only. The Bank is currently in the process of assessing the impact of the new amendments however is not intending to early adopt such amendments.

- **IFRS 18 Presentation and Disclosure in Financial Statements**

In April 2024, the IASB issued IFRS 18 Presentation and Disclosure in Financial Statements, which replaces IAS 1 Presentation of Financial Statements. IFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new. There are specific presentation requirements and options for entities, such as the Bank, that have specified main business activities (either providing finance to customers or investing in specific type of assets, or both).

It also requires disclosure of newly defined management-defined performance measures, which are subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements and the notes.

Narrow-scope amendments have been made to IAS 7 Statement of Cash Flows, which include changing the starting point for determining cash flows from operations under the indirect method, from 'profit or loss' to 'operating profit or loss' and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards.

IFRS 18, and the amendments to the other standards, are effective for reporting periods beginning on or after 1 January 2027, but earlier application is permitted and must be disclosed. IFRS 18 will apply retrospectively. The Bank is currently working to identify all impacts the amendments will have on the primary financial statements and notes to the financial statements.

8. Summary of accounting policies (continued)

(t) Changes in accounting policy and disclosures (continued)

- **Standards issued but not yet effective**

- **IAS 21 The Effects of Changes in Foreign Exchange Rates: Lack of Exchangeability (Amendments)**

  The amendments are effective for annual reporting periods beginning on or after January 1, 2025, with earlier application permitted. Management has assessed that the standard has no impact.

- **IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures - Contracts Referencing Nature-dependent Electricity (Amendments)**

  In December 2024, the IASB issued targeted amendments for a better reflection of Contracts Referencing Nature-dependent Electricity, which amended IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures and they become effective for annual reporting periods beginning on or after January 1, 2026, with earlier application permitted. Management has assessed that the standard has no impact.

- **IFRS 19 Subsidiaries without Public Accountability: Disclosures**

  In May 2024, the IASB issued the IFRS 19 - Subsidiaries without Public Accountability: Disclosures, and it becomes effective for annual reporting periods beginning on or after January 1, 2027, with earlier application permitted. Management has assessed that the bank has no impact.

- **Amendment in IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture**

  In December 2015, the IASB postponed the effective date of this amendment indefinitely pending the outcome of its research project on the equity method of accounting. Management has assessed that the bank has no impact.

- **Annual Improvements to IFRS Accounting Standards – Volume 11**

  In July 2024, the IASB issued Annual Improvements to IFRS Accounting Standards – Volume 11. An entity shall apply those amendments for annual reporting periods beginning on or after January 1, 2026. Earlier application is permitted.

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9. Financial Risk Management

The Bank is exposed to the following risks from financial instruments:

a. credit risk
b. liquidity risk
c. market risk
d. operational risk

This note presents information about the Bank's exposure to each of the above risks, the Bank's objectives, policies and processes for measuring and managing risk, and the Bank's management of capital.

Risk management framework

The Board of Directors of the Bank has overall responsibility for the establishment and oversight of the Bank's risk management framework. The Board has established the Bank's Governance Committees (Executive Directors Committee, Credit Committee, Asset Liability Committee, Operational Risk Committee, Credit Risk Governance Committee, Problematic Loans Committee and other committees) that have the authority for decision-making in their specified areas.

Risk Management Division is responsible for developing and monitoring the Bank's risk management policies in these areas. All the Bank's committees have both executive and non-executive members and report regularly to the Board of Directors on their activities. The Bank's risk management policies are established to identify and analyze the risks faced by the Bank, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered.

(a) Credit Risk

In the normal course of its business, the Bank is exposed to credit risk on its loans and advances to customers and banks, investment securities and other off-balance-sheet items. Credit risk is the risk of financial loss to the Bank if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Bank's loans and advances to customers, debt securities, on funds with other financial institutions and other off-balance sheet items. For risk management reporting purposes, the Bank considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector risk). The Bank manages its exposure to credit risk on a regular basis by closely monitoring credit limits, its loan portfolio and concentration of exposure.

(i) Management of credit risk

The Board of Directors has delegated responsibility for decision-making to Committees in Credit Area. The Risk Management Division, reporting to the CEO, is responsible for the oversight and management of the Bank's credit risk, including:

- *Formulating credit policies* in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
- *Reviewing and assessing credit risk*. The Bank's Underwriting Department assesses all credit exposures, before facilities are committed to customers by the Bank. Renewals and reviews of facilities are subject to the same review process.
- *Limiting concentrations of exposure* to counterparties, geographies and industries (for loans and advances), and by issuer, credit rating band, market liquidity and country (for investment securities).
- *Developing and maintaining the Bank's risk classifications* in order to categorize exposures according to the degree of risk of financial loss faced and to focus management on the attendant risks. The risk classification is used in determining where impairment may be required against specific credit exposures.

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9. Financial Risk Management (continued)

(a) Credit Risk

(i) Management of credit risk

According to the Bank's methodology, all exposures are classified between Performing (including Stage 1 and Stage 2) and Non- Performing exposures (Stage 3-including Past Due, Unlikely to Pay "UTP" and Doubtful). The bank classifies the performing portfolio in two clusters Stage 1 and Stage 2 based on a set of rules harmonized with the guidelines of Intesa Sanpaolo Group, driven by the signs of deterioration of the exposure as per below specifications:

Stage 1	Stage 2	Stage 3
• Performing exposures without days past due • Performing exposures with less than 30 days past due • Intragroup transactions	• Performing exposures with more than 30 days past due • Forborne performing exposures • Performing exposures showing Early Warning signals • Low default portfolio based on residual maturity and specific criteria as per group thresholds	• Exposures with more than 90 days past due • Past Due in Probation Period • Unlikely to Pay • UTP in Probation Period • Doubtful • Forborne Non performing NPV test>1% in case of distressed restructuring

- *Developing and maintaining the Bank's risk classifications* (continued) The Non-Performing portfolio is classified by analyzing the exposures also based on a set of rules harmonized with the guidelines of Intesa Sanpaolo Group. These rules include objective evidence being: breach of contract (such as default or delinquency in interest or principal payments); significant financial difficulty of the borrower; and other significant adverse financial information relating to the customer.
- *Reviewing compliance* of business units with agreed exposure limits, including those for selected industries and product types. Detailed analyses are provided monthly to the Problem Assets Committee on the credit quality of customer exposures and specific actions are proposed.
- *Providing advice, guidance and specialist skills* to business units to promote best practice throughout the Bank in the management of credit risk.

(ii) Maximum Exposure to Credit Risk

The following table shows the current maximum exposure to credit risk for the applicable components of statement of financial position:

	Maximum Exposure	
	31 December 2024	**31 December 2023**
Cash and cash equivalents (excluding cash on hand)	9,281,732	13,263,260
Loans and advances to banks	49,446,943	43,503,088
Investment securities	80,731,322	79,115,681
Loans and advances to customers	56,421,796	53,002,247
Sundry debtors	17,617	21,850
Total on-balance-sheet risk	**195,899,410**	**188,906,126**
Undrawn credit commitments	8,946,551	11,183,570
Letters of credit	995,858	39,727
Guarantees in favor of customers	6,802,101	6,274,192
Total credit related commitments	16,744,510	**17,497,489**
Total Credit Risk Exposure	**212,643,920**	**206,403,615**

The balances are presented net of ECL. Where financial assets are recorded at fair value, the amounts shown represent the current credit risk exposure, but not the maximum risk exposure that could arise in the future as a result of changes in values.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(ii) Maximum Exposure to Credit Risk (continued)

The Bank makes available to its customers guarantees which may require that the Bank makes payments on their behalf and enters into commitments to extend credit lines to secure their liquidity needs. Letters of credit and guarantees commit the Bank to make payments on behalf of customers in the event of a specific act or event, generally related to the import or export of goods, and payment and performance guarantees.

Such commitments expose the Bank to similar credit risks, which are mitigated by the same control processes and policies. Every month, the Bank assesses the credit related commitments for impairment. Amounts subject to individual impairment assessment are non-cancellable commitments granted to non-performing customers or customers with restructured credit facilities.

In the commitments are included bank guarantees counter guaranteed by the Parent Bank amounting ALL 818 million (2023: ALL 935 million) assessed with no credit risk, excluded from the disclosures in the note 9(a)(v) below.

(iii) Credit Quality by class of financial assets

The following table sets out information about the credit quality of financial assets measured at amortized cost and FVOCI debt investments. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts. For loan commitments and financial guarantee contracts, the amounts in the table represent the amounts committed or guaranteed, respectively. Explanation of the terms 'Stage 1', 'Stage 2' and 'Stage 3' is included in Note 9(a)(i).

			31 December 2024	
	Stage 1	**Stage 2**	**Stage 3**	**Total**
Loans and advances to customers				
Performing	54,612,730	1,819,360	-	56,432,090
Past Due	-	-	68,293	68,293
Unlikely to Pay	-	-	1,031,859	1,031,859
Doubtful	-	-	773,702	773,702
Total	**54,612,730**	**1,819,360**	**1,873,854**	**58,305,944**
Loss allowance	**470,491**	**175,988**	**1,237,669**	**1,884,148**
Carrying amount	**54,142,239**	**1,643,372**	**636,185**	**56,421,796**

			31 December 2023	
	Stage 1	**Stage 2**	**Stage 3**	**Total**
Loans and advances to customers				
Performing	49,728,923	3,278,635	-	53,007,558
Past Due	-	-	56,794	56,794
Unlikely to Pay	-	-	1,178,571	1,178,571
Doubtful	-	-	431,531	431,531
Total	**49,728,923**	**3,278,635**	**1,666,896**	**54,674,454**
Loss allowance	**507,095**	**206,123**	**958,989**	**1,672,207**
Carrying amount	**49,221,828**	**3,072,512**	**707,907**	**53,002,247**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

	31 December 2024			
	Stage 1	**Stage 2**	**Stage3**	**Total**
Financial guarantee and commitment				
Performing	15,868,592	52,963	-	15,921,555
Past Due	-	-	292	292
Unlikely to Pay	-	-	2,107	2,107
Doubtful	-	-	1,920	1,920
Total	**15,868,592**	**52,963**	**4,319**	**15,925,874**
Loss allowance	**41,117**	**1,419**	**3,998**	**46,534**
Carrying amount	**15,827,475**	**51,544**	**321**	**15,879,340**

	31 December 2023			
	Stage 1	**Stage 2**	**Stage3**	**Total**
Financial guarantee and commitment				
Performing	16,479,346	69,408	-	16,548,754
Past Due	-	-	13	13
Unlikely to Pay	-	-	8,706	8,706
Doubtful	-	-	4,673	4,673
Total	**16,479,346**	**69,408**	**13,392**	**16,562,146**
Loss allowance	**47,105**	**6,972**	**10,616**	**64,693**
Carrying amount	**16,432,241**	**62,436**	**2,776**	**16,497,453**

	31 December 2024			
PD Range	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Loans and advances to customers				
0%-0.05%	39,387	-	-	39,387
0.05% -11.70%	54,143,140	-	-	54,143,140
11.70%-29.50%	430,203	1,719,152	-	2,149,355
29.50%-99.99%	-	100,208	-	100,208
100%	-	-	1,873,854	1,873,854
Total	**54,612,730**	**1,819,360**	**1,873,854**	**58,305,944**
Loss allowance	**470,491**	**175,988**	**1,237,669**	**1,884,148**
Carrying amount	**54,142,239**	**1,643,372**	**636,185**	**56,421,796**

	31 December 2023			
PD Range	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Loans and advances to customers				
0%-0.05%	61,840	-	-	**61,840**
0.05% -11.70%	49,325,420	2,077,109	-	**51,402,529**
11.70%-29.50%	341,654	-	-	**341,654**
29.50%-99.99%	-	1,201,525	-	**1,201,525**
100%	-	-	1,666,906	**1,666,906**
Total	**49,728,914**	**3,278,634**	**1,666,906**	**54,674,454**
Loss allowance	**507,095**	**206,123**	**958,989**	**1,672,207**
Carrying amount	**49,221,819**	**3,072,511**	**707,917**	**53,002,247**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

				31 December 2024
	Stage 1	Stage 2	Stage3	Total
Loans and advances to banks*				
Performing	42,163,099	-	-	**42,163,099**
Total	**42,163,099**	**-**	**-**	**42,163,099**
Loss allowance	1,653	-	-	**1,653**
Carrying amount	**42,161,446**	**-**	**-**	**42,161,446**
Investment securities at FVOCI				
Performing	**76,359,711**	**-**	**-**	**76,359,711**
Total	**76,359,711**	**-**	**-**	**76,359,711**
Loss allowance**	378,756	-	-	378,756
Carrying amount	**76,359,711**	**-**	**-**	**76,359,711**
Investment securities at amortized cost				
Performing	**4,073,013**	**324,487**	-	4,397,500
Total	**4,073,013**	**324,487**	**-**	**4,397,500**
Loss allowance	24,280	1,609	-	**25,889**
Carrying amount	**4,048,733**	**322,878**	**-**	**4,371,611**

				31 December 2023
	Stage 1	Stage 2	Stage3	Total
Loans and advances to banks*				
Performing	38,773,365	22,604	-	38,795,969
Total	**38,773,365**	**22,604**	**-**	**38,795,969**
Loss allowance	**1,746**	**16**	**-**	**1,762**
Carrying amount	**38,771,619**	**22,588**	**-**	**38,794,207**
Investment securities at FVOCI				
Performing	71,832,488	-	-	71,832,488
Total	**71,832,488**	**-**	**-**	**71,832,488**
Loss allowance**	656,934	-	-	656,934
Carrying amount	**71,832,488**	**-**	**-**	**71,832,488**
Investment securities at amortized cost				
Performing	7,034,323	323,783	-	7,358,106
Total	**7,034,323**	**323,783**	**-**	**7,358,106**
Loss allowance	**73,052**	**1,861**	**-**	**74,913**
Carrying amount	**6,961,271**	**321,922**	**-**	**7,283,193**

*Loans and advances to banks include current accounts with banks, money market placements with contractual maturity less than 3 months (see Note 13) and deposits with correspondent banks (see Note 14).

**Loss allowance for investment securities at FVOCI is recognized in other comprehensive income and not as a contra account to the carrying amount of the financial asset in the statement of financial position (see Note 8 (f) (vi) Presentation of allowance for ECL in the statement of financial position).

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

The following table sets out information about the overdue status of gross amount of loans and advances to customers in Stages 1, 2 and 3.

				31 December 2024
Loans and advances to customers	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Up to 30 days in arrears	54,612,730	1,698,705	555,326	56,866,761
30 to 90 days in arrears	-	120,655	139,212	259,867
More than 90 days	-	-	1,179,316	1,179,316
Total	**54,612,730**	**1,819,360**	**1,873,854**	**58,305,944**

				31 December 2023
Loans and advances to customers	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Up to 30 days in arrears	49,728,914	2,747,081	651,785	53,127,780
30 to 90 days in arrears	-	531,553	83,221	614,774
More than 90 days in arrears	-	-	931,900	931,900
Total	**49,728,914**	**3,278,634**	**1,666,906**	**54,674,454**

All loans and advances to banks and investment securities fall in the overdue status of less than 30 days in arrears as of 31 December 2024 and 31 December 2023. Stage 2 loans to banks and investment securities relate to exposure as disclosed in note 9 a (v).

The following table sets out the credit quality of debt securities and loans and advances to banks based on Moody's ratings, Staging and IFRS Category:

	Investment's debt securities		
	31 December 2024		
Sovereign	**Stage 1**	**Stage 2**	**Total**
Rate Aaa, Aa1 & Aa2	8,679,044	-	8,679,044
FVOCI	8,679,044	-	8,679,044
AC	-	-	-
Rate Baa2 & Ba3	66,806,063	322,878	67,128,941
FVOCI	62,757,330	-	62,757,330
AC	4,048,733	322,878	4,371,611
	75,485,107	**322,878**	**75,807,985**
Financial Institutions			
Rated Aaa	4,923,337	-	4,923,337
FVOCI	4,923,337	-	4,923,337
Total carrying amount	80,408,444	322,878	80,731,322

			31 December 2023
Sovereign	**Stage 1**	**Stage 2**	**Total**
Rate Aa1 & Aaaa	**4,393,622**	**-**	**4,393,622**
FVOCI	4,393,622	-	**4,393,622**
AC	-	-	**-**
Rate Baa3 & B1	**69,103,774**	**321,922**	**69,425,696**
FVOCI	62,142,503	-	**62,142,503**
AC	6,961,271	321,922	**7,283,193**
	73,497,396	**321,922**	**73,819,318**
Financial Institutions			
Rated Aaa	**5,296,363**	**-**	**5,296,363**
FVOCI	5,296,363	-	**5,296,363**
Total carrying amount	**78,793,759**	**321,922**	**79,115,681**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

	Loans and advances to Banks 31 December 2023		
	Stage 1	**Stage 2**	**Total**
Rated Aa3	7,478,870	-	7,478,870
Rated A1	1,565,816	-	1,565,816
Rated A2	3,418,903	-	3,418,903
Rated Baa1	7,216,411	-	7,216,411
Rated Baa2	3,697,005	-	3,697,005
Rated Ba1	10,718,207	-	10,718,207
Rated Ba2	4,156,030	22,588	4,178,618
Rated B2	520,377	-	520,377
	38,771,619	**22,588**	**38,794,207**

(iv) Collateral held and other credit enhancements

The estimated cash flows derived from the collateral, including guarantees securing the exposures, are usually the main source of future cash flows from non-performing loans. Some of the valuation parameters used for the calculation are:

- *Realizable value of collaterals*, which is estimated by reducing the appraised market value of the collateral with a discount factor. This considers the characteristics of similar groups of collaterals. It presumes an average recoverable value of specific collateral, based on the Bank's experience.
- *Timing of the expected cash flow*, which represents the expected recovery time (in years) for a specific type of collateral.

The recovery costs are deducted from estimated future cash flows. Collateral, generally, is not held over loans and advances to financial institutions, except when securities are held as part of reverse repurchase and securities borrowing activity. Usually, collateral is not held against investment securities, and no such collateral was held at 31 December 2024 and 2023.

The following presents a summary of the loans and advances to customer portfolio, categorized by stage and disclosed both in gross and net of Expected Credit Losses. Additionally, it indicates whetherthese loans are backed by collateral or not

31 December 2024	Loans and advances to customers		Collateral		No-collateral	
	GBV	**NBV**	**GBV**	**NBV**	**GBV**	**NBV**
Stage 1	54,612,730	54,142,239	42,761,587	42,535,746	11,856,680	11,609,410
Stage 2	1,819,360	1,643,372	1,697,444	1,560,325	121,916	83,047
Stage 3 collective	570,699	239,100	154,426	89,906	394,510	146,414
Stage 3 individual	1,303,155	397,085	1,303,155	397,086	-	-
Total	**58,305,944**	**56,421,796**	**45,916,612**	**44,583,063**	**12,373,106**	**11,838,871**

31 December 2023	Loans and advances to customers		Collateral		No-collateral	
	GBV	**NBV**	**GBV**	**NBV**	**GBV**	**NBV**
Stage 1	49,728,923	49,221,828	41,332,228	41,109,546	8,396,695	8,112,282
Stage 2	3,278,635	3,072,512	3,133,072	2,956,682	145,563	115,830
Stage 3 collective	559,553	296,423	183,672	109,167	375,881	187,256
Stage 3 individual	1,107,343	411,484	1,107,343	411,484	-	-
Total	**54,674,454**	**53,002,247**	**45,756,315**	**44,586,879**	**8,918,139**	**8,415,368**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iv) Collateral held and other credit enhancements (continued)

Estimates of fair value are based on the value of collateral assessed at the time of borrowing and are updated every year for corporate segment and every three years for retail segment. An estimate of the undiscounted and discounted fair value of collaterals and other security enhancements held against financial assets is shown below

	Collateral of Loans and advances to customers			
	31 December 2024		31 December 2023	
	Undiscounted	Discounted	Undiscounted	Discounted
Against individually impaired				
Property	2,546,624	782,019	2,456,662	812,164
Pledges and guarantees	1,895,947	14,597	1,271,620	3,064
Cash	-	-	-	-
Debt securities	100,150	-	100,150	-
Other	-	-	32,879	-
Total	**4,542,721**	**796,616**	**3,861,311**	**815,228**
Net carrying amount		**397,085**		**411,484**

Net carrying amount represent loans which are individually assessed and in recovery amount is considered only eligible collateral.

The gross amount of collaterals includes the value of collaterals before testing the individually impaired loans. The net carrying amount shows the fair present value of the same collaterals under this test. The table below shows the total amount of collaterals for the loans assessed under the category of collectively impaired including all the Stage 3 exposures that are lower than EUR 100 thousand.

These collaterals do not undergo the same testing procedures as the above group.

The information on the table below provides information on how much the collectively impaired loans and advances to customers are secured against their respective collaterals. Only eligible collaterals are included in discounted collaterals.

	Collateral of Loans and advances to customers			
	31 December 2024		31 December 2023	
	Undiscounted	Discounted	Undiscounted	Discounted
Against Collectively Impaired				
Property	92,844,105	37,103,883	82,329,811	33,097,222
Pledges and guarantees	83,471,172	2,640,642	81,453,438	4,088,479
Cash	530,219	504,387	578,791	547,677
Debt securities	13,635,744	489,818	1,392,951	445,577
Other	137,803	-	376,808	-
Total	**190,619,043**	**40,738,730**	**166,131,799**	**38,178,953**
Net carrying amount		**44,185,977**		**44,175,395**

It is the Bank's policy to dispose of assets repossessed through the recovering process. The amounts collected from the proceeds are used to reduce or liquidate the carrying amount of the non-performing loans. The table below sets out the carrying amount and the value of undiscounted collateral of the loans and advances to customers measured at amortized cost.

	31 December 2024		31 December 2023	
	Carrying amount	Collateral	Carrying amount	Collateral
Stage 1 and Stage 2	55,785,611	190,619,043	52,294,340	166,131,799
Stage 3	636,185	4,542,721	**707,907**	3,861,311
	56,421,796	**195,161,764**	**53,002,247**	**169,993,110**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iv) Collateral held and other credit enhancements (continued)

When the Bank holds repossessed assets in its ownership, their conversion into cash is the Bank's first aim, through marketing the properties for sale. If there is no satisfactory offer collected, the Bank's practice is to keep the asset for sale until receiving the best offer. The amounts of repossessed properties are disclosed in note 22.

Depending on operational needs and the suitability of the asset to fulfill those needs, management may decide to make use of the property; in such cases a reclassification into property and equipment (see note 17) of the Bank is performed. The breakdown of the gross book value of the loans and advances by class, along with the fair value of the collateral held by the Bank as security, are as follows:

31 December 2024	**Over-collateralized portfolio**		**Under-collateralized portfolio**	
	Gross book value of portfolio	**Fair value of collateral**	**Gross book value of portfolio**	**Fair value of collateral**
Mortgage Lending	14,106,803	48,364,918	661,587	88,619
Leasing	20,139	56,237	0	0
Personal loans	1,291,656	2,587,699	4,903,138	0
Overdrafts and credit cards	34,029	64,703	426,307	2116
Loans to businesses	31,961,146	177,981,437	3,046,268	354,383
Total	**47,413,773**	**229,054,994**	**9,037,300**	**445,118**

31 December 2023	**Over-collateralized portfolio**		**Under-collateralized portfolio**	
	Gross book value of portfolio	**Fair value of collateral**	**Gross book value of portfolio**	**Fair value of collateral**
Mortgage Lending	14,131,142	39,952,847	249,826	131,640
Leasing	27,484	59,228	-	-
Personal loans	118,979	543,598	3,868,016	-
Overdrafts and credit cards	20,899	35,541	338,522	-
Loans to businesses	33,176,366	133,817,469	1,076,324	383,854
Total	**47,474,870**	**174,408,683**	**5,532,688**	**515,494**

The table below shows the breakdown of the gross book value of credit impaired loans and advances given to customers by ranges of their collateral coverage:

31 December 2024	**Over-collateralized portfolio**		**Under-collateralized portfolio**	
	Credit impaired loans	**Fair value of collateral**	**Credit impaired loans**	**Fair value of collateral**
Mortgage Lending	228,509	1,031,966	37,844	-
Financial Leasing	-	-	-	-
Personal loans	4,190	6,240	298,211	-
Overdrafts and credit cards	445	520	26,476	-
Loans to businesses	1,256,185	4,437,853	3,011	2,485
Total	**1,489,329**	**5,476,579**	**365,542**	**2,485**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iv) Collateral held and other credit enhancements (continued)

31 December 2023	Over-collateralized portfolio		Under-collateralized portfolio	
	Credit impaired loans	Fair value of collateral	Credit impaired loans	Fair value of collateral
Mortgage Lending	243,037	1,400,436	6,202	-
Financial Leasing	-	-	-	-
Personal loans	550	1,000	198,290	200
Overdrafts and credit cards	868	987	27,592	416
Loans to businesses	1,186,174	3,610,711	4,183	1,039
Total	**1,430,629**	**5,013,134**	**236,267**	**1,655**

(v) Amounts arising from ECL

Inputs, assumptions and techniques used for estimating impairment

See accounting policy in Note 8(f).(vi).

Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Bank considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Bank's historical experience and expert credit assessment and including forward-looking information.

The objective of the assessment is to identify whether a significant increase in credit risk has occurred for an exposure by comparing:

- the remaining lifetime probability of default (PD) as at the reporting date; with
- the remaining lifetime PD for this point in time that was estimated at the time of initial recognition of the exposure (adjusted where relevant for changes in prepayment expectations).

The Bank uses three criteria for determining whether there has been a significant increase in credit risk:

- quantitative test based on movement in PD, for loans to banks and investment securities only;
- qualitative indicators based on forbearance and early warning signals; and
- a backstop of 30 days past due.

Incorporation of forward-looking information

- The Bank has amended its forward-looking model from EBA model, the banks incorporates own model of forward-looking information into the measurement of ECL.The forward looking components are included and performed through the incorporation of the PD Satellite Model, whose purpose is to include forward looking information in Probability of Default (PD) parameter and to predict the impact of future economic shocks on the portfolio's PDs. PD satellite model establishes a link between ISBA legal entities/retail default rate and the macroeconomic variables. As an insight, PD satellite model estimates the change in the Probability of Default (PD) over time based on the identification of an empirical link between the PD and the macroeconomic variables with the aim to be able to forecast PD along various scenarios quantifying the impact of macroeconomic factors on it.

In order to estimate a satellite model, several data are necessary. On one hand, it is necessary to define a proxy for the probability of default: considering that in ISBA a PD model is not present, the satellite model defined can't directly estimate the dependence of PDs on macroeconomic variables, for this reason the target variable of the model is defined as default rate based on Bank internal data. On the other hand, the time series regarding the main macroeconomic indicators which need to be collected, and they will be used within the statistical model in order to shape a relation with the proxy of the probability of default.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Modified financial assets

The contractual terms of a loan may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been modified may be derecognized and the renegotiated loan recognized as a new loan at fair value in accordance with the accounting policy set out in Note 8 (f)(iv).

Measurement of ECL (Expected Credit Losses)

The key inputs into the measurement of ECL are the term structure of the following variables:

• probability of default (PD);

• loss given default (LGD); and

• exposure at default (EAD)

Lifetime expected loss covers expected loss for the whole life IFRS 9 specifies that if the credit risk on a financial instrument has increased significantly since initial recognition, an entity shall measure the loss allowance for that financial instrument at an amount equal to Lifetime expected credit losses and if the credit risk on such instrument has not increased significantly, 12-months expected losses should be calculated instead.

ECL for exposures in Stage 1 is calculated by multiplying the 12-month PD by LGD and EAD. Lifetime ECL is calculated by multiplying the lifetime PD by LGD and EAD. The Bank employs statistical models to analyze the data collected and generate estimates of the remaining lifetime PD of exposures and how these are expected to change as a result of the passage of time.

The Bank collects performance and default information about its credit risk exposures analyzed by type of product and borrower as well as by credit risk grading. For some portfolios, information purchased from external credit reference agencies is also used.

LGD is the magnitude of the likely loss if there is a default. The Bank estimates LGD parameters based on the history of loss rates from defaulted counterparties (ISBA has established in 2022 the internal LGD Model in order to calculate the LGD Parameter , which is calculated based on the LGD clusters) . The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. For loans secured by retail property, LTV ratios are a key parameter in determining LGD. LGD estimates are calculated on a discounted cash flow basis using the effective interest rate as the discounting factor.

EAD represents the expected exposure in the event of a default. The Bank derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract and arising from amortization. The EAD of a financial asset is its gross carrying amount at the time of default. For lending commitments, the EADs are potential future amounts that may be drawn under the contract, which are estimated based on historical observations and forward-looking forecasts.

Low Default Portfolio

Low Default Portfolio includes securities and loans to banks used as a category for impairment purposes only under the IFRS 9 rules and consists of exposures with the following parties:

- Sovereign (Central Banks, Governments, Municipalities, Public Sector Entities);
- Institutions (Banks, and other financial institutions);

Intragroup exposures are exposures with the following parties:

- Parent Company;
- Other ISP subsidiaries.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Low Default Portfolio (continued)

Intragroup transactions are generally classified as Stage 1 with a 12- months ECL following the staging rules for Low Default Portfolio and intragroup exposures based on parent company driven methodologies including validation. Exposures are classified to Stage 2 based on the significant increase of credit risk criterion measured by Lifetime PD comparison. This criterion for Low Default Portfolio is defined based on the specific rating and residual maturity of exposure. Thresholds are provided by Parent Company.

The criteria used to access whether the debt securities credit quality deteriorated significantly since origination is Lifetime PDs comparison. The instrument issuer rating (counterparty rating) is used for the Lifetime PD comparison rather than rating of the single instrument (i.e. at the reporting date different instruments or tranches related to the same issuer will be assigned with the rating of the counterparty at a given date). Debt securities purchased in tranches PD at origination is determined through First In First Out (FIFO) methodology.

Debt securities include "Low Credit Risk Exemption" based on the assumption that the credit risk has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the reporting date. Therefore, Investment grade instruments at the reporting date are classified to Stage 1.

This exemption is applicable only for instruments belonging to FVOCI portfolio. The following criteria are approved for each stage for Bonds residual maturity of the financial instrument.

Stage 1	Stage 2	Stage 3
• Debt with no significant credit quality deterioration Investment grade debts	• Debt with significant increase in PD since origination	• Defaulted Debt

Collective assessment is the approach to impairment evaluation based on statistical methods by using credit risk parameters which are estimated based on historical data for homogenous groups of assets.

Loss allowances

The Bank establishes an allowance for impairment losses that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, as well as collectively assessed and less significant exposures, and a collective loan loss allowance established for groups of homogeneous assets in respect of expected losses that have not been identified.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

The following tables show reconciliations from the opening to the closing balance of the expected credit losses by class of financial instrument.

Movements in impairment allowance funds for:

Loans and advances to banks	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2024	**1,746**	**16**	**-**	**1,762**
Transfer to Stage 1	16	(16)	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial Assets that have been derecognized	(1,315)	-	-	(1,315)
Net remeasurement of loss allowances	(54)	-	-	(54)
New financial assets originated or purchased	1,343	-	-	1,343
Foreign exchange and other movements	(83)	-	-	(83)
Balances at 31 December 2024	**1,653**	**-**	**-**	**1,653**

Loans and advances to banks	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2023	**2,094**	**29**	**-**	**2,123**
Transfer to Stage 1	(119)	119	-	-
Transfer to Stage 2	3	(3)	-	-
Transfer to Stage 3	-	-	-	-
Financial Assets that have been derecognized	(1,797)	(27)	-	**(1,824)**
Net remeasurement of loss allowances	(5)	(92)	-	**(97)**
New financial assets originated or purchased	1,588	-	-	**1,588**
Foreign exchange and other movements	(18)	(10)	-	**(28)**
Balances at 31 December 2023	**1,746**	**16**	**-**	**1,762**

Investment securities at FVOCI	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2024	**656,934**	**-**	**-**	**656,934**
Transfers between Stages	-	-	-	-
Financial Assets that have been derecognized	(266,784)	-	-	(266,784)
Net remeasurement of loss allowances	(242,114)	-	-	(242,114)
New financial assets originated or purchased	232,007	-	-	232,007
Foreign exchange and other movements	(1,287)	-	-	(1,287)
Balances at 31 December 2024	**378,756**	**-**	**-**	**378,756**

Investment securities at FVOCI	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2023	**630,384**	**-**	**-**	**630,384**
Transfers between Stages	-	-	-	-
Financial Assets that have been derecognized	(269,386)	-	-	(269,386)
Net remeasurement of loss allowances	(115,859)	-	-	(115,859)
New financial assets originated or purchased	416,908	-	-	416,908
Foreign exchange and other movements	(5,113)	-	-	(5,113)
Balances at 31 December 2023	**656,934**	**-**	**-**	**656,934**

Investment securities at amortized cost	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2024	**73,052**	**1,861**	**-**	**74,913**
Transfers between Stages	-	-	-	-
Financial Assets that have been derecognized	(2,820)	-	-	(2,820)
Net remeasurement of loss allowances	(45,409)	252	-	(45,157)
New financial assets originated or purchased	-	-	-	-
Foreign exchange and other movements	(543)	(504)	-	(1,047)
Balances at 31 December 2024	**24,280**	**1,609**	**-**	**25,889**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Investment securities at amortized cost	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2023	**141,640**	**3,044**	**-**	**144,684**
Transfers between Stages	-	-	-	**-**
Financial Assets that have been derecognized	(22,541)	(621)	-	**(23,162)**
Net remeasurement of loss allowances	(43,789)	(265)	-	**(44,054)**
New financial assets originated or purchased	-	-	-	**-**
Foreign exchange and other movements	(2,258)	(297)	-	**(2,555)**
Balances at 31 December 2023	**73,052**	**1,861**	**-**	**74,913**

Loans and advances to customers	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2024	**507,095**	**206,123**	**958,989**	**1,672,207**
Transfer to Stage 1	53,703	(31,278)	(22,425)	-
Transfer to Stage 2	(10,958)	23,746	(12,788)	-
Transfer to Stage 3	(9,327)	(49,068)	58,395	-
Financial Assets that have been derecognized	(89,461)	(71,365)	(190,274)	(351,100)
Net remeasurement of loss allowances	(104,018)	90,228	395,876	382,086
New financial assets originated or purchased	156,800	12,344	98,060	267,204
Write offs	-	-	(53,690)	(53,690)
Foreign exchange and other movements	(33,343)	(4,742)	5,526	(32,559)
Balances at 31 December 2024	**470,491**	**175,988**	**1,237,669**	**1,884,148**

Loans and advances to customers	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2023	**718,002**	**364,635**	**881,913**	**1,964,550**
Transfer to Stage 1	190,279	(165,947)	(24,332)	-
Transfer to Stage 2	(45,382)	82,844	(37,462)	-
Transfer to Stage 3	(9,617)	(73,556)	83,173	-
Financial Assets that have been derecognized	(81,566)	(74,707)	(149,586)	(305,859)
Net remeasurement of loss allowances	(442,687)	33,996	76,284	(332,407)
New financial assets originated or purchased	196,735	45,549	254,123	496,407
Write offs	-	-	(112,493)	(112,493)
Foreign exchange and other movements	(18,669)	(6,691)	(12,631)	(37,991)
Balances at 31 December 2023	**507,095**	**206,123**	**958,989**	**1,672,207**

Loan commitments and financial guarantee contracts	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2024	**47,105**	**6,972**	**10,616**	**64,693**
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	332	(332)	-
Transfer to Stage 3	-	(40)	40	-
Financial Assets that have been derecognized	(7,983)	(6,927)	(8,447)	(23,357)
Net remeasurement of loss allowances	(10,420)	859	1,803	(7,758)
New financial assets originated or purchased	13,793	223	317	14,333
Foreign exchange and other movements	(1,377)	-	-	(1,377)
Balances at 31 December 2024	**41,118**	**1,419**	**3,997**	**46,534**

9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2023	**52,112**	**11,053**	**6,163**	**69,328**
Transfer to Stage 1	3,562	(2,168)	(1,394)	-
Transfer to Stage 2	(27)	27	-	-
Transfer to Stage 3	(212)	(18)	230	-
Financial Assets that have been derecognized	(10,784)	(22)	(102)	(10,908)
Net remeasurement of loss allowances	(11,633)	(1,339)	6,567	(6,405)
New financial assets originated or purchased	18,223	52	83	18,358
Foreign exchange and other movements	(4,136)	(613)	(931)	(5,680)
Balances at 31 December 2023	**47,105**	**6,972**	**10,616**	**64,693**

9. Financial Risk Management (continued)

(a) Credit Risk (continued)

Gross amount

The following tables show reconciliations from the opening to the closing balance of the gross amount by class of financial instrument.

Loans and advances to banks	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2024	**38,773,365**	**22,604**	**-**	**38,795,969**
Transfer to Stage 1	22,604	(22,604)	-	-
Transfer to Stage 2	-	-	-	-
Financial Assets that have been derecognized	(344,113,164)	-	-	**(344,113,164)**
Increase/Decrease of the exposure	(2,378,583)	-	-	**(2,378,583)**
New financial assets originated or purchased	350,075,297	-	-	**350,075,297**
Foreign exchange and other movements	(216,420)	-	-	**(216,420)**
Balances at 31 December 2024	**42,163,099**	**-**	**-**	**42,163,099**

Loans and advances to banks	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2023	**32,996,075**	**362,475**	**-**	**33,358,550**
Transfer to Stage 1	44,926	(44,926)	-	-
Transfer to Stage 2	(160,996)	160,996	-	-
Financial Assets that have been derecognized	(27,976,714)	(317,549)	-	**(28,294,263)**
Increase/Decrease of the exposure	1,393,924	(123,805)	-	**1,270,119**
New financial assets originated or purchased	32,989,924	-	-	**32,989,924**
Foreign exchange and other movements	(513,774)	(14,587)	-	**(528,361)**
Balances at 31 December 2023	**38,773,365**	**22,604**	**-**	**38,795,969**

Investment securities at FVOCI	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2024	**71,832,488**	**-**	**-**	**71,832,488**
Transfer between stages	-	-	-	-
Financial Assets that have been derecognized	(49,312,728)	-	-	**(49,312,728)**
Increase/Decrease of the exposure	147,696	-	-	**147,696**
New financial assets originated or purchased	53,999,506	-	-	**53,999,506**
Foreign exchange and other movements	(307,251)	-	-	**(307,251)**
Balances at 31 December 2024	**76,359,711**	**-**	**-**	**76,359,711**

9. Financial Risk Management (continued)

(a) Credit Risk (continued)

Gross amount (continued)

Investment securities at FVOCI	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2023	**60,520,517**	**-**	**-**	**60,520,517**
Transfer between stages	-	-	-	-
Financial Assets that have been derecognized	(41,698,833)	-	-	**(41,698,833)**
Increase/Decrease of the exposure	1,291,356	-	-	**1,291,356**
New financial assets originated or purchased	52,881,709	-	-	**52,881,709**
Foreign exchange and other movements	(1,162,261)	-	-	**(1,162,261)**
Balances at 31 December 2023	**71,832,488**	**-**	**-**	**71,832,488**

Investment securities at amortized cost	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2024	**7,034,323**	**323,783**	**-**	**7,358,106**
Transfer between stages	-	-	-	-
Financial Assets that have been derecognized	(2,824,400)	-	-	**(2,824,400)**
Increase/Decrease of the exposure	(50,384)	-	-	**(50,384)**
New financial assets originated or purchased	-	-	-	-
Foreign exchange and other movements	(86,526)	704	-	**(85,822)**
Balances at 31 December 2024	**4,073,013**	**324,487**	**-**	**4,397,500**

Investment securities at amortized cost	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2023	**10,802,644**	**2,018,990**	**-**	**12,821,634**
Transfer between stages	-	-	-	-
Financial Assets that have been derecognized	(3,633,769)	(1,650,634)	-	**(5,284,403)**
Increase/Decrease of the exposure	-	-	-	-
New financial assets originated or purchased	-	-	-	-
Foreign exchange and other movements	(134,552)	(44,573)	-	**(179,125)**
Balances at 31 December 2023	**7,034,323**	**323,783**	**-**	**7,358,106**

9. Financial Risk Management (continued)

(a) Credit Risk (continued)

Gross amount (continued)

Loans and Advances to Customers	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2024	**49,728,923**	**3,278,635**	**1,666,896**	**54,674,454**
Transfer to Stage 1	222,947	(179,527)	(43,420)	-
Transfer to Stage 2	(1,560,785)	1,606,688	(45,904)	(1)
Transfer to Stage 3	(507,026)	(242,531)	749,557	-
Financial Assets that have been derecognized	(11,512,223)	(2,487,155)	(404,391)	(14,403,769)
Increase/Decrease of the exposure	(1,826,013)	(179,114)	(228,897)	(2,234,024)
New financial assets originated or purchased	20,975,191	47,802	144,524	21,167,517
Foreign exchange and other movements	(908,284)	(25,438)	35,489	(898,233)
Balances at 31 December 2024	**54,612,730**	**1,819,360**	**1,873,854**	**58,305,944**

Loans and Advances to Customers	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2023	**52,746,770**	**1,804,346**	**1,680,666**	**56,231,782**
Transfer to Stage 1	1,219,882	(1,183,440)	(36,442)	-
Transfer to Stage 2	(2,947,955)	3,015,100	(67,145)	-
Transfer to Stage 3	(345,635)	(201,127)	546,762	-
Financial Assets that have been derecognized	(6,200,418)	(261,064)	(685,195)	**(7,146,677)**
Increase/Decrease of the exposure	(6,185,523)	(117,564)	(173,398)	**(6,476,485)**
New financial assets originated or purchased	14,055,742	473,421	449,536	**14,978,699**
Foreign exchange and other movements	(2,613,940)	(251,037)	(47,888)	**(2,912,865)**
Balances at 31 December 2023	**49,728,923**	**3,278,635**	**1,666,896**	**54,674,454**

9. Financial Risk Management (continued)

(a) Credit Risk (continued)

Gross amount (continued)

OFF BALANCE SHEET	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2024	**16,479,346**	**69,408**	**13,392**	**16,562,146**
Transfer to Stage 1	840	(50)	(790)	-
Transfer to Stage 2	(31,368)	31,368	-	-
Transfer to Stage 3	(2,267)	(201)	2,468	-
Financial Assets that have been derecognized	(5,289,847)	(69,198)	(11,171)	**(5,370,215)**
Increase/Decrease of the exposure	(336,656)	41	94	**(336,521)**
New financial assets originated or purchased	4,959,012	21,596	326	**4,980,933**
Foreign exchange and other movements	89,532	-	-	**89,532**
Balances at 31 December 2024	**15,868,592**	**52,964**	**4,319**	**15,925,875**

OFF BALANCE SHEET	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2023	**14,381,663**	**63,035**	**6,178**	**14,450,876**
Transfer to Stage 1	13,048	(11,654)	(1,394)	-
Transfer to Stage 2	(14,153)	14,153	-	-
Transfer to Stage 3	(14,594)	(46)	14,640	-
Financial Assets that have been derecognized	(3,871,770)	(169)	(116)	**(3,872,055)**
Increase/Decrease of the exposure	897,700	8,080	(4,433)	**901,347**
New financial assets originated or purchased	5,092,942	188	89	**5,093,219**
Foreign exchange and other movements	(5,490)	(4,179)	(1,572)	**(11,241)**
Balances at 31 December 2023	**16,479,346**	**69,408**	**13,392**	**16,562,146**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

The following table provides for the year 2024 and 2023 a reconciliation between opening and closing balances of loss allowance per class of financial instrument:

	Loans and advances to banks	Loans and advances to customers	Investment securities at FVOCI	Investment securities at amortized cost	Total
Net remeasurement of loss allowance	1,343	30,986	(508,898)	(2,820)	**(479,389)**
New financial assets originated or purchased	(1,369)	267,204	232,007	(45,157)	**452,685**
Balances at 31 December 2024	**(26)**	**298,190**	**(276,891)**	**(47,977)**	**(26,704)**

	Loans and advances to banks	Loans and advances to customers	Investment securities at FVOCI	Investment securities at amortized cost	Total
Net remeasurement of loss allowance	(1,921)	(638,265)	(385,245)	(67,216)	**(1,092,647)**
New financial assets originated or purchased	1,588	496,407	416,908	-	**914,903**
Balances at 31 December 2023	**(333)**	**(141,858)**	**31,663**	**(67,216)**	**(177,744)**

(vi) Write-off policy

Financial assets are written off either partially or in their entirety only when the Bank has no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. The Bank writes off a loan (and any related allowances for impairment losses) when the Bank's Board of Directors determines that the loans are uncollectible.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(vii) Concentration of Credit Risk

The Bank monitors concentration of credit risk by sector and location. An analysis of credit risk at the reporting date is shown below:

	Net Loans and advances to customers	
Concentration by sector	**31 December 2024**	**31 December 2023**
Services	14,673,929	13,322,844
Wholesale	10,571,220	9,661,297
Manufacturing	6,086,898	6,473,531
Construction	2,873,412	3,077,847
Real Estate	305,418	420,301
Other	618,473	1,388,641
Corporate total	**35,129,350**	**34,344,461**
Mortgage	14,798,704	14,430,425
Consumer	6,502,101	4,227,361
Retail total	**21,300,805**	**18,657,786**
Carrying amount	**56,430,155**	**53,002,247**

	Loans and advances to banks	
Concentration by sector	**31 December 2024**	**31 December 2023**
Related parties bank	11,677,959	10,708,000
Other EU countries	29,981,648	27,565,829
Local banks	501,839	520,378
Carrying amount	**42,161,446**	**38,794,207**

	Investment securities	
Concentration by sector	**31 December 2024**	**31 December 2023**
Sovereign (Note 16)	75,807,985	73,819,258
Bank	-	-
Other Financial Institutions	4,923,337	5,296,423
Carrying amount	**80,731,322**	**79,115,681**

The largest exposure toward the banks is exposure to the Group parent and the largest customer is a private company operating in service sector.

Republic of Albania securities includes securities invested with Government of Albania classified as FVOCI and AC. Balances with Bank of Albania include current account and mandatory reserve with Bank of Albania.

(viii) Settlement risk

The Bank's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of a counterparty to honor its obligations to deliver cash, securities or other assets as contractually agreed. The settlement risk with financial institutions and government counterparties is included within a system of limits for all the transactions with such counterparties and is subject to daily monitoring, defined and regulated in the internal documents "ISBA Credit Power Levels" and "ISBA Rules for the management and maintenance of the Financial Institutions limits" and the Central Bank of Albania regulation "On risk management arising from the large exposures of the Bank".

Following the approval with the aim to prevent any breaches of local regulatory counterparty limits with Financial Institutions, generated by fluctuations of exchange rates, the bank has integrated warning level limits (soft limits), 23.4 % of regulatory capital for the exposures toward ISP Group and 18.7 % of regulatory capital for the exposures toward other Financial Institutions/Governments, as approved by Financial risk committee ("RCO") on 24 January 2017 and reapproved the same level of soft limits, within the "ISBA Rules for the management and maintenance of the FI-s limits" updated version.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(viii) Settlement risk (continued)

The latter is approved in the ISBA CRGC on 21 November 2023 and in ISBA BOD date 19 December 2023. The Bank of Albania regulation "On risk management arising from the large exposures of Bank" was revised in force in March 2015 has been complied for the year ended 31 December 2021.

(b) Liquidity Risk

Liquidity risk is defined as the possibility that an institution is unable to meet its payment obligations due to its incapacity to liquidate assets or obtain adequate funding from the market (funding liquidity risk), or due to the difficulty of easily unwinding positions in financial assets without negatively and significantly affecting their price due to inadequate market depth or temporary market disruptions.

(i) Management of liquidity risk

The Bank's approach to managing liquidity risk is to ensure, as much as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Bank's reputation. The Bank defines the guidelines for liquidity risk management and the contingency liquidity plan, which are subject to review by Group structures and approval by the Bank's Asset Liability Risk Committee and Board of Directors. The Treasury and ALM Department is responsible for liquidity management and the Risk Management Department is responsible for monitoring indicators and verifying adherence to the limits and the Bank's Regulation on Liquidity Risk Management is annually updated.

The Bank monitors liquidity, in accordance with this regulation, in order to manage its obligations when they fall due and activate emergency procedures in case of escalation.

A balanced ratio should be maintained between incoming sources and outflows, in both the short and medium-long term. This target is organized through the use of the following specific metrics "Liquidity Coverage Ratio up to 30 days" and "Net Stable Funding Ratio".

- **Liquidity Coverage Ratio (LCR)** up to 30 days**:** aims to ensure that the Bank maintains an adequate level of unencumbered high-quality liquid assets (HQLA) to meet its short-term liquidity needs under liquidity stress scenario (LCR≥112%).
- **Net Stable Funding Ratio (NSFR):** aims to guarantee an adequate liquidity position over a medium/long-term time horizon. It establishes a minimum "acceptable" amount of funding over one-year horizon in relation to the needs arising from the liquidity characteristics and the residual maturities of assets and off-balances exposures (NSFR≥102.5%).

Holding reserves of liquid assets (so-called Liquidity Buffer) is one of the main tools for mitigating liquidity risk. For the purpose of identifying and measuring this risk, both short and medium-long term, the classification of highly-liquid assets take on crucial importance.

Furthermore, the Bank prepares liquidity scenarios, based on assumptions provided by the Group guidelines, such as market or firm specific crisis situations, monitors "Early Warning LCR" threshold and additional monitoring tools. The short-term indicator (LCR) shows a very well level of liquidity of the bank, under a liquidity stress scenario.

In its Liquidity Guideline and Implementing Procedure, the bank measures and monitors the Survival Period Indicator, an indicator which measures the first day in which the Net Liquidity Position of a Bank turns negative, namely when there is no more additional liquidity to cover the simulated net liquidity outflows. The Net Liquidity Position, on a certain date, amounts to the difference between the available Liquidity Reserves (including the related variations arising from secured positions) and the net outflows expected until that date. The monitoring of the Survival Period indicators represents an important early warning system regarding the potential deterioration of the LCR indicator. An internal limit is defined at individual level. The bank should monitor that, under the stressed condition, the Net Liquidity Position is always positive at least up to 90 days.

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9. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

(i) Management of liquidity risk (continued)

For the year ended 31 December 2024 LCR ratio is 333.29% for all currencies, 536.05% for ALL currency and 136.32% for foreign currency. These ratios exceed the limited required from Bank of Albania, as explained below. NSFR ratio is 248% for all currencies, 280% for ALL currency and 219% for foreign currencies.

The Bank monitors liquidity, in accordance with the Central Bank regulations, in order to manage its obligations when they fall due and activate emergency procedures in case of escalation.

A balanced ratio should be maintained between incoming sources and outflows, in both the short and medium-long term. This target is organized through the use of the following specific metrics:

- **Bank of Albania Liquidity Ratio** in total, in foreign currency and in local currency, which is used to measure the Bank's compliance with the liquidity limits established by the Central Bank of Albania, 20% for all currencies and foreign currency and above 15% for the local currency.
- **Bank of Albania Liquidity Coverage Ratio (LCR) up to 30 days**: aims to ensure that the bank maintains an adequate level of unencumbered high-quality liquid assets (HQLA) to meet its short-term liquidity needs under liquidity stress scenario (LCR≥100% in Total currencies and LCR≥80% in foreign significant currencies). For each significant single currency LCR≥80%.
- **Bank of Albania Net Stable Funding Ratio (NSFR)** has the purpose of guaranteeing an adequate liquidity position over a medium/long-term time horizon. It establishes a minimum "acceptable" amount of funding over one year horizon in relation to the needs arising from the liquidity characteristics and the residual maturities of assets and off-balances exposures. The bank reports on a quarterly basis to the Bank of Albania, the net stable funding ratio on an individual basis for total net stable funding ratio for total significant currencies and for each significant single currency (LEK, EUR, USD). The limits are: NSFR ≥ 100% in Total currencies, starting from 1 January 2025 the limit in foreign significant currencies shall be ≥ 100% and for each single significant currencies (LEK, EUR, USD) shall be 100%.

All the above liquidity ratios are periodically monitored by the ISBA Bank' Enterprise, Market and Financial Risk office with reference to Group internal limits and guidelines and to Central Bank of Albania requirements.

During the year 2024, the bank has been within the internal and regulatory limits.

(ii) Compulsory reserve

On 7 February 2018 Bank of Albania approved the decision no.14 for the change on the Compulsory Reserve requirement. These changes have entered in force during June 2018 up to August 2019 and consist of the following:

- Decrease for the obligatory reserve requirement rate for local currency liabilities to 7.5% and 5% (previous rate applied: 10%).
- The new obligatory reserve requirement rate for foreign currency liabilities is 12.5% and 20%. Liabilities in foreign currency up to 50% of the total liabilities have a 12.5% requirement rate and for the part of above 50% of the total liabilities the requirement rate is 20% (previous rate applied: 10 %).

9. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

The table enclosed shows breakdown by the earliest contractual residual maturity of undiscounted balances of financial assets and liabilities. The FVOCI of the HQLA securities portfolio is classified as less than 1 months since they are traded on active markets. The non-HQLA securities are classified as per remaining maturity, since are considered as not liquid assets. Behavioral coefficients of ISP Group are applied for the drawdown percentages for off-balance-sheet categories such as committed credit lines and guarantees. The breakdown considers the cash flows in/out of the Bank for on and off-balance-sheet financial assets and liabilities, according to the earliest contractual residual maturity and not reflecting any retention history assumptions or earlier repayment.

31 December 2024	Up to 1 month	1-3 months	3-12 months	1-5 years	> 5 years	Total
Assets (Cash Flow IN)	**103,763,878**	**7,153,641**	**34,580,722**	**43,554,423**	**21,228,355**	**210,281,019**
Cash on hand	1,766,709	-	-	-	-	1,766,709
Minimum reserve requirements	-	-	-	16,281,494	-	16,281,494
Advances to banks	4,449,596	-	-	-	-	4,449,596
HQLA Securities	77,841,977	-	-	-	-	77,841,977
Non-HQLA Securities	1,768,283	971,982	321,467	-	-	3,061,732
Loans to banks	5,855,570	4,575,681	26,887,187	1,012,895	-	38,331,333
Loans and advances to customers (gross performing loans)	12,081,743	1,605,978	7,372,068	26,260,034	21,228,355	68,548,178
31 December 2024						
Liabilities (Cash flow OUT)	**(116,163,001)**	**(8,924,036)**	**(26,887,882)**	**(25,257,267)**	**(16,591)**	**(177,248,777)**
Deposits from banks and customers-						
Current accounts	(110,497,632)	-	-	-	-	(110,497,632)
Current accounts with banks	(267,212)	-	-	-	-	(267,212)
Current accounts with customers	(110,268,428)	-	-	-	-	(110,268,428)
Deposits from banks	(2,013,138)	-	-	-	-	(2,013,138)
Deposits from customers- Time deposits	(3,614,223)	(8,924,036)	(26,887,882)	(25,257,267)	(16,591)	(64,699,999)
Total gap on-balance sheet	**(12,399,123)**	**(1,770,395)**	**7,692,840**	**18,297,156**	**21,211,764**	**32,822,295**
Off-Balance sheet (Cash flow in)						
Off- Balance sheet (Cash flow out)	(422,647)	-	-	-	-	(422,647)
Total gap off-balance sheet	**(422,647)**	**-**	**-**	**-**	**-**	**(422,647)**
Total gap 31 December 2024	**(12,821,770)**	**(1,770,395)**	**7,692,840**	**18,297,156**	**21,211,764**	**32,399,648**
Cumulated gap 31 December 2024	**(12,821,770)**	**(14,592,165)**	**(6,899,325)**	**11,397,831**	**32,609,595**	**-**

The Bank manages liquidity positions in accordance with Central Bank rules and regulations and it is compliant with all liquidity ratios. Contractual maturities of liabilities, particularly those up to one month are high due to significant current accounts of customers. However, the rate of renewal of the current accounts is significantly high and settlement in not expected in the short term.

9. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

31 December 2023	Up to 1 month	1-3 months	3-12 months	1-5 years	> 5 years	Total
Assets (Cash Flow IN)	**102,566,938**	**7,708,801**	**28,401,348**	**44,695,752**	**18,843,136**	**202,215,975**
Cash on hand	1,737,549	-	-	-	-	1,737,549
Minimum reserve requirements	-	-	-	16,451,614	-	16,451,614
Advances to banks	5,810,650	-	-	-	-	5,810,650
HQLA Securities	73,690,060	-	-	-	-	73,690,060
Non-HQLA Securities	61,884	496,575	2,665,901	1,769,332	394,781	5,388,473
Loans to banks	6,749,941	5,718,223	18,876,185	2,205,657	-	33,550,006
Loans and advances to customers (gross performing loans)	14,516,854	1,494,003	6,859,262	24,269,149	18,448,355	65,587,623
31 December 2023						
Liabilities (Cash flow OUT)	**(119,320,239)**	**(5,883,310)**	**(24,279,724)**	**(20,567,326)**	**(127,086)**	**(170,177,685)**
Deposits from banks and customers-						
Current accounts	(115,180,982)	-	-	-	-	(115,180,982)
Current accounts with banks	(225,430)	-	-	-	-	(225,430)
Current accounts with customers	(114,955,552)	-	-	-	-	(114,955,552)
Deposits from banks	(1,398,144)	-	-	-	-	(1,398,144)
Deposits from customers- Time deposits	(2,741,113)	(5,883,310)	(24,279,724)	(20,567,326)	(127,086)	(53,598,559)
Total gap on-balance sheet	**(16,753,301)**	**1,825,491**	**4,121,624**	**24,128,426**	**18,716,050**	**32,038,290**
Off-Balance sheet (Cash flow in)	-	-	-	-	-	
Off- Balance sheet (Cash flow out)	(518,390)	-	-	-	-	(518,390)
Total gap off-balance sheet	**(518,390)**	**-**	**-**	**-**	**-**	**(518,390)**
Total gap 31 December 2023	**(17,271,691)**	**1,825,491**	**4,121,624**	**24,128,426**	**18,716,050**	**31,519,900**
Cumulated gap 31 December 2023	**(17,271,691)**	**(15,446,200)**	**(11,324,576)**	**12,803,850**	**31,519,900**	

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9. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

The information provided relates to cash flows deriving from financial off-balance-sheet liabilities, therefore it considerably differs from the face of the statement of financial position. The analysis does not include non-financial liabilities and equity and comprises of cash flows of contractual interest.

The table below shows the Bank's financial contingent liabilities and financial commitments.

31 December 2024	1 Month	1-3 Months	3-12 Months	1-5 Years	>5 Years	Total
Commitments	8,946,551	-	-	-	-	8,946,551
Guarantees	7,797,959	-	-	-	-	7,797,959
31 December 2023						
Commitments	11,183,570	-	-	-	-	11,183,570
Guarantees	6,313,919	-	-	-	-	6,313,919

The Bank expects only a small part of the commitments to be demanded within one month and guarantees to be closed at maturity date. (Refer also to note 37 Commitment and contingencies)

Reconciliation between contingent liabilities and commitments maturity table and note 37 Commitment and contingencies is as follows:

	31 December 2024	31 December 2023
Commitments	**8,946,551**	**11,183,570**
Un-drawn credit facilities	8,946,551	11,183,570
Guarantees	**7,797,959**	**6,313,919**
Letters of credit	995,858	39,727
Guarantees in favor of customers	6,802,101	6,274,192

(c) Market Risk

Market risk is the risk that changes in market prices, such as interest rate, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's / issuer's credit standing) will affect the Bank's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

Management of market risks

The Bank holds its securities portfolio in accordance with IFRS 9 as either Held to Collect (HTC) or Held to collect and sell (HTCS). ISBA Security Portfolio is managed by "ISBA Financial Portfolio Policy "which defines the below specific limits:

- According to the ISBA Financial Portfolio Policy, approved in ISBA Board of Directors on 30 June April 2020, the Bank is not allowed to invest in new Hold to Collect Portfolio.
- According to the provision of the Capital Adequacy Ratio as of 01/01/2021, the assigned risk for the securities issued by the Albanian Government in foreign currency will be increased from 50% to 100%, with exceptions for securities issued in foreign currency by Albanian Government in years 2020 and 2021, risk weight to be applied 0%, decision taken from the Supervisory council of Bank of Albania
- The security portfolio should obey the specific limits related to type of issuer limits presented on the below table. The overall portfolio must comply with some pre-defined type of issuer limits, which are categorized based on the issuer type, rating and currency. These limits are internally imposed by the Group

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9. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

Management of market risks (continued)

Intesa Sanpaolo Bank Albania - Issuer Limits (Nominal amounts, Euro mln Equivalent)					
	TYPE OF ISSUER	**Tot. Max Limit on the Overall Financial Portfolio (Nominal Value)**	**Total Maximum Limit by Business Model (Nominal Value)**		**Single Issuer Maximum Limit on the Overall Financial Portfolio (Nominal Value)**
			HTC	**HTCS**	
i)	Government T-Bills and T-Bonds issued by Albania Government and denominated in local currency.	None	No new purchases	None	None
ii)	Government securities issued by Albania Government denominated in foreign currency.	The lower between Regulatory Limit[1] and EUR 42 mln	No new purchases	The lower between Regulatory Limit[1] and EUR 42 mln	The lower between Regulatory Limit[1] and EUR 42 mln
iii)	-Foreign Government securities issued by G7 countries (exempt-Japan), -Securities issued by Government Agencies or Government Development Banks, with rating Aaa/AAA, -Securities issued by Supranationals with rating Aaa/AAA, denominated in currencies of the G7 members (exempt-JPY) – where the credit approval procedure is fulfilled for non-Government securities.	None	No new purchases	None	100
iv)	Foreign Government securities – issued by EU countries not included in point iii) and rated at least A3/A-, denominated in currencies of G7 members (exempt-JPY).	50	0	50	15
v)	Covered Bonds: - issued by Financial Institutions provided that the covered bond is rated at least Aa3/AA-, - issued by Financial Institutions of the parent company's country with issuer's rating not below the country's rating, denominated in currencies of the G7 members (exempt-JPY), where the credit approval procedure is fulfilled.	60	0	60	10[2]

1.Regulatory limit: sum of each Albania security in FC x respective Risk Weight, as defined in the regulation < 20% of the Regulatory Capital.

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9. Financial Risk Management (continued)

(b) Market Risk (continued)

Management of market risks

- Investments in Portuguese and Greek government securities and covered bonds of the same countries are not allowed.
  - With reference to item iii) of the Table, investments in Italian government securities are subject to credit sensitivity limits (CR01) approved by GFRC.
- For all the investments in debt securities, classified as HTCS or HTC, issued by countries considered "at risk" according to ISP Country Risk Guidelines (i.e. countries not belonging to euro area with an internal rating lower than AA-), the approval process and authorization procedure required by the guidelines in force must be followed.
- The HTCS security portfolio should be in within a VaR Limit, which was a requirement of the ISP Risk management department. The limit has been defined from ISP Risk management using the historical data of securities portfolio of ISBA. The methodology used for the calculus of the VaR is based on the simulation method applied in full-revaluation and supported by the architecture of HO IBM's "Mark-to-Future". This limit has been introduced and is monitored by ISP Financial and Market Risks Head Office Department/Risk Monitoring & Governance Office on daily basis. In the case of limit violation, they will inform accordingly ISBA structures, ISP Treasury and ISBA Local Risk in order to take all necessary steps to get back to limits.
- The limit assigned to Intesa Sanpaolo Bank Albania, first approved in ISBA BOD date 27 March 2024 and the last changes approved in ISBA ALCO 24 Dec 2024 and ISP GFRC 28 November 2024 are:

HTCS Securities Portfolio Limits	Limit	Currency
HTCS Early Warning VaR	2,150,000	EUR
HTCS Early Warning Stressed VaR	2,500,000	EUR

All the above limits assigned are measured from ISP Chief Risk Officer governance are/Market and financial risk management department and periodically submitted to ISBA local risk/ ISBA Bank' Enterprise, Market and Financial Risk office, which monitors with reference to Group internal limits and guidelines.

- During the year 2024, the bank has been within these internal limits.

(i) Exposure to Foreign Exchange rate risk

Foreign exchange rate risk is defined as the possibility that foreign exchange rate fluctuations will produce significant changes, both positive and negative, in the Bank's statement of financial position. The key sources of exchange rate risk consist of:

- Foreign currency loans and deposits held by corporate and retail customers;
- Investment securities in foreign currencies;
- Trading of foreign banknotes;
- Collection and/or payment of interest, commissions, administrative costs, etc. in foreign currencies.

The Bank's exposure to exchange rate risk is monitored on a daily basis by Enterprise, Market and Financial Office/ Risk Management Department ensuring compliance with the internal and regulatory limits. Internal regulations set limits for each open currency position, global open position, maximum loss and Value at Risk (VaR).

- The limit assigned to Intesa Sanpaolo Bank Albania, first approved in ISBA BOD date 27 March 2024 and the last changes approved in ISBA ALCO 24 Dec 2024 and ISP GFRC 28 November 2024 are:
- The introduction of the **Global Transaction FX risk VAR** monitoring within the Trading Book, ensuring the consistency with the current overall ISBD limits according to the RAF 2024 defined by the BoD at the beginning of the year. For ISBA, since no trading activity is in place, the limit refers to the FX position on Banking book.

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9. Financial Risk Management (continued)

(b) Market Risk (continued)

Management of market risks (continued)

- EW Trading Book (Fx global transactional risk) VaR: 200.000 EUR
- EW Trading Book SVaR (Fx global transactional risk): 150.000 EUR

The Global Transaction FX position VaR is computed and monitored by HO Financial and Market Risks Head Office Department, according to ISP Group methodology, with the same metrics adopted for all the legal entities of the Group. The VaR limit is set by the Group Financial Risk Committee

With reference to the FX global transactional risk VaR calculation methodology, it is basically the same already used for the HTCS VaR calculation: 99° VaR calculated using the Historical Approach with exponential weights assigned to the latest 250 scenarios (1 year lookback period).

For the FX global transactional risk SVaR, the steps for its calculation are basically the same described for the VaR, its calculation to each scenario is assigned the same probability of realization; as such the 99° percentile of the SVaR PL distribution (the SVaR Scenario) is always going to be the third worst observation.

Both calculations will be performed from HO Financial and Market Risks Head Office Department for all foreign currencies, based on the Open Currency Positions provided on daily basis by the Local Risk Management structure (Enterprise, Market and Financial risk office), using ISP Risk Watch calculation engine, and will be sent on daily basis to Local risk (EMFR office/Risk management department). After the above limits, the measuring and monitoring processes, will enter in force, the FX VaR at local level will not be calculated anymore.

- **The Global VaR and SVaR limits (HTCS portfolio + Trading FX global transactional risk):**
  - EW Global VaR: 2.150.000 EUR
  - Soft Limit Global VaR: 2.430.000 EUR
  - EW Global SVaR: 2.650.000 EUR
  - Soft Limit Global SVaR: 3.200.000 EUR

The calculation and monitoring of the Global VaR/SVaR EW and Soft limits (which include the FX Global transactional risk + HTCS portfolio risk of ISP Albania – banking book since no trading activity is allowed) are performed by HO Financial and Market Risks Head Office Department, and will be sent on weekly basis to Local risk (EMFR office/Risk management department.

During the year 2024, the bank has been within these internal limits.

9. Financial Risk Management (continued)

(c) Market Risk (continued)

(i) Exposure to Foreign Exchange rate risk (continued)

Assets	LEK	USD	EUR	OTHER	TOTAL
Cash and cash equivalents	1,156,547	2,680,386	6,383,561	825,846	**11,046,340**
Loans and advances to banks	3,574,033	4,147,334	40,629,057	1,096,519	**49,446,943**
Investment securities at FVOCI	61,291,330	2,284,565	12,783,816	-	**76,359,711**
Investment securities at amortized cost	2,769,768	322,893	1,278,950	-	**4,371,611**
Loans and advances to customers	25,985,944	889,190	29,546,448	214	**56,421,796**
Property and equipment's	1,813,257	-	-	-	**1,813,257**
Right of use	541,748	-	-	-	**541,748**
Intangible assets	583,835	-	-	-	**583,835**
Investment Property	501,410	-	-	-	**501,410**
Current tax assets	154,091	-	-	-	**154,091**
Other assets	730,321	22,635	132,496	806	**886,258**
Total Assets (1)	**99,102,284**	**10,347,003**	**90,754,328**	**1,923,385**	**202,127,000**
Liabilities					
Due to Banks	1,436,046	1,794	1,242,387	4,830	**2,685,057**
Due to customers	72,687,494	10,413,041	87,404,995	1,900,185	**172,405,715**
Provisions	306,573	27,375	147,431	-	**481,379**
Lease liabilities	21,969	-	485,760	-	**507,729**
Current tax liability	39,128	-	-	-	**39,128**
Other liabilities	1,365,288	39,239	616,818	11,789	**2,033,134**
Deferred tax assets	4,588	-	-	-	**4,588**
Net Equity	23,959,161	4,382	6,727	-	**23,970,270**
Total Liabilities (2)	**99,820,247**	**10,485,831**	**89,904,118**	**1,916,804**	**202,127,000**
Net FX Position at 31 December 2024 (1)-(2)	**(717,963)**	**(138,828)**	**850,210**	**6,581**	**-**
Off balance sheet Assets	31,671,059	4,686,278	158,235,428	118,160	**194,710,925**
Off balance sheet Liabilities	30,591,438	4,546,929	159,454,398	118,160	**194,710,925**
Net Off BSH FX Position at 31 December 2024	**1,079,621**	**139,349**	**(1,218,970)**	**-**	**-**
Total Net FX Position at 31 December 2024	**361,658**	**521**	**(368,760)**	**6,581**	**-**
Balance sheet Assets as at 31 December 2023	**96,444,382**	**9,161,408**	**87,606,661**	**2,097,854**	**195,310,305**
Balance sheet Liabilities as at 31 December 2023	**96,984,101**	**9,385,855**	**86,848,740**	**2,091,057**	**195,309,753**
Net Off BSH FX Position at 31 December 2023	**632,265**	**236,144**	**(871,063)**	**2,654**	**-**
Total Net FX Position at 31 December 2023	**91,995**	**11,697**	**(113,142)**	**9,450**	**-**

9. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk

The principal Interest Rate risk to which the Bank's portfolios are exposed is the risk of loss from fluctuations in the future cash flows or fair values of financial instruments because of the change in market interest rates. This risk arises primarily from securities portfolio, retail and corporate banking. Interest rate risk is managed principally through periodic monitoring of interest rate spreads between the Bank's assets and liabilities and also preparing related scenario analysis on interest rates for decision making purposes.

The method used to measure Interest Rate risk of the Bank's assets and liabilities is based on the sensitivity analysis. The measurement system adopted by the Bank must ensure that the risk profile can be examined from two distinctive but complementary points of view:

- the economic value perspective (EVE - Economic Value of Equity), that evaluates the impact of interest rates shocks (and their volatilities) on the present value of future cash flows;
- the net interest income perspective (NII - Net Interest Income), that evaluates the impact of interest rates shocks (and their volatilities) on net interest income.

The Bank's financial assets and liabilities have mainly fix interest rate the majority of the asset side is made of Albanian Securities and for certain non-Albanian securities investment, which have fixed coupon rates between 0.75% - 5.38% for USD denominated securities (2023: 3.38% - 5.38%) and between 0% - 3.50% for EUR denominated securities (2023: 0% - 5.9%).

The Bank's Regulation on Interest Rate Risk Management, "ISBA Guidelines on the governance of IRRBB" and "ISBA Rules on the measurement and control of IRRBB" have been approved by the ISBA ALCO meeting on 24 December 2024 and will be submitted for approval in Board of Directors meeting on beginning of year 2025, based on the latest versions of IRRBB Guidelines issued by Parent Company in 2024.

These documents implement the latest regulatory provisions, recently defined in the Guidelines issued by the Parent Company on May 2024, based on the EBA regulation (EBA/GL/2018/02), and keeping the provisions of the Bank of Albania guideline "On managing interest rate risk in the banking book", approved as per decision No. 33, dated 30 April 2013. Interest rate risk generated by the Bank's assets and liabilities, as measured through shift sensitivity of Fair Value analysis of ± 100 basis points, registered at the end of December 2024 a value of ALL -275.63 million (for +100 basis points) compared to the end of year December 2023 ALL -167.18 million.

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9. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk (continued)

The table below shows the currency breakdown of the shift sensitivity for the year end 2024 and 2023.

Shift sensitivity

31 December 2024	Increase in basis points	Total	Sensitivity of Profit & Loss	Sensitivity of Equity
EUR	+100 b.p. / -100 b.p.	2,346/1,120	179,391/(182,783)	(177,045)/183,903
USD	+100 b.p. / -100 b.p.	(52,972)/55,383	(20,784)/22,364	(32,188)/33,019
ALL	+100 b.p. / -100 b.p.	(222,496)/234,986	352,875/(358,183)	(575,371)/593,169
Other (GBP & CHF)	+100 b.p. / -100 b.p.	(2,508)/2,543	(2,508)/2,543	0/0

31 December 2023	Increase in basis points	Total	Sensitivity of Profit & Loss	Sensitivity of Equity
EUR	+100 b.p. / -100 b.p.	11,828/(10,203)	118,827/(123,591)	(106,999)/113,388
USD	+100 b.p. / -100 b.p.	(57,438)/61,232	(18,052)/(14,206)	(39,386)/75,439
ALL	+100 b.p. / -100 b.p.	(122,730)/84,672	423,049/(477,688)	(545,779)/562,360
Other (GBP & CHF)	+100 b.p. / -100 b.p.	1,156/(1,181)	1,156/(1,181)	0/0

The limits on shift sensitivity of Fair Value (EVE) for shock +100bp and the NII Sensitivity for shocks +/-50bp are part of the RAF limits for ISBA 2024.

The NII sensitivity records the NII effects generated by the market rates movement on the renewal/re-pricing of the banking book. It quantifies the short-term impact on the net interest income of a parallel, instantaneous, permanent shock of ±50 basis points to the interest rate curve. This measure highlights the effect of variations in market rates on the interest margin generated by the portfolio that is being measured, excluding potential effects deriving from the new operations and future changes in the mix of assets and liabilities. The reference time horizon is typically limited to 1 year and according to the hypothesis that the institution is able to continue its activities ("going concern" approach).

The Interest rate risk generated by the Bank's assets and liabilities, as measured through shift sensitivity of Net Interest Income analysis of ± 50 basis points, registered at 31 December 2024 a value of Lek 260.55 million (for +50 basis points) and a value of Lek -245.80 million (for -50 basis points), compared to December 2023 Lek 317.56 million (for +50 basis points) and a value of Lek -309.86 million (for -50 basis points).

The sight positions with customers in ALL and EUR are treated based on behavioral model for the NII sensitivity defining the customer interest rate in the long-term and including the behavioral features and delayed reaction to market interest rates (in the short-term) resulting from the model. The behavioral model is developed by ISP Financial and Market Risks Head Office Department, based on the ISBA historical data provided from the Local Risk structure. The model results have been update based on the latest historical data of ISBA sight position (sight loans and sight deposits up to July 2019) by the HO above structure for what concern Net Interest Income (NII) while, for what concern the potential changes to economic value of equity (EVE), is developed for the first-time in order to take into consideration: the positive trend in stocks, the periodic adjustments to the parameters used and various methodological refinements. The updated parameters result for NII and the new ones for EVE representation are approved in GFRC November 2019 and ISBA BOD August 2020. Both are fully implemented in August 2022 in the ALMPro risk system.

A different method used to measure Interest Rate risk is required by the Bank of Albania, which consists of quarterly monitoring of the interest rate risk exposure towards a parallel shock of ±200 basis points of the interest rate curve. For all the financial categories of assets and liabilities divided into either fixed or floating rate, their present value is calculated and is distributed in 14-time buckets. The total present value is then multiplied accordingly with the estimated modified duration of each time bucket. The limit for this exposure is 20% of the Bank's regulatory capital. The Bank has been within the limit with the interest rate risk exposures at 31 December 2024 being 5.1% of the Bank's regulatory capital (31 December 2023: 7.1%).

The Bank has been within the limits in accordance with Bank of Albania regulation and the internal regulation during the year 2024.

9. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk (continued)

The tables below summarize the Bank's interest-bearing financial assets and liabilities with both fixed and floating interest rates, as reported to Parent company and management of the Bank.

Based on the management of Interest Rate risk regulation, the carrying amount of each financial instrument is mapped to the repricing gap based on contractual undiscounted cash-flows or behavioral re-pricing date. The contractual includes instruments where the Bank knows exactly when the maturity or next re-pricing takes place.

31 December 2024		O/N	0-3 months	3-18 months	18m - 3 years	3 - 5 years	>5 years	Total
Assets	**Interest rate type**							
Loans and advances to banks	Fix rate	4,495,611	26,719,861	27,900,082	-	-	-	59,115,554
	Floating rate	-	-	-	-	-	-	-
Loans and advances to customers	Fix rate	3,561,337	7,521,943	8,496,852	5,671,147	2,482,639	1,999,886	29,733,804
	Floating rate	1,726,123	6,247,244	20,389,928	(86,613)	(147,808)	(495,754)	27,633,120
Financial investments	Fix rate	1,133,449	15,199,498	46,653,611	11,681,123	6,188,484	1,082,298	81,938,463
	Floating rate	-	-	-	-	-	-	-
Other financial assets	Fix rate	44,889	44,454	442,778	50,020	46,940	40,860	669,941
	Floating rate	1,766,709	-	-	-	-	-	1,766,709
Total financial assets (interest-bearing)		**12,706,848**	**12,728,118**	**55,733,000**	**103,883,251**	**17,315,677**	**8,570,255**	**2,627,290**
Liabilities								
Deposits to banks	Fix rate	(727,412)	(687,148)	-	-	(1,225,741)	-	(2,640,301)
	Floating rate	-	-	-	-	-	-	-
Due to customers	Fix rate	(73,889,292)	(22,966,131)	(42,298,638)	(21,100,905)	(12,153,681)	(16,047)	(172,424,694)
	Floating rate	-	-	-	-	-	-	-
Other liabilities	Fix rate	(268,213)	(46,496)	(354,238)	(173,079)	(126,245)	(44,728)	(1,012,999)
	Floating rate	-	-	-	-	-	-	-
Total financial liabilities (interest-bearing)		**(74,759,779)**	**(74,884,917)**	**(23,699,775)**	**(42,652,876)**	**(21,273,984)**	**(13,505,667)**	**(60,775)**
Interest sensitivity gap		**(62,156,799)**	**32,033,225**	**61,230,375**	**(3,958,307)**	**(4,935,412)**	**2,566,515**	**24,779,597**

The behavioral includes instruments whose residual life and/or interest rate have high levels of uncertainty that may depend on specific behaviors by customers, as the sight loans (advances to banks and advances to customers) and sight deposits (current accounts to customers) which are positioned in time buckets as per behavioral coefficients values, results of the model developed from Parent company based ISBA historical data. The model results, after the approval, are implemented in August 2022. The reprising gap is calculated according to the internal rules on Interest rate risk as the difference between interest-bearing assets and interest-bearing liabilities in a given time bucket. Other financial assets/liabilities, capital and reserves, are items not included in the reprising gap, not considered interest-bearing.

9. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk (continued)

31 December 2023		O/N	0-3 months	3-18 months	18m - 3 years	3 - 5 years	>5 years	Total
Assets	**Interest rate type**							
Loans and advances to banks	Fix rate	7,331,622	28,928,823	21,081,842	-	-	-	57,342,287
	Floating rate	-	-	-	-	-	-	-
Loans and advances to customers	Fix rate	5,518,266	7,552,052	5,841,580	5,099,307	2,121,170	1,844,597	27,976,972
	Floating rate	172,995	6,872,052	21,027,152	510,996	383,281	489,653	29,456,129
Financial investments	Fix rate	-	20,566,164	40,518,839	11,527,967	6,654,102	1,297,500	80,564,571
	Floating rate	-	2,056,989	1,120	-	-	-	2,058,109
Other financial assets	Fix rate	122,916	54,969	461,333	55,134	49,083	62,916	806,351.10
	Floating rate	1,737,549	-	-	-	-	-	1,737,549.15
Total financial assets (interest-bearing)		**14,883,348**	**66,031,049**	**88,931,865**	**17,193,404**	**9,207,636**	**3,694,666**	**199,941,968**
Liabilities								
Deposits to banks	Fix rate	(590,975)	(1,222,655)	(40,875)	-	(130,019)	-	(1,984,525)
	Floating rate	-	-	-	-	-	-	-
Due to customers	Fix rate	(76,652,300)	(20,028,578)	(40,020,122)	(20,563,365)	(10,861,880)	(127,081)	(168,253,325)
	Floating rate	-	-	-	-	-	-	-
Other liabilities	Fix rate	(387,525)	(59,460)	(510,669)	(244,951)	(157,405)	(44,864)	(1,404,872)
	Floating rate	-	-	-	-	-	-	-
Total financial liabilities (interest-bearing)		**(77,630,800)**	**(21,310,693)**	**(40,571,665)**	**(20,808,315)**	**(11,149,304)**	**(171,945)**	**(171,642,722)**
Interest sensitivity gap		**(62,747,452)**	**44,720,356**	**48,360,200**	**(3,614,911)**	**(1,941,668)**	**3,522,721**	**28,299,246**

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9. Financial Risk Management (continued)

(c) Operational Risk

Operational risk is defined as the risk of loss resulting from inadequate or failed internal processes, people, systems or external events. This definition includes: legal risk, or the risk of losses resulting from violations of law or regulations, from contractual or constructive liability or from other disputes; model risk, defined as the potential loss which can be suffered by an entity, resulting from decisions mainly based on the results of internal models, caused by errors occurred during their development, implementation or use; Compliance risk, defined as the risk to incur judicial or administrative penalties, relevant financial losses resulting from the violation of mandatory rules or self-regulation; ICT risk (Information and Communication Technology, or simply computer risk), defined as the risk to incur economic losses related to the use of information and communication technology. Strategic and reputational risks are excluded.

The Bank's Board of Directors has approved the guidelines on the overall operational risk management framework adopting a policy and an organizational process for measuring, managing and controlling operational risk. Bank has acknowledged the last version of ISP guideline for operational risk management July 2023 and has implemented it, updating the local "ISBA Guideline for the Governance of Operational Risk" approved by ISBA BOD on 27 October 2024.

The Bank's Operational Risk Management Committee (hereinafter as ORCO) is responsible for the management of the operational risk of the Bank in terms of reviewing operational risk governance documentation and approving changes, preparing policies, standards and methodologies regarding operational risk management. One of the tools introduced for the management of operational risk is the definition of Operational Risk Key Indicators (KRIs). The final list of KRIs and thresholds was approved in ISBA Operational Risk Committee on October 2015. Since their approval, the Internal KRIs have been monitored and reported on quarterly bases in the ORCO and BoD meetings. The Internal KRIs are subject of an annual review process in order to ensure that they are aligned with the dynamic of the operational context and the significant risks that the Bank faces. Any amendment on KRIs policy will be submitted in ORCO and BoD for approval.

Thresholds for Bank of Albania KRI-s are defined and integrated within "ISBA KRIs Policy", approved in ISBA BOD 18 December 2024. The KRI-s are monitored on quarterly basis as per regulation BoA "On Operational Risk Management" in place, and reported in ORCO and BoD meetings.

The Bank's Risk Management Division is responsible for the identification, assessment, management and mitigation of operational risks, the verification of mitigation effectiveness and reporting to the Bank Senior Management and Group Risk Management with the aim of assessing the potential economic impact of particularly serious operational events.

The Bank carries out an annual assessment campaign set up by Intesa Sanpaolo Group, Self-Diagnosis process, which consists on the operational risk identification and assessment linked to the activity of each single unit within a structure.

The objectives of the Self Diagnosis process are to identify, measure, monitor, and mitigate operational risks. The Self Diagnosis process contributes to the spread of risk - control culture within the Bank. This process is composed of phases relative to the Assessment of the Business Environment, which determines the quality of each structure's risk control profile through the analysis of the importance and the level of management of risk factors in the operating context and phases relative to Scenario Analysis, which determine the size of each structure's risk profile by collecting estimated quantitative data from Business and Operational Units Responsible.

The Bank has the same responsibilities towards the Bank of Albania, based on the regulation on management of operational risk, of January 2011. The Bank reports regularly on the key indicators and classifications of effective operational losses as per business lines according to the regulatory requirements. A new regulation is introduced from Bank of Albania, "On management of operational risk from Banks, payments institutions, and cash electronic institutions" which is approved on the Supervisory council of Bank of Albanian on 6 November 2024, and enters in force on 01 March 2025. The new regulation comes in the light of continues approximation of the regulatory framework of the Central Bank of Albania with the requirements of the Basel committee and EU. In the conditions when the operational risk is becoming even more important for the banks, it was decided from BOA to review the supervisory requirements for a more effective management of the risk, also the review of the reporting templates on the operational risk events. Changes in the set of reports are done, new KRI-s are introduced.

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9. Financial Risk Management (continued)

(d) Climate-related risks

The Bank and its customers may face significant climate-related risks in the future. These risks include the threat of financial loss and adverse non-financial impacts that encompass the political, economic and environmental responses to climate change.

These risks are receiving increasing regulatory, political and societal scrutiny, both within the country and internationally. While certain physical risks may be predictable, there are significant uncertainties as to the extent and timing of their manifestation. For transition risks, uncertainties remain as to the impacts of the impending regulatory and policy shifts, changes in consumer demands and supply chains.

In Albania there is no legislation in force for climate related risk, however the bank has ongoing project supported from the Parent Bank to mitigate all risk.

The Bank in collaboration with ISP Group has made significant progress in embedding climate risk in its Risk framework, including the development of appropriate risk appetite metrics and the creation of a ESG Committee, which is responsible for developing policies, processes and controls to incorporate climate risks in the management of principal risk categories.

In addition, the Bank will implement in 2025 to new models for valuation of climate-related risks and their impact on borrower's credit risk. In the current year, the Bank has also enhanced its data collection systems to help it achieve its climate related aims. For instance, the Bank will introduced mechanisms to collect information relating to clients' exposure to transition and physical risk, and to rate such exposure, in order to understand the impact of climate-related risk on corporate clients in affected sectors. Despite the progress, the Bank acknowledges the need for further efforts to fully integrate climate in the Bank's risk assessments and management protocols.

(e) Capital Management

The Bank's lead regulator, the Central Bank of Albania, sets and monitors capital requirements for the Bank. The Bank's policy is to maintain the capital base within limits, capitalizing all activity earnings so as to sustain future development of the business recognizing the impact of the level of capital on shareholders' return. The Bank recognizes the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

Implementing the current capital requirements, the Central Bank of Albania requires the Bank to maintain a prescribed ratio of total capital to total risk-weighted assets and off-balance sheet items, at a minimum level of 12%. During financial year 2024 the Bank achieved an adequacy ratio well above the minimum required which as at 31 December 2024 is calculated 24.55% (2023: 27.81%)

The modified capital adequacy ratio, which represents the ratio of base capital to risk-weighted assets and off-balance sheet items, is another limit set by the Central Bank of Albania at a level of 6%. Throughout the period, there were no material changes in the Bank's management of capital and all externally imposed capital requirements were complied with.

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9. Financial Risk Management (continued)

(e) Capital Management (continued)

Regulation on Capital Adequacy Ratio entered into force in March 2015 and is based on Basel II criteria and in line with the European Directives for Financial Institutions.

	Note	31 December 2024	31 December 2023
Tier 1 capital - CET1			
Share capital	20	5,562,518	5,562,518
Share premium	20	1,383,880	1,383,880
Legal and regulatory reserves	21	1,825,623	1,825,623
Regulatory retained earnings		13,568,241	14,421,038
		22,340,262	**23,193,059**
Deductions:			
Regulatory intangible assets		(718,244)	(746,363)
Total qualifying Tier 1 capital		**21,622,018**	**22,446,696**
Risk-weighted assets:			
On and off-balance sheet		74,913,914	69,725,343
Risk assets for operational risk		13,176,775	10,987,615
Total risk-weighted assets		**88,090,689**	**80,712,958**
Tier I capital to risk- weighted asset ratio (Capital adequacy ratio)		**24.55%**	**27.81%**

As at 31 December 2017, the Bank of Albania the guideline "On the internal capital adequacy assessment process" entered in force which set out the requirements for banks on drafting and implementing the Internal Capital Adequacy Assessment Process (ICAAP), as well as the expectations of the supervisor on the structure and content of the regulatory report of this process. ICAAP, which is independently realized by the bank and approved from its governing bodies by acknowledging also regulatory requirements, shall ensure the assessment of the current and future levels of capital adequacy, based on its risk profile and strategies ICAAP has been prepared by the Bank starting from year 2013 following also the ISP Group requirement and also have been timely submitted to the regulator within every year on end of April.

10. Fair value measurement

The following table provides the fair value measurement hierarchy of the bank's assets and liabilities.

		Fair value measurement using							
		31 December 2024				31 December 2023			
Assets measured at fair value:	**Date of valuation**	**Total**	**Quoted prices in active markets (Level 1)**	**Significant observable inputs (Level 2)**	**Significant unobservable inputs (Level 3)**	**Total**	**Quoted prices in active markets (Level 1)**	**Significant observable inputs (Level 2)**	**Significant unobservable inputs (Level 3)**
Investment securities at FVOCI	**12/31/2024**	**76,359,711**	15,068,382	61,283,936	7,392	**71,832,488**	12,172,094	59,648,070	12,324
Property and equipment	**12/31/2024**	**1,256,674**	-	-	1,256,674	**1,210,306**	-	-	1,210,306
Investment property	**12/31/2024**	**501,410**	-	-	501,410	**485,256**	-	-	485,256
		78,117,795	**15,068,382**	**61,283,936**	**1,765,477**	**73,528,050**	**12,172,094**	**59,648,070**	**1,707,886**

11. Financial Assets and Financial Liabilities

(a) Fair values of financial assets and financial liabilities

		Carrying Amount					Fair Value			
31 December 2024	**Note**	**Investment securities at amortized cost**	**Investment securities at FVOCI**	**Loans and advances to banks**	**Other financial liabilities**	**Total carrying amount**	**Level 1**	**Level 2**	**Level 3**	**Total**
Loans and advances to banks	16	-	-	42,163,099	-	**42,163,099**	-	-	41,915,143	**41,915,143**
Investments securities at amortized cost	17	4,371,611	-	-	-	**4,371,611**	1,595,267	2,843,964	-	**4,439,231**
Investment securities at FVOCI	17	-	76,359,711	-	-	**76,359,711**	15,068,382	61,283,922	12,324	**76,364,628**
Total		**4,371,611**	**76,359,711**	**42,163,099**	**-**	**122,894,421**	**64,127,886**	**12,324**	**80,803,859**	**64,127,886**
Deposits from customers	26	-	-	**-**	**172,405,715**	**172,405,715**	**-**	-	**172,214,840**	**172,214,840**
Total		**-**	**-**	**-**	**172,405,715**	**172,405,715**	**-**	**-**	**172,214,840**	**172,214,840**

31 December 2023	**Note**	**Investment securities at amortized cost**	**Investment securities at FVOCI**	**Loans and advances to banks**	**Other financial liabilities**	**Total carrying amount**	**Level 1**	**Level 2**	**Level 3**	**Total**
Loans and advances to banks	16	-	-	38,795,969	-	**38,795,969**	-	-	38,795,969	**38,795,969**
Investments securities at amortized cost	17	7,283,193	-	-	-	**7,283,193**	1,667,522	5,615,671	-	**7,283,193**
Investment securities at FVOCI	17	-	71,832,488	-	-	**71,832,488**	12,172,094	59,648,070	12,324	**71,832,488**
Total		**7,283,193**	**71,832,488**	**38,795,969**	**-**	**117,911,650**	**13,839,616**	**65,263,741**	**38,808,293**	**117,911,650**
Deposits from customers	26	-	-	-	**166,183,822**	**166,183,822**	-	-	166,183,822	**166,183,822**
Total		**-**	**-**	**-**	**166,183,822**	**166,183,822**	**-**	**-**	**166,183,822**	**166,183,822**

HTC Albanian Government securities are fixed and floating rate bonds. The floating rate bond is given as the average yield of the last three Treasury bill auctions with the maturity of one year plus the spread. The measurement of the fair value for these securities is performed using the mark-to-market model valuation technique, by discounting all future cash flows deriving from such instruments. The rest of the HTC foreign securities denominated in foreign currencies represent Banks and Financial Institutions' securities whose fair value is measured according the "ISBA fair value internal rules".

Loans and advances to customers have carrying amount, which is considered also their fair value, as the major part of portfolio is based on floating interest rates. The fair value of Time Deposits from customers is re-priced using the net present value. The interest rates applied are the market interest rates published from Bank of Albania. These rates are an estimate of the market rates. The fair value of current accounts, savings accounts is considered to approximate their carrying amount, given they have short-term maturity.

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13. Cash and cash equivalents

Cash and cash equivalents as at 31 December 2024 and 31 December 2023 are detailed as follows:

	31 December 2024	31 December 2023
Cash on hand	1,764,608	1,757,373
Current accounts with banks	4,442,736	5,806,171
Unrestricted balances with Bank of Albania	293,966	1,520,825
Money market placements	4,545,355	5,936,739
Less impairment loss allowance	(325)	(475)
Total	**11,046,340**	**15,020,633**

14. Loans and advances to banks

Loans and advances to banks as at 31 December 2024 and 31 December 2023 are composed as follows:

	31 December 2024	31 December 2023
Compulsory reserve with Bank of Albania	16,273,263	16,451,316
Deposits with correspondent banks	33,175,008	27,053,059
Repurchase agreement		
Less impairment loss allowance	(1,328)	(1,287)
Total	**49,446,943**	**43,503,088**

In accordance with the Bank of Albania requirements, the Bank at the reporting date should maintain a minimum of compulsory reserve as per percentages determined by the regulator (See note 9.(b).(ii)).

Such reserves are maintained in original currency for due to customer balances denominated in local currency. For due to customer balances denominated in foreign currency the Bank is obliged to maintain in original currency.

The amount required to be deposited is calculated monthly in arrears. According to the Bank of Albania regulation 70% of this reserve in Lek is available for daily use by the Bank.

The remuneration interest rate of obligatory reserve denominated in Lek is 100% of repurchase agreements rate equal to 2.75% for 31 December 2024 (31 December 2023: 3.25 %). The remuneration interest rate of the obligatory reserve in EUR is equal to 0% for EUR for 31 December 2024 (31 December 2023:0 %). Deposits with banks comprise money market placements with an original maturity of over three months, which are not part of cash and equivalents.

15. Investment securities

	31 December 2024	31 December 2023
Investment securities measured at FVOCI-debt instruments	76,359,711	71,832,488
Investment securities measured at amortized cost- debt instruments	4,371,611	7,283,193
Total	80,731,322	79,115,681

Investment securities measured at FVOCI as at 31 December 2024 and 31 December 2023 can be detailed as follows:

	31 December 2024	31 December 2023
Sovereign issuers		
Republic of Albania	**62,757,330**	**61,137,482**
Unlisted	61,291,328	59,660,527
Listed	1,466,002	1,476,955
EU member states	**7,724,928**	**4,487,023**
Listed	7,724,928	4,487,023
Other Financial Institutions	**4,923,337**	**5,296,423**
Listed	4,923,337	5,296,423
USA	954,116	911,560
Listed	954,116	911,560
Total	**76,359,711**	**71,832,488**

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15. Investment securities (continued)

Investment securities measured at amortized cost as at 31 December 2024 and 31 December 2023 can be detailed as follows:

	31 December 2024	31 December 2023
Sovereign issuers		
Republic of Albania	**4,048,733**	**6,961,271**
Unlisted	2,769,851	5,615,670
Listed	1,278,882	1,345,601
US and EU member states	**322,878**	**321,922**
Listed	322,878	321,922
Total	**4,371,611**	**7,283,193**

As at 31 December 2024 and 31 December 2023 no Albanian Government securities have been pledged as collateral for repurchase agreements.

16. Loans and advances to customers

Loans and advances to customers measured at amortized cost are composed as follows:

	31 December 2024	31 December 2023
Loans	46,890,063	41,781,725
Overdrafts	10,981,734	12,592,588
Financial lease	617,424	486,417
Deferred disbursement fees	(183,277)	(186,276)
Gross amount	**58,305,944**	**54,674,454**
Less impairment loss allowance (see Note 9.(a).(v))	(1,884,148)	(1,672,207)
Total net amount	**56,421,796**	**53,002,247**

The Bank leases out certain equipment under finance leases in its capacity as a lessor.

The following table sets out a maturity analysis of lease receivables, showing the undiscounted lease payments to be received after the reporting date.

	31 December 2024	31 December 2023
Less than one year	23,760	167,582
Between one and five years	550,386	316,409
Over 5 years	38,514	2,426
Gross finance lease	**612,659**	**486,417**
Less impairment allowance	(4,291)	(6,541)
Total	**608,368**	**479,876**

The following table sets out presentation of loans and advances to customers as per loan category.

	2024			2023		
	Gross carrying amount	ECL allowance	Carrying amount	Gross carrying amount	Impairment allowance	Carrying amount
Retail customers	**21,959,772**	**735,534**	**21,224,238**	**19,231,507**	**573,721**	**18,657,786**
Mortgage lending	16,239,532	244,258	15,995,274	14,629,653	199,180	14,430,473
Personal loans	5,548,751	463,978	5,084,773	4,476,913	357,172	4,119,741
Credit cards	151,350	26,685	124,665	97,060	16,476	80,584
Leasing	20,139	613	19,526	27,881	893	26,988
Corporate customers	**36,327,189**	**1,129,631**	**35,197,558**	**35,442,947**	**1,098,486**	**34,344,461**
Investment loans	23,280,899	551,783	22,729,116	20,827,934	521,974	20,305,960
Working capital	12,453,770	574,170	11,879,600	14,156,576	570,864	13,585,712
Leasing	592,520	3,678	588,842	458,437	5,648	452,789
Total	**58,286,961**	**1,865,165**	**56,421,796**	**54,674,454**	**1,672,207**	**53,002,247**

17. Property and Equipment

Property and Equipment as at 31 December 2024 and 31 December 2023 is as follows:

	Land and Building*	IT and Electrical Equipment	Furniture and Fine Art Works	Other non-Electrical Assets	Assets acquired not put into use	Total
Cost or fair value*						
Balance as at 1 January 2023	**1,350,267**	**1,280,226**	**165,017**	**251,674**	**164,761**	**3,211,945**
Additions	-	102,774	16,462	32,224	12,519	163,979
Adjustment of Revaluation	(139,961)	-	-	-	-	**(139,961)**
Balance as at 31 December 2023	**1,210,306**	**1,383,000**	**181,479**	**283,898**	**177,280**	**3,235,963**
Additions	45,966	33,893	5,974	5,542	87,820	179,195
Disposals	-	(20,763)	(12,199)	(3,644)	-	(36,606)
Transfer	402	112,049	7,065	22,978	(142,494)	-
Adjustment of Revaluation	-	-	-	-	-	-
Balance as at 31 December 2024	**1,256,674**	**1,508,179**	**182,319**	**308,774**	**122,606**	**3,378,552**
Accumulated Depreciation						
Balance as at 1 January 2023	**93,269**	**982,261**	**125,767**	**124,612**	**-**	**1,325,909**
Depreciation for the year	47,556	111,097	12,885	29,195	-	200,733
Transfer for integration cost (note 26)	-	(11,299)	(2,247)	(2,441)	-	(15,987)
Disposals	-	-	-	-	-	-
Used on the Impairment loss	(140,825)	-	-	-	-	**(140,825)**
Balance as at 31 December 2023	**-**	**1,093,358**	**138,652**	**153,807**	**-**	**1,385,817**
Depreciation for the year	42,683	125,273	12,291	34,445	-	214,692
Transfer for integration cost (note 26)	-	(10,538)	(2,120)	(1,917)	-	(14,575)
Disposals	-	(18,697)	(11,975)	(4,542)	-	(35,214)
Used on the Impairment loss	-	-	-	-	-	-
Balance as at 31 December 2024	**42,683**	**1,199,934**	**138,968**	**183,710**	**-**	**1,565,295**
Carrying amount						
At 31 December 2023	**1,210,306**	**289,642**	**42,827**	**130,091**	**177,280**	**1,850,146**
At 31 December 2024	**1,213,991**	**308,245**	**43,351**	**125,064**	**122,606**	**1,813,257**

*The fair value of land and building was determined by external, independent property valuers, having appropriate recognized professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Bank's own-used property portfolio every three years and its fair value measurement is categorized as a Level 3 fair value based on the inputs to comparable approach used. The latest valuation was performed at the end of the year 2023 and the confirmation was done also during 2024.

Fully depreciated assets still in use for the year ended 2024 have an historical cost of ALL 995,082 thousand (2023: ALL 897,064 thousand).

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18. Right of use of assets and lease liability

A. Leases as lessee

The Bank leases a number of branch and office premises. This leases typically run for a period of 10 years, with an option to renew the lease after that date. For some leases, payments are renegotiated every five years to reflect market rentals. Some lease provides for additional rent payments that are based on changes in local price indices. The Bank also leases IT equipment with contract terms of one to three years. These leases are short-term and/or leases of low-value items. The Bank has elected not to recognize right-of-use assets and lease liabilities for these leases. The information about leases for which the Bank is a lessee is presented below:

	Right-of-use assets		
	Buildings	**Other tangible assets**	**Total**
Cost			
At 1 January 2023	**777,859**	**67,251**	**845,110**
Additions	127,995	-	**127,995**
Modifications	(72,687)	-	**(72,687)**
Disposal/Transfer	(99,200)	-	**(99,200)**
At 31 December 2023	**733,967**	**67,251**	**801,218**
Additions	203,036	90,677	**293,713**
Modifications	(25,044)	-	**(25,044)**
Disposal/Transfer	(175,683)	(39,943)	**(215,626)**
At 31 December 2024	**736,276**	**117,985**	**854,261**
Accumulated Depreciation			
At 1 January 2023	**(284,064)**	**(45,897)**	**(329,960)**
Depreciation charge	(134,080)	(14,119)	**(148,199)**
Depreciation charge for disposal	113,579	-	**113,579**
At 31 December 2023	**(304,565)**	**(60,016)**	**(364,581)**
Depreciation charge	(141,254)	(22,305)	**(163,559)**
Depreciation charge for disposal	175,683	39,943	**215,626**
At 31 December 2024	**(270,136)**	**(42,377)**	**(312,513)**
Net book amount			
At 31 December 2023	**429,402**	**7,235**	**436,637**
At 31 December 2024	**466,140**	**75,608**	**541,748**
Average Discount rate	**3.62%**	**2.81%**	

The Bank has rental agreements with renewal options for its offices in Albania. During 2024, the amount of Lek 21,002 thousand was recognized as operating lease expense under IAS 17 in respect of lease rentals (2023: Lek 18,360 thousand).

i. Extension options

Some leases of office premises contain extension options exercisable by the Bank up to one year before the end of the non-cancellable contract period. Where applicable, the Bank seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Bank and not by the lessors. The Bank assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Bank reassesses whether it reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

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18. Right of use of assets and lease liability (continued)

Lease Liability

Set out below are the carrying amounts of lease liabilities and the movements during the period:

	2024	2023
At 1 January	402,651	**495,621**
Additions	293,511	127,775
Disposals	-	(23,789)
Modifications	(23,257)	(28,167)
Accrual of interest	19,268	15,008
Lease payment	(160,217)	(143,741)
Revaluation effect	(24,227)	(40,056)
At 31 December	**507,729**	**402,651**

The maturity analysis of lease liabilities is disclosed in Note 12.

19. Intangible Assets

Intangible assets as at 31 December 2024 and 31 December 2023 are as follows:

	Software and Licenses	Advances for Software	Total
Cost			
Balance as at 1 January 2023	**2,550,180**	**177,600**	**2,727,780**
Additions during period	40,323	125,555	165,878
Transfers	177,916	(177,916)	-
Balance as at 31 December 2024	**2,768,419**	**125,239**	**2,893,658**
Additions during period	91,963	87,535	179,498
Transfers	73,668	(73,668)	-
Disposal	(51,864)	-	(51,864)
Balance as at 31 December 2024	**2,882,186**	**139,106**	**3,021,292**
Accumulated amortization			
Balance as at 1 January 2023	**2,123,574**	**-**	**2,123,574**
Amortization charge for the year	159,358	-	159,358
Disposals	-	-	-
Balance as at 31 December 2023	**2,282,932**	**-**	**2,282,932**
Amortization charge for the year	171,558	-	171,558
Disposals	(17,033)	-	(17,033)
Balance as at31 December 2024	**2,437,457**	**-**	**2,437,457**
Carrying amount			
At 31 December 2023	**485,487**	**125,239**	**610,726**
At 31 December 2024	**444,729**	**139,106**	**583,835**

Fully depreciated assets still in use for the year ended 2024 have an historical cost of ALL 2,017 mio (2023: ALL 1,856 mio).

20. Investment property

The Bank holds investment property as consequence of acquisitions through enforcement of security over loans and advances. As at 31 December 2022, the investment property represents a foreclosed collateral repossessed during 2017. During 2024, investment property rentals of Lek 12,360 thousand (2023: Lek 13,910 thousand) have been recognized in other income. Based on the agreement between parties the annual rent for the first year is calculated 2.8% of the historical cost. The annual rent change over the period based on the payment of instalment for purchase of the property.

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20. Investment property (continued)

The following table shows a reconciliation from the beginning balances to the closing balances for the fair value measurements of the Bank's investment property.

	2024	2023
Balance at 1 January	**485,256**	**502,498**
Acquired during the year	-	-
Assets sold during the year	-	-
Net changes in fair value	16,154	(17,242)
Balance at 31 December	**501,410**	**485,256**

The fair value of investment property was determined by external, independent property valuers, having appropriate recognized professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Bank's investment property portfolio every year and its fair value measurement is categorized as a Level 3 fair value based on the inputs to comparable approach used.

Description of valuation techniques used and key inputs to valuation of investment property is as following:

		2024	2023
Valuation technique	**Significant unobservable inputs**	**Range (weighted average)**	
Discounted cash flow method (DCF)	Estimated rental value per sqm per month	1,788 - 1,948 EUR	1,167 - 1,376 EUR
	Discounted rate	7.2%	9%

Using the DCF method, fair value is estimated using assumptions regarding the benefits and liabilities of Ownership over the asset's life including an exit or terminal value. This method involves the projection of a series of cash flows on a real property interest. To this projected cash flow series, a market-derived discount rate is applied to establish the present value of the income stream associated with the asset.

21. Other assets

Other assets as at 31 December 2024 and 31 December 2023 are as follows:

	31 December 2024	31 December 2023
Sundry debtors	17,617	21,850
Suspense transactions, ATM & POS and transfers	43,918	168,152
Leasehold improvements	115,974	144,299
Prepayments	54,470	42,508
Cheques for collection	10,073	1,376
VAT Receivable	380,668	300,928
Others	101,471	112,539
Total	**724,254**	**791,652**

The movement of leasehold improvements during the reporting period is presented as follows:

	31 December 2024	31 December 2023
At beginning of the period	**144,299**	**109,605**
Additions during period	11,788	63,309
Transfer to property and equipment	(10,001)	-
Write off	-	-
Amortization of the period	(27,196)	(23,126)
Transfer for Integration Costs (note 26)	(2,917)	(5,489)
At end of the period	**115,973**	**144,299**

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22. Repossessed assets

Inventory represents repossessed assets acquired in the process of collection of defaulted loans. The movement of "repossessed assets" item during the reporting period is presented as follows. The foreign exchange effect arises due to the fact that such assets are typically priced in Euro in the market.

	2024	2023
At beginning of the period	184,578	275,759
Additions during period	41,651	12,888
Disposals of the period	(34,279)	(29,139)
Write back/(down) to net realizable value	(35,448)	(58,647)
Effect of movements in foreign exchange	5,502	(16,283)
At end of the period	**162,004**	**184,578**

23. Due to banks and financial institutions

Due to banks and financial institutions as at 31 December 2024 and 31 December 2023 are as follows:

	31 December 2024	31 December 2023
Correspondent banks		
Current accounts	**232,847**	**229,658**
Resident	1,305	1,403
Non-resident	231,541	228,255
Borrowings	**1,230,777**	**141,268**
Non-resident	1,230,777	**141,268**
Deposits	**686,000**	**1,222,381**
Resident	686,000	1,222,381
Non-resident	-	-
Current Accounts with Central Bank	**497,375**	**385,546**
Total	**2,647,049**	**1,978,853**

As at 31 December 2024 and 31 December 2023, no Albanian Government securities have been pledged as collateral for repurchase agreements.

Borrowings with non-resident financial institution represent loans received by the Bank from EBRD as per Youth in Business ('YiB') and Green Economy Financing Facility (GEFF) and from Cassa Depositi E Prestiti S.P.A as per Green Finance for Inclusion (GF4I).

For the agreement of Youth in Business the total commitment of 1 million EUR is scheduled to be disbursed within a year in tranches not less than 500 thousand EUR each. Commitment fee is 0.5% p.a. and is calculated and paid over the undrawn part of each tranche. Total amount disbursed during 2023 was 1 million EUR with an interest rate of 5.174% p.a. and payable in 7 semiannual installments. Loan disbursed under this agreement had an outstanding balance of LEK 99,363 thousand as at 31st December 2024.

For the agreement of Green Economy Financing Facility (GEFF) the total commitment of 3 million EUR is divided in two tranches not less than 1.5million EUR each. Commitment fee for the first tranche is 0.5% p.a. and is calculated and paid over the undrawn part of each tranche. Total amount disbursed during 2024 was 1.5 million EUR with an interest rate of 3.889% p.a. and **payable in 7 semiannual installments**. Loan disbursed under this agreement had an outstanding balance of LEK 147,527 thousand as at 31*st* December 2024.

For the agreement of Green Finance for Inclusion the total commitment of 10 million EUR, no commitment fee. Total amount disbursed during 2024 was 10 million EUR with an interest rate of 0.962% p.a. and payable in 5 semiannual installments. Loan disbursed under this agreement had an outstanding balance of LEK 983,886 thousand as at 31st December 2024.

In order to achieve this overall objective, the Bank's capital management, among other things, aims to ensure that it meets financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to immediately call loans and borrowings. There have been no breaches of the financial covenants of any interest-bearing borrowing in the current period.

23. Due to banks and financial institutions (continued)

Changes in borrowings arising from financing activities are as following:

As at 31 December 2023	**141,268**	**122,435**
Cash flow	**1,112,621**	**18,591**
Issuance	1,125,111	103,800
Repayments	(12,490)	(85,209)
Non-cash items	**(23,112)**	**242**
Interest expenses	19,074	3,492
Forex	(42,186)	(3,250)
As at 31 December 2024	**1,230,777**	**141,268**

24. Due to customers

Due to customers as at 31 December 2024 and 31 December 2023 are composed as follows:

	31 December 2024			31 December 2023		
Current accounts	**Local Currency**	**Foreign Currency**	**Total**	**Local Currency**	**Foreign Currency**	**Total**
Retail	17,080,706	25,304,468	42,385,174	15,273,411	26,919,413	42,192,824
Corporate	17,010,019	29,069,714	46,079,733	16,394,702	30,758,492	47,153,194
	34,090,725	**54,374,182**	**88,464,907**	**31,668,113**	**57,677,905**	**89,346,018**
Deposits						
Retail	37,012,418	38,958,661	75,971,079	36,122,612	38,270,344	74,392,956
Corporate	1,584,482	6,385,247	7,969,729	1,134,132	1,310,716	2,444,848
	38,596,900	**45,343,908**	**83,940,808**	**37,256,744**	**39,581,060**	**76,837,804**
Total	**72,687,625**	**99,718,090**	**172,405,715**	**68,924,857**	**97,258,965**	**166,183,822**

Balances due to customers by maturity and currency type are as follows:

	31 December 2024			31 December 2023		
	Local Currency	**Foreign Currency**	**Total**	**Local Currency**	**Foreign Currency**	**Total**
Current Accounts	**34,090,726**	**54,374,181**	**88,464,907**	**31,668,113**	**57,677,905**	**89,346,018**
Deposits						
On demand	5,306,426	16,528,991	21,835,417	5,384,843	19,845,141	25,229,984
One month	291,289	221,900	513,189	8,844	26,521	35,365
Three months	591,077	3,712,991	4,304,068	312,424	924,503	1,236,927
Six months	809,662	1,125,081	1,934,743	1,016,260	1,340,922	2,357,182
Ten months	25,520	13,756	39,276	33,556	14,617	48,173
Twelve months	10,505,869	16,623,648	27,129,517	8,811,677	13,012,118	21,823,795
Twenty-four months	3,396,996	2,686,962	6,083,958	3,604,188	1,856,408	5,460,596
More than twenty-four months	17,670,060	4,430,580	22,100,640	18,084,952	2,560,830	20,645,782
	38,596,899	**45,343,909**	**83,940,808**	**37,256,744**	**39,581,060**	**76,837,804**
Total	**72,687,625**	**99,718,090**	**172,405,715**	**68,924,857**	**97,258,965**	**166,183,822**

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24. Due to customers (continued)

For current accounts (for which is paid interest) and time deposits, the annual published interest rates applicable for the various fixed terms were:

2024	ALL (%)	USD (%)	EUR (%)
Demand deposits	0.20 - 0.20	0.10 - 0.10	0.00 - 0.00
Time deposits – 1 month	0.20 - 0.20	0.05 - 0.10	0.00 - 0.00
Time deposits – 3 months	0.20 - 1.20	0.10 - 0.90	0.00 - 0.50
Time deposits – 6 months	0.20 - 1.60	0.10 - 1.20	0.00 - 0.70
Time deposits – 9 months	0.40 - 2.40	-	0.00 - 1.05
Time deposits – 10 months	1.50 - 2.50	1.00 - 1.50	-
Time deposits – 12 months	0.20 - 3.00	0.10 - 1.90	0.00 - 1.60
Time deposits – 13 months	0.80 - 0.80	-	-
Time deposits – 15 months	2.45 - 2.80	1.40 - 1.70	-
Time deposits – 18 months	0.90 - 2.90	0.20 - 0.20	0.00 - 0.00
Time deposits – 21 months	2.45 - 2.90	-	-
Time deposits – 24 months	1.10 - 3.10	0.25 - 2.30	0.00 - 2.10
Time deposits – 30 months	2.50 - 2.92	-	-
Time deposits – 36 months	1.40 - 4.17	0.25 - 2.77	0.00 - 2.30
Time deposits – 60 months	2.26 - 3.80	0.25 - 2.50	0.00 - 2.50

2023	ALL (%)	USD (%)	EUR (%)
Current accounts and demand deposits	0.20 - 0.20	0.10 - 0.10	0.00 - 0.00
Time deposits – 1 month	0.20 - 0.20	0.05 - 0.10	0.00 - 0.00
Time deposits – 3 months	0.20 - 0.90	0.10 - 0.20	0.00 - 0.20
Time deposits – 6 months	0.20 - 1.25	0.10 - 0.25	0.00 - 0.30
Time deposits – 9 months	0.40 - 0.40	-	0.00 - 0.00
Time deposits – 10 months	0.85 -1.50	0.35 - 1.00	-
Time deposits – 12 months	0.20 - 3.00	0.10 - 1.70	0.00 - 1.50
Time deposits – 13 months	0.80 - 0.80	-	-
Time deposits – 15 months	1.25 - 2.80	0.45 - 1.40	-
Time deposits – 18 months	0.90 - 2.80	0.20 - 0.20	0.00 - 0.00
Time deposits – 21 months	1.35 - 2.90	-	-
Time deposits – 24 months	1.40 - 3.10	0.20 - 1.90	0.00 - 1.90
Time deposits – 30 months	1.32 - 2.74	-	-
Time deposits – 36 months	1.40 - 4.17	0.25 - 0.25	0.00 - 2.10
Time deposits – 60 months	2.26 - 3.80	0.25 - 0.25	0.00 - 0.00

All individual and cooperate customer deposits, in accordance with the Law No. 52, dated 25.05.2014 "On the Insurance of Deposits" amended, are protected without any cost for customers, up to the amount of Lek 2,500,000 (or in Lek equivalent if in foreign currency) with the Deposit Insurance Agency (DIA).

25. Deferred Tax

Recognized deferred tax assets and liabilities are attributable to the following:

	31 December 2024			31 December 2023		
	Assets	Liabilities	Net	Assets	Liabilities	Net
Investment securities measured at FVOCI	-	154,364	(154,364)	(24,282)	-	(24,282)
Allowance for expected credit losses	23,899	-	23,899	26,908	-	26,908
Investment Property	-	-	-	-	1,599	(1,599)
Repossessed assets	113,328	-	113,328	115,432	-	115,432
Properties	-	94,306	(94,306)	-	94,306	(94,306)
Right-of-use assets	76,300	81,264	(4,964)	59,297	65,496	(6,199)
Equipment and intangible assets	111,819	-	111,819	109,128	-	109,128
Net deferred tax assets	**325,346**	**329,934**	**(4,588)**	**286,483**	**161,401**	**125,082**

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25. Deferred Tax (continued)

Movements in temporary differences during the year are as follows:

31 December 2024	Opening balance	Recognized in profit or loss	Recognized in other comprehensive income	Closing Balance
Investment securities measured at FVOCI	(24,282)	-	(130,082)	(154,364)
Allowance for expected credit losses	26,908	(3,009)	-	23,899
Investment Property	(1,599)	1,599	-	-
Repossessed assets	115,432	(2,104)	-	113,328
Properties	(94,306)	-	-	(94,306)
Right-of-use assets	(6,199)	1,235	-	(4,964)
Equipment and intangible assets	109,128	2,691	-	111,819
Total	**125,082**	**412**	**(130,082)**	**(4,588)**

31 December 2023	Opening balance	Recognized in profit or loss	Recognized in other comprehensive income	Closing Balance
Investment securities measured at FVOCI	169,421	-	(193,703)	**(24,282)**
Allowance for expected credit losses	53,180	(26,272)	-	**26,908**
Investment Property	(1,599)	-	-	**(1,599)**
Repossessed assets	147,014	(31,582)	-	**115,432**
Properties	(94,177)	-	(130)	**(94,306)**
Right-of-use assets	(2,929)	(3,270)	-	**(6,199)**
Equipment and intangible assets	105,649	3,479	-	**109,128**
Total	**376,559**	**(57,645)**	**(193,833)**	**125,082**

26. Provisions

Movements in provisions during the year are as follows:

	Tax Litigation	Other Litigations	Off-Balance Sheet ECL	Integration costs	Total
Balance at 1 January 2024	**154,094**	**187,762**	**64,693**	**69,762**	**476,311**
Provisions made/(reversed) during the year	30,532	16,462	(16,782)	(17,492)	12,720
Provisions used during the year	-	-	-	-	-
Effect of movements in foreign exchange	-	(6,275)	(1,377)	-	(7,652)
Balance at 31 December 2024	**184,626**	**197,949**	**46,534**	**52,270**	**481,379**

27. Other liabilities

Other liabilities as at 31 December 2024 and 31 December 2023 are composed as follows:

	31 December 2024	31 December 2023
Accrued expenses	805,902	491,868
Sundry creditors	68,771	49,760
Suspense accounts	427,240	332,480
Bank cheques issued and payments in transit	373,770	377,933
Other tax liabilities	321,382	253,918
Due to third parties	36,217	33,067
Other	(148)	3
Total	**2,033,134**	**1,539,029**

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28. Share capital and share premium

The issued share capital comprises one class of shares as follows:

	Number of Shares (In number)	Nominal Value (In Lek)	Total Shares Value (In Lek)
Share Capital at 31 December 2023 and 2024	**15,581,282**	**357**	**5,562,517,674**

Share premium represents the amount paid from the shareholder in excess of the registered share capital. Intesa Sanpaolo S.p.A is the sole shareholder and also ultimate parent and there are no changes in the number of shares for year ended 31 December 2024 and 2023. During 2024 Lek 4,343,486 thousand dividend was recognized as distribution to the ultimate parent (2023: Lek 1,814,214 thousand).

29. Reserves

As at 31 December 2024 and 31 December 2023, the reserves were:

	31 December 2024	31 December 2023
Regulatory reserve (*a*)	1,125,443	1,125,443
Legal reserve (*b*)	700,180	700,180
Fair value reserve (*c*)	1,253,488	794,535
Revaluation reserve (*d*)	534,404	534,404
Other capital reserve (*e*)	714,554	714,554
Merger reserve (*f*)	2,813,396	2,813,396
Total	**7,141,465**	**6,682,512**

Nature and purpose of the reserves

a. The regulatory reserve was established according to the Central Bank of Albania regulation "On the Bank's Regulatory Capital", no.69, dated 18 December 2014. Banks and branches of foreign banks are required to create reserves of 1.25% to 2% of total risk-weighted assets, by appropriating one fifth of the profit after taxes and before payment of dividends, until the balance on this measure reaches at least 1.25% of total risk-weighted assets. At 31 December 2024, the regulatory reserve represented 1.34% of total risk-weighted assets (2023: 1.34%).

b. The legal reserve was established according to the provisions of the Commercial Law requiring the creation of reserves of 5% of the Bank's net income after deduction of accumulated losses from previous years, until the balance of this reserve reaches 10% of the Bank's share capital. At 31 December 2024, the balance represented 10% of the Bank's share capital (2023: 10%). This threshold is not mandatory, when the existing reserves are not less than one tenth of the Bank's share capital.

c. The Fair value reserve represent the cumulative net change in fair value of the securities at FVOCI until the asset are derecognized or reclassified.

Below is disclosed the gross value of the fair value reserve and the deferred tax as at 31 December 2024 and 2023:

	31 December 2024	31 December 2023
Gross reserve	1,407,852	818,817
Deferred tax	(154,364)	(24,282)
Total	**1,253,488**	**794,534**

d. The revaluation reserve relates to the revaluation of owed used property. The fair value reserve comprises the cumulative net change in the fair value of financial assets at fair value to other comprehensive income until the assets are derecognized or impaired.

e. Other capital reserve represents the differences arising from the conversion of the Bank's share capital from USD to Lek. Out of this balance, the amount of Lek 297,666 thousand was received as at 1 January 2008 from the merger with former BIA, as raised by the same denomination currency change of the share capital.

f. The merger reserve represents the contribution by owner equal to the net assets transferred considering that the Bank did not pay a consideration to acquire net assets of VBA (refer also to note 1).

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30. Net Interest income

Interest income calculated using the effective interest method are as following:

Interest income	**2024**	**2023**
Loans and advances to customers	3,246,571	3,118,456
Investment securities at amortized cost	214,835	422,377
Loans and advances to banks	1,719,849	1,106,434
Investment securities at FVOCI	2,667,674	2,289,310
Total interest income	**7,848,929**	**6,936,577**
Interest expenses		
Demand and time deposits	1,366,134	865,376
Deposits from banks	22,324	18,568
Current accounts of customers	87,040	79,128
Lease liability (note 19)	19,268	15,008
Negative interest on interest bearing assets	-	10,557
Total interest expenses	**1,494,766**	**988,637**
Net interest income	**6,354,163**	**5,947,940**

31. Net fee and commission income

	2024			**2023**		
	Retail Banking	**Corporate Banking**	**Total**	**Retail Banking**	**Corporate Banking**	**Total**
Fee income earned from services that are provided over time:						
Unused/advanced liquidated credit lines	17,054	24,801	41,855	12,433	49,720	62,153
Active current accounts	202,497	32,439	234,936	221,231	24,016	245,247
Arrangement fees and others	4,379	50,640	55,019	4,997	35,531	40,528
Guarantees given	1,627	54,307	55,934	679	38,117	38,796
Fee income from providing financial services at a point in time:						
ATMs and POSs	592,553	204,542	797,095	489,392	160,204	649,596
Collection and payment services	313,047	284,158	597,205	281,754	301,877	583,631
Fee and commission income	**1,131,157**	**650,887**	**1,782,044**	**1,010,486**	**609,465**	**1,619,951**
ATMs and POSs	476,277	225,007	701,284	427,914	163,756	591,670
Banking services	638	12,530	13,168	550	11,194	11,744
Collection and payment services	14,723	19,568	34,291	21,013	16,467	37,480
Guarantees received	-	9,094	9,094	-	10,685	10,685
Fee and commission expenses	**491,638**	**266,199**	**757,837**	**449,477**	**202,102**	**651,579**
Net fee and commission income	**639,519**	**384,688**	**1,024,207**	**561,009**	**407,363**	**968,372**

Fee and commissions do not include fees received for loans and advances to customers (transaction costs), which are adjusted on initial recognition for the carrying value of these financial assets as per effective interest rate method. Fee and commission income from contracts with customers are measured based on the consideration specified in a contract with a customer. The Bank recognizes revenue when it transfers control over a service to only a customer. The Bank provides banking services only to retail and corporate customers, including account management, provision of overdraft facilities, foreign currency transactions, credit card and servicing fees. Fees for ongoing account management are charged to the customer's account on a monthly basis.

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32. Net other income

	2024	2023
Foreign exchange gains	834,358	703,354
Recoveries on written off loans	81,422	44,279
Rent income	12,361	13,911
Gain on sale of repossessed assets	2,627	5,075
Gain/(Loss) from sale of investment securities	6,997	(6,670)
Total	**937,765**	**759,949**

33. Net other operating expenses

	2024	2023
Premium on deposits insurance	370,924	362,035
Premium on recovery & resolution plan	99,284	98,256
Loss on sundry net operational	4,339	9,115
Total	**474,547**	**469,406**

34. Personnel expenses

	2024	2023
Salaries	1,408,937	1,301,819
Social and pension Insurance	207,431	174,980
Total salaries and social insurance	**1,616,368**	**1,476,799**
Personnel on secondment	114,793	95,224
Training & similar	51,113	22,290
Termination indemnities and others	89,042	132,221
Total	**1,871,316**	**1,726,534**

Salaries and social insurance for the year ended 31 December 2024 and 2023 are further breakdowns as follows:

	2024	2023
Board of Directors	10,659	11,806
Executive Management	330,541	281,662
Other personnel	1,556,611	1,326,172
Total	**1,897,812**	**1,619,640**

For the year ended 31 December 2024 the Bank had an average number of 769 employees (2023: 723).

35. Other administrative expenses

	2024	2023
Software maintenance	711,499	601,012
Maintenance and repair	99,871	91,935
Security	72,063	66,304
Indirect Taxes	139,991	135,447
Telephone and electricity	72,362	66,233
Consulting, legal and professional fees	47,267	46,992
Stationery	56,840	51,892
Transport and security services	49,836	46,648
Advertising and publications	52,691	53,662
Integration Fees	227,253	180,783
Insurance	8,583	7,526
Short term and low-value leases	26,379	18,360
Travel and business trips	12,693	8,797
Other	22,271	-
Total	**1,599,599**	**1,375,591**

Consulting, legal and professional fees for the year ended 31 December 2024 include statutory and non-statutory audit fees amounting to Lek 15,600 thousand (2023: Lek 13,438 thousand).

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36. Income tax expenses

The components of income tax expense for the year ended 31 December 2024 and 2023 are:

	2024	2023
Current tax for the year	679,121	540,621
Current tax expense	679,121	540,621
Origination and reversal of temporary differences	-413	57,644
Deferred tax income	-413	57,644
Income tax expense/(benefit)	**678,708**	**598,265**

Reconciliation of the income tax expense with the accounting profit for the year ended 31 December 2024 and 2023 is presented as follows:

		2024		2023
Accounting Profit before tax		**3,804,425**		**3,651,988**
Income tax at domestic corporate tax rate	15.00%	570,664	15.00%	547,798
Non-deductible expenses	3.58%	136,037	2.13%	77,713
Income exempted from income tax	-0.72%	(27,579)	-2.32%	(84,890)
Origination and reversal of temporary differences	-0.01%	(413)	1.58%	57,644
Income tax Expense	**17.84%**	**678,709**	**16.38%**	**598,265**

Non-deductible expenses are detailed as follows:

	2024	2023
Representations & Sponsorships expenses	-	-
Sundry operational losses	4,920	2,508
Operating leases expenses	-	5,724
Personnel expenses	9,862	22,705
Office expenses	27,372	14,299
Other provisions expenses	719,727	294,623
Litigation expenses	16,463	37,403
Losses on unrecoverable loans and overdrafts	53,156	99,739
Depreciation and amortization expenses	49,765	24,247
IFRS 16 impact	22,062	16,832
Impairement assets throught legal process	3,584	-
Total	**906,911**	**518,080**
At 15%	**136,037**	**77,713**

Income exempted from income tax are generally reversals of accruals and provisions that were treated as non-deductible in prior years and are detailed as follows

	2024	2023
Write down of inventory	-	(135,894)
Recovery of accruals litigation cases	-	-
Reversal of accruals related to prior years	(163,801)	(149,514)
Allowance reversals for expected credit losses	(20,060)	(175,149)
Eurobond Income	-	(105,374)
Total	**(183,861)**	**(565,931)**
At 15%	**(27,579)**	**(84,890)**

The Bank prepaid income tax in the amount of Lek 610,058 thousand were paid during 2024 (2023: Lek 570,556 thousand).

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37. Commitments and contingencies

Commitments and contingencies as at 31 December 2024 and 31 December 2023 are as follows:

	31 December 2024	31 December 2023
Contingent Assets	**177,966,417**	**145,247,188**
Guarantees received from credit customers	166,774,982	125,951,568
Guarantees received from Government	2,210,543	4,347,139
Money market future dated deals	118,160	2,158,400
Forward foreign exchange contracts	1,241,883	1,470,049
Other	7,620,849	11,320,032
Contingent Liabilities	**16,744,510**	**17,497,489**
Guarantees in favor of customers	6,802,101	6,274,192
Un-drawn credit facilities	8,946,551	11,183,570
Letters of credit	995,858	39,727

Guarantees are mainly represented by bid and performance bonds. Guarantees and letters of credit are collateralized by cash and deposits. The Bank issues guarantees to its customers. These instruments bear a credit risk similar to that of loans granted.

Contingent assets, like letters of credit and un-drawn credit facilities, are off-balance sheet items representing future commitments where the Bank acts as the beneficiary. Forward foreign exchange contracts are off- balance sheet items used to offset currency fluctuations and the effect on the income statement is reflected on the maturity date when the contract is executed.

Litigation

The Bank is defending an action related to a partial payment of a bank guarantee amounting EUR 4,830 thousand. The guarantee was issued in favor of an Albanian entity upon the request of its Parent Company Intesa Sanpaolo S.P.A. The Bank has successfully defended itself in a legal process, in which both the First Instance Court and Court of Appeal judged in favor of the Bank.

The plaintiff has appealed to the Supreme Court which has not yet issued its decision. Management does not consider that there are any legal grounds for the existing judgments in its favor to be overturned.

Nevertheless, given the complexity of the case, involving also the Italian Jurisdiction, and taking into consideration no other cases of that kind have been ever judged in the Albanian courts, some operational risks may occur. In the ordinary course of business, the Bank may be involved in other various claims and legal actions which in the opinion of management, the ultimate settlement of these matters will not have a material adverse effect on the Bank's financial position or changes in net assets, other than those for which a provision has already been included in these financial statements.

38. Related parties

The Bank's immediate parent is Intesa Sanpaolo S.p.A, which ultimately holds a 100% interest. The Bank, therefore, considers that it has a related-party relationship, in accordance with International Accounting Standard 24 Related Party Disclosures ("IAS 24") with the following:

Shareholders and parties related to shareholders:

- Intesa Sanpaolo S.p.A and its subsidiaries and associates

Key management personnel and parties related to key management personnel:

- Supervisory Board members, Management Board members and other key management personnel defined as persons having authority and responsibility for planning, directing and controlling the activities of the Bank, directly or indirectly, including any director (whether executive or otherwise) of the Bank, collectively "key management personnel", close family members of key management personnel, and companies and un-incorporated businesses controlled, or jointly controlled by key management personnel and/or their close family members.

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2024
(in thousands of Lek, unless otherwise stated)

38. Related parties (continued)

The following transactions have taken place during the year ended 31 December 2024 and 31 December 2023:

	ISP Group companies		Key management personnel and Other related parties	
	31 Dec 2024	31 Dec 2023	31 Dec 2024	31 Dec 2023
Assets at end of year	**11,683,773**	**10,711,854**	**47,104**	**52,690**
Loans and advances to credit institutions	11,678,674	10,708,863	-	-
Impairment losses	(716)	(862)	-	-
Loans and advances to customers	-	-	47,104	52,690
Impairment losses	-	-	(363)	(328)
Other assets	5,099	2,992		-
Liabilities at end of year	**336,984**	**18,271**	**216,171**	**355,702**
Loans and advances from credit institutions	-	-		
Customer deposits	-	-	216,171	355,702
Invoices to be received	336,984	18,271	-	
Off balance sheet	**1,065,365**	**4,104,619**	-	-
Letter of credit/Letter of Guarantees given	26,231	27,763	-	-
Letter of credit/Letter of Guarantees received	761,976	1,962,398	-	-
Foreign currency contracts and money market deals	277,158	2,114,458	-	-
Commitments given	-	-	-	-
Collaterals	-	-	-	-
Income for year ending	**567,710**	**384,407**	**2,335**	**3,041**
Interest income	507,635	340,109	2,300	2,657
Commission Income	60,074	44,298	35	384
Expenses for the year ending	**797,198**	**561,507**	**873**	**2,705**
Interest expense	-	-	873	2,705
Commission expense and others	13,127	15,842	-	-
Other Administrative Costs	784,071	545,664	-	-
Compensation of Key Managers	**-**	-	**157,051**	**152,993**
Net Salary	-	-	92,699	96,560
Net Bonus paid	-	-	22,073	19,600
Social & Health Insurance	-	-	6,640	6,127
Other expenses (Lecoip)	-	-	7,589	7,772
Other expenses	-	-	28,050	22,934

39. Subsequent events

There are no events after the reporting date that require disclosure in these financial statements.

Organizational Structure of the Bank

Organisational Structure

The Organizational Code Document of Intesa Sanpaolo Bank Albania **describes its organizational structure** by means of:

- **The mission of each Division and Department**
- **The duties and key responsibilities of all other Intesa Sanpaolo Bank Albania organizational structures**

This document also **includes provisions for the functional relations in place among Intesa Sanpaolo Bank Albania and the Intesa Sanpaolo Group** (Parent Company).

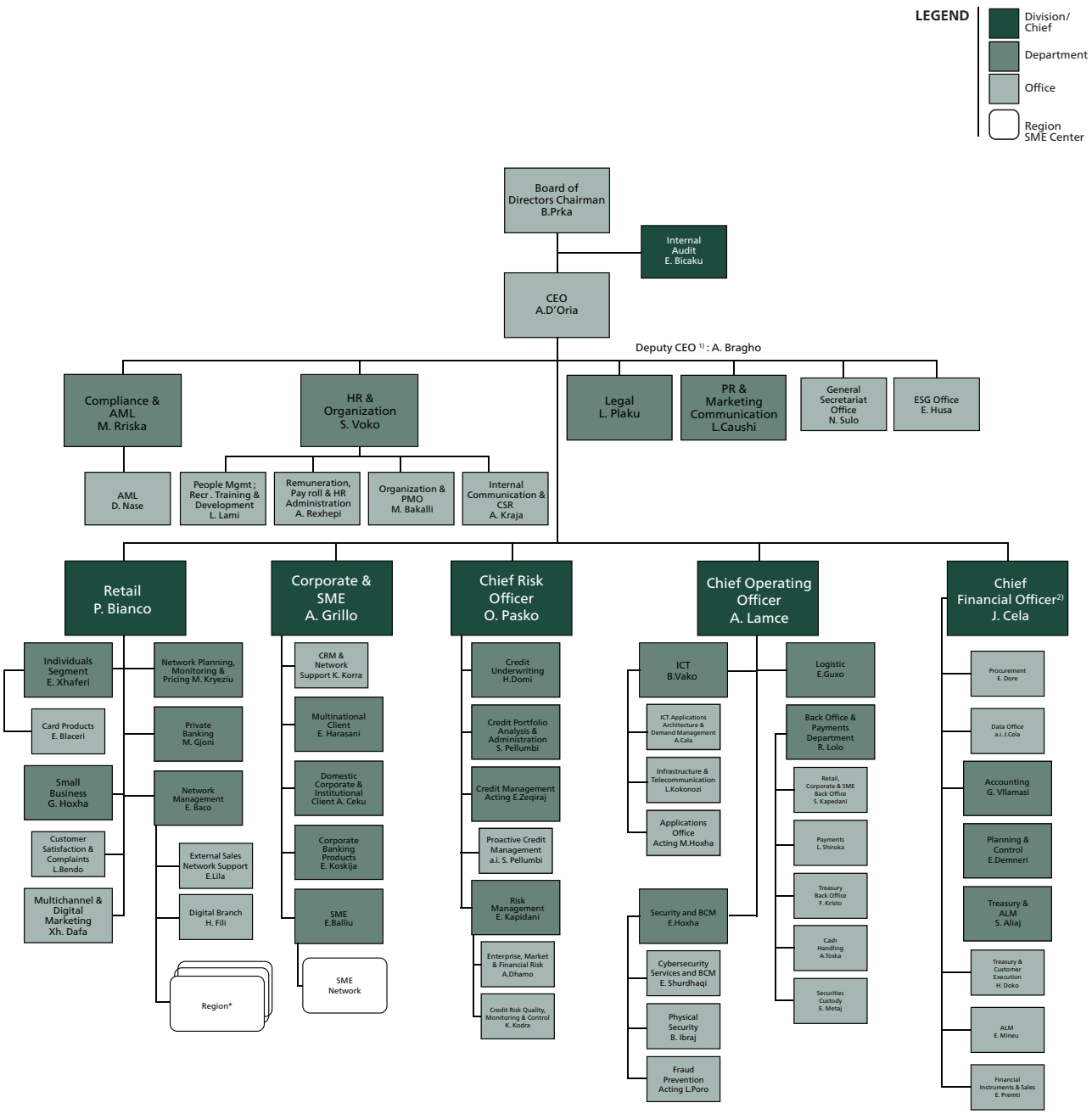
The order adopted to list the organizational structures within this document is the same applied to the Bank's organizational charts:

Structures that report to the Board of Directors

- Department and its related organizational structures (Offices) Structures that report to CEO
- Department and its related organizational structures (Offices)
- Office

- Division which may include
  - Departments and its related organizational structures (Offices)
  - Offices

Organisational Structure



Footnotes:

1) Managerial oversight over Compliance & AML, Legal, General Secretariat and ESG and supervision and coordination over COO, CFO and Chief Risk Officer;
2) Julian Cela is Reporting Officer.
* Regions manage the respective Branches assigned.

Bank Business
Network

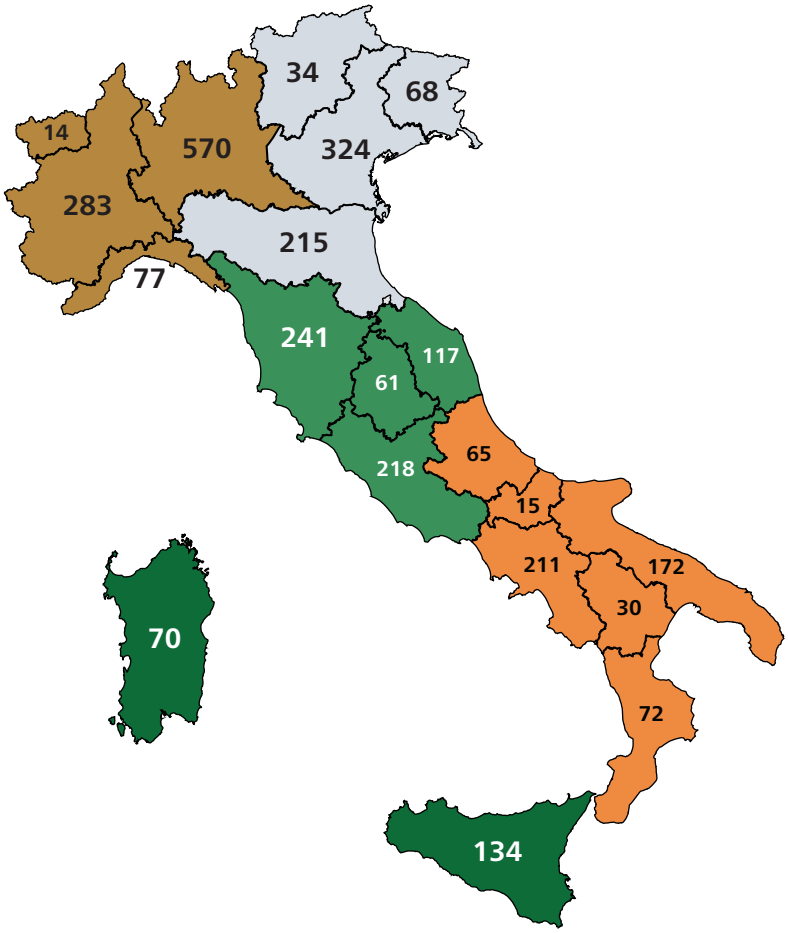
Shkodër
Lezhë
Durrës
Tiranë
Kavajë
Elbasan
Lushnjë
Fier
Berat
Korçë
Vlorë
Gjirokastër
Sarandë

Intesa Sanpaolo Bank Albania Business Network

Nr.	Branch	Branch code	Address
1.	Ismail Qemali Branch	000	Str. "I.Qemali", Nr. 27 P.O. Box 8319 1001 Tirana, Albania
2.	Durrës Main Branch	001	Nbhd. No 1, Str. "Taulantia ", Suqare "M.Ulqinaku" near the port , 2001 Durrës
3.	Vlorë Branch	002	Nbhd. "24 Maji" Str. Transballkanike Vlora, Albania
4.	Elbasan Branch	003	Blvd. "Qemal Stafa" Box 3001 Elbasan, Albania
5.	Fier Branch	004	Nbhd. "15 Tetori" Box 9301 Fier, Albania
6.	Gjirokastër Branch	005	Nbhd. "18 Shtatori" Box 6001 Gjirokastër, Albania
7.	Korçë Branch	006	Blvd. "Republika" Korçë, Albania
8.	Lushnjë Branch	007	Nbhd. "Kongresi" near Art Business Center, Box 9001 Lushnjë, Albania
9.	Lezhë Branch	008	Nbhd. "Besëlidhja", Box 4501 Lezhë, Albania
10.	Str. Barrikadave Branch	010	Str. "Barrikadave" 1016 Tirana, Albania
11.	Train Station Durrës Branch	011	Str. "9 Maji" (near the train station) 2002 Durrës, Albania
12.	Str. Sadik Zotaj Vlora Branch	012	Str. "Sadik Zotaj" Box 9401 Vlora, Albania
13.	Shkodër Branch	018	Str. "13 Dhjetori" Box 4001 Shkodër, Albania
14.	Laprakë Branch	020	Str. "Dritan Hoxha" Nd 203, H. 1, 1023 Tirana, Albania
15.	Branch at the Beach Durrës	021	Nbhd. 13, (near beach railway) 2007 Durrës, Albania
16.	A.Goga Durrës Branch	022	Str. "Aleksander Goga" Durrës, Albania
17.	Rinas Durrës	023	International Airport "Nënë Tereza" (Mother Tereza), 1032 Rinas, Albania
18.	U.S.A Embassy Branch	024	(Only for the Embassy) 1010 Tirana, Albania
19.	Italian Embassy Branch		(Only for the Embassy) Str. "Lek Dukagjini" 1010 Tirana, Albania
20.	Rr. e Kavajës Branch	025	(Volkswagen building, at the entrance to Ambasada street) 1001 Tirana, Albania
21.	Rr. e Durrësit Branch	026	"Rilindja" square (intersection "Zogu i Zi") 1001 Tirana, Albania
22.	Blvd. "Zogu I" Branch	027	Shopping Center Tirana, near the train station,1001 Tirana, Albania
23.	Str. Elbasan Branch	028	Str. Elbasanit Kryqëzimi me Rr. Jul Variboba, 1010 Tirana, Albania
24.	Unaza e re Branch	029	Unaza e Re Teodor Keko 1, 1052 Yzberisht Tirana, Albania
25.	BRUNES Branch	030	(BRUNES) Autostrada Tiranë - Durrës, km7 1029 Tirana, Albania
26.	Rr. e Kavajës Branch 2	031	Str. Kavajes 1012 Tirana, Albania
27.	Komuna e Parisit Branch	032	Str. Medar Shtylla, Nd. 27 H. 4 (Tiranë e Re) 1019 Tirana, Albania
28.	Kombinat Branch	033	"Rruga e kavajes" (in front of the municipal unit nr 6) - Kombinat Tirana, Albania
29.	Str. Bardhyl Branch	034	Str. Bardhyl, Pallati Progin, in front of UKT
30.	TEG Branch	036	Str. Elbasanit, Sauk TEG Shopping Center Tirana, Albania
31.	Kavaja Branch	037	Blvd. "Indrit Cara", Kavajë, Albania
32.	Berat Branch	038	Nbhd. "22 Tetori", Blvd. "Republika" Berat, Albania
33.	Piramida Branch	041	Blv. Dëshmorët E Kombit, Piramida Center, Tirana, Albania
34.	A. Demi Branch	042	Str. Ali Demi, Kompleksi Vind, Tirana
35.	Saranda Branch	043	Str Skenderbeu, Nbhd. Nr 1, Saranda

Intesa Sanpaolo Group
Italian Network

The Group Italian Network



NORTH WEST

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
843	Fideuram	101

CENTRE

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
595	Fideuram	42

ISLANDS

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
203	Fideuram	10

NORTH EAST

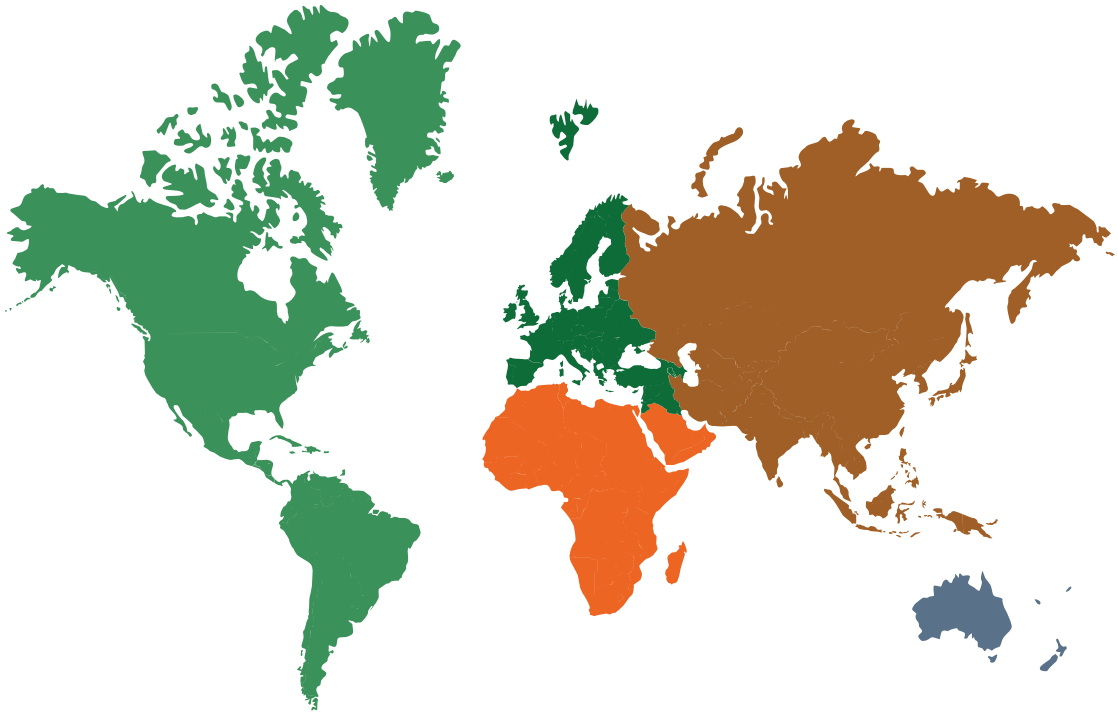
Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
557	Fideuram	59

SOUTH

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
535	Fideuram	30

Figures as at 31 March 2025

The Group International Network



EUROPE

Direct Branches	Representative Offices
Amsterdam	Brussels (1)
Frankfurt	
Istanbul	
London	
Madrid	
Paris	
Warsaw	

Country	Subsidiaries	Branches
Albania	Intesa Sanpaolo Bank Albania	34
Belgium	Intesa Sanpaolo Wealth Management	2
Bosnia and Herzegovina	Intesa Sanpaolo Banka Bosna i Hercegovina	43
Croatia	Privredna Banka Zagreb	135
Czech Republic	VUB Banka	1
Hungary	CIB Bank	58
Ireland	Intesa Sanpaolo Bank Ireland	1
Luxembourg	Intesa Sanpaolo Wealth Management	1
	Intesa Sanpaolo Bank Luxembourg	1
Moldova	Eximbank	17
Romania(1)	Intesa Sanpaolo Bank Romania	34
	First Bank	40
Russian Federation	Banca Intesa	20
Serbia	Banca Intesa Beograd	134
Slovakia	VUB Banka	152
Slovenia	Intesa Sanpaolo Bank	40
Switzerland	Reyl Intesa Sanpaolo	3
Ukraine	Pravex bank	39

AFRICA

Representative Offices	Country	Subsidiaries	Branches
Cairo	Egypt	Bank of Alexandria	176

AMERICA

Direct Branches	Representative Offices
New York	Washington D.C.

Country	Subsidiaries	Branches
Brazil	Intesa Sanpaolo Brasil	1

AUSTRALIA/OCEANIA

Direct Branches
Sydney

ASIA

Direct Branches	Representative Offices
Abu Dhabi	Beijing
Doha	Beirut
Dubai	Ho Chi Minh City
Hong Kong	Jakarta
Shanghai	Mumbai
Singapore	Seoul
Tokyo	

Figures as at 31 March 2025
(1) European Regulatory & Public Affairs

INTESA SANPAOLO BANK
Albania